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Call: Jun 2023

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INDIAN RAILWAY FINANCE CORPORATION LTD.

(A Government of India Enterprise) (CIN : L65910DL1986G01026363)

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No: IRFC/SE/2023-24/18 2nd June 2023

National Stock Exchange of India Limited BSE Limited

Listing department, Exchange Plaza, Listing Dept / Dept of Corporate Services,

Bandra- Kurla Complex, Bandra (E) P] Towers, Dalal Street,

Mumbai-400 051 Mumbai -400 001

Scrip Symbol: JRFC Scrip Code: 543257

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Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements)

Regulations, 2015, as amended from time to time, please find attached herewith transcript of

earnings call held with analysts and investors on Monday, 29th May 2023, to discuss the Audited

Financial Results for Q4/FY23 & Year Ended 31st March 2023.

This is submitted for your information and record.

ThankingYou,

For Indian Railway Finance Corporation Limited

rvijay Babulal Shirole)

Company Secretary & Compliance Officer

Enclosure: As above

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"Indian Railway Finance Corporation Limited
Q4 FY 23 and Year Ended 31st March 2023
Results Earning Call"
May 29, 2023

MANAGEMENT : MS. SHELLY VERMA – CHAIRMAN AND MANAGING
DIRECTOR , (ADDL CHARGE)-CHIEF EXECUTIVE
OFFICER AND DIRECTOR FINANCE – INDIAN RAILWAY
FINANCE CORPORATION LIMITED
MR. SUNIL KUMAR GOEL – GROUP GENERAL
MANAGER , FINANCE AND CHIEF FINANCIAL OFFICER
– INDIAN RAILWAY FINANCE CORPORATION LIMITED
MR. P.K. OJHA – GENERAL MANAG ER, FINANCE –
INDIAN RAILWAY FINANCE CORPORATION LIMITED

MODERATOR : MS. ANIFA FERNANDES – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Indian Railway Finance Corporation Q4 FY
'23 Earnings Conference Call , hosted by DAM Capital Advisors Limited. As a reminder, all
participant lines will be in the listen -only mode, and there will be an opportun ity for you to ask
questions after the presentation concludes. Should you need assistance during the conference
call, please signal an operator by pressing star, then zero on your touch tone phone. Please note
that thi s conference is being recorded.

I now h and the conference over to Ms. Anifa Fernandes from DAM Capital Advisors Limi ted.

Thank you and over to you.

Anifa Fernandes: Thank you, R enju. Good afternoon, everyone. A very warm welcome to Indian Railway Finance

Corporation Q4 FY '23 Results Conference Call hosted by DAM Capital Advisors. On the call today, we have Ms. Shelly Verma , CMD , Additional Charge CEO and Director Finance, Mr. Sunil Kumar Goel, GGM Finance and CFO, and Mr. P.K. Ojha , GM Finance to take us through the results and then we will open the floor for Q&A.

With that, I'll hand over the call to Ms. Shelly Verma for opening remarks. Thank you and over to you, ma'am.

Shelly Verma: Thanks, Anifa. Good evening, everyone. I welcome you all to this conference call and would also like to thank DAM Capital for organizing this call. We have declared our audited financial results for FY '23 on 25th May and have organized this call to share our performance during the year. We have already circulated our investor presentation. I'm sure you have received it by now.

As you're all aware, IRFC plays a strategic role in supporting the Indian Railways Infrastructure Development Plan. And is a sole market-guarding arm of Indian Railways to meet their entire extra budgetary resource requirements for capex funding, whether it is a rolling stock or various railway infrastructure projects. There has been a big government push for infrastructure development in the country and in line, railway capex is also increasing over the years. In fact, in the Union Budget for FY23-24, the railways got a very high budgetary allocation of INR 2.4 lakh crores, which is all-time high, as compared to INR 1.59 lakh crores during the previous year.

And focus areas of investments are construction of new railway lines, doubling, tripling of track, electrification, station redevelopment, freight corridors, introduction of new next-gen trains, and setting up of Gati-Shakti terminals, and all the investments which is required to meet the Indian Railway target to become net zero carbon emission network by 2030. And all this capex requirement of Indian Railway is funded by the budgetary support and extra budgetary resources, which include borrowing from IRFC.

From financial year FY21-22, budgetary support for Indian Railways has increased tremendously and correspondingly, EBRIF has been scaled back. And if you talk about IRFC, apart from funding Indian Railways, IRFC has a mandate (MoA) to finance projects which have a backward and forward linkage with railways. Accordingly, we are very actively looking at funding such projects in the entire railway ecosystem, apart from funding Indian Railways.

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We are currently in the process of setting up various mechanisms, creating due diligence frameworks, and also in the process of tie-up with certain agencies for lending to such projects. And we are basically exploring business opportunity as far as charter-like projects like leasing of rolling stock to entities other than Indian Railways, funding of railway infrastructure being developed through various state JVs, upcoming dedicated freight corridors, multi-modal logistic paths, and renewable energy which is for the, required for the railway network.

ilway network.

In fact, in our last board meeting, we had given an in-principal approval for finance lease of rolling stock to NTPC under general purpose wagon investment scheme of the Ministry of Railways. Further, we are also in the advanced stage of discussion to finalize the terms of sanction for a connectivity project of Haryana Orbital Rail Corridor for which we had given in-principal sanction in the previous year.

Now, we are coming to the financial highlights for FY 23. Our asset under management stand at INR 4.67 lakh crores as on 31st March '23 as compared to INR 4.29 lakh crores as on 31st March 22, a growth rate of 8.63%. And if you see the breakup of this AUM, 98.73% pertains to Indian Railways and 1.27 % is for loan to RVNL and IRCON. And if you see the further breakup of 98.73%, 38.8% is for rolling stock lease receivables, 13.42% for project lease receivables, and 46.44% is for advanced against railway infra projects for which lease agreements are yet to be signed.

The initial target of disbursement for FY23 was INR 66,500 crores. However, the actual disbursement in the year was less at INR 32,378 crores. And the last quarter the disbursement was about INR 14,663 crores, as compared to INR 17,537 crores in the last quarter of the previous financial year. And as you are aware, our entire financing to Indian Railways is through a finance lease model. It's a low risk cost-plus model as all the costs incidental to borrowing, including the hedging and the currency risk and interest rate risk are passed through and we are getting a very consistent margin over the years. This margin is added to our weighted average cost of funds raised during the year, which is used for working out the lease rentals.

Net worth of the company has grown to around INR 45,470 crores as of 31, March and our revenue has for the year has grown at a rate of 17.7% from INR 20,298 crores to INR 23,891 crores. And during FY 23, we have signed lease agreement for projects funded in FY 16- 17 and

national projects funded in FY19-20 after the completion of the moratorium period. Further, we are in the process of execution of lease agreement for EBR -IF funded during the year FY17-18. Our profit for the financial year 22-23 is INR 6,337 crores and has grown at around 4% as compared to previous year. This is due to our low disbursement as compared to the initial target and we have also done a one-time adjustment in our WACC in the last quarter, which has resulted in low growth in the profits and the revenue. Our total borrowing as on 31st March stands at INR 4.19 lakh crores and we raised funds from diverse sources like taxable bonds, domestic market, ECB, tax-free bonds, 54 EC, loans from banks and financial institutions. Our board has recommended the final dividend of INR 0.70 per equity share for the financial year 22-23, which is subject to the approval of shareholders in the Annual General Meeting. This is in addition to the interim dividend, which we had declared at INR 0.80 paisa per equity share

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on 10th November. So the total dividend that we have declared for the financial year 22-'23 is INR 1.50 per share on the face value of INR 10 each. So that is all with respect to the financials we have wanted to share.

Now we are open to the question-and-answer-session. Thank you.

Moderator: Thank you. We will now begin the question-and-answer-session. The first question comes on the line of Santosh Keshri from Keshri Wealth. Please go ahead.

Santosh Keshri: Hello. Thank you for taking my question. Congratulations, ma'am, on taking charge of CMD.

Shelly Verma: Thank you.

Santosh Keshri: So I had one question regarding the disbursement. We can see that the disbursement is going down from INR 103,000 crores to INR 60,000 crores now in this year, INR 32,000 crores. And on

the contrary, the capital planning of the Indian railways as well as the projects are like, unlike any other year. They are doing all across. What is the reason that our disbursements are going down and we are not able to keep pace even with our past year's performance? That's my first question.

Shelly Verma: As I mentioned in my opening remarks, the budgetary support for Indian railways is going up year-after-year. And this year, for FY23-24, the cross budgetary support, GBS support is of the level of INR 2.4 lakh crores all-time high. In the previous year also, there is a very high support of about INR 1.59 lakh crores. So this is the reason for a lesser EBR as compared to although the capex is going up year-after-year, but at the same time, budgetary support is also increasing. So that's the reason for the lesser EBR and lesser borrowing from IRFC.

Santosh Keshri: So what is the plan for the next year, Madam? Are you getting any guidance that it will remain at the level at which it is in FY 23 or it's going to have some better growth?

Shelly Verma: See, as far as EBR is concerned, it will all depend upon what kind of a capex will be planned for the next year and what budgetary support they will get. So as far as our understanding, this is one of the years and EBR may continue in the next year, but at the same time, it's very difficult to comment at this stage because the final numbers will depend upon the capex plan for the next year and how much of budgetary support they receive from the government. But at the same time, we are very actively looking at projects which are within our mandate of backward and forward linkage. So we are trying to create and reduce our business concentration rate and try to create an alternative vertical of other projects.

Santosh Keshri: Yes, ma'am, so even in the earlier calls, it is to be said that we are not looking at only Indian railways as business and partners. We are also looking at, as you were saying just now, for backward and forward integration, and even private players interested in railway projects will be considered for financing. So where do we stand on that? And may I ask that what is the percentage that's given to the private players engaged in the railway projects of the total AUM that we have now, or maybe the total disbursement that we had in FY 22-23?

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Shelly Verma: In FY 23, our disbursement is to the Indian railways only. See, we have been, for years, we have been funding only to Indian railways through the leasing model. Now, for lending to other commercial projects, other projects outside the Indian railways, we need to set up a lot of framework and we need to have some strategic tie-up. And we have to onboard certain agencies for doing the various approvals. And we have to create an entire lending framework. So we have done that. We had hired an independent agency to create a lending framework for us, which is

approved by the board. So we are right now in the process of setting up all this infrastructure for funding.

So this alternate vertical will take some initial time for setting up and then we will go ahead with the final sanction and disbursement of the project. So at the moment, we have sanctioned, given in principle sanction to one Haryana Orbital project. And in this board meeting, as I mentioned, we have given in principle sanction to N TPC for leasing of rolling stock. But we are in advanced discussion with various agencies. We might do some consortium funding also. So this process will take some time to structure.

Santosh Keshri: Okay. Thank you so much, ma'am. Just one last question. So what could be the total amount that is sanctioned to this Haryana project and N TPC project?

Shelly Verma: Haryana has sanctioned INR 1500 crores and N TPC at the initial stage, we have sanctioned INR 500 crores.

Santosh Keshri: Okay. Thank you so much, ma'am. Very useful.

Moderator: Thank you. Next question comes on the line of Kartik Gada from Multiple Wealth Management. Please go ahead.

Kartik Gada: Thank you for the opportunity. So a couple of questions. First, you mentioned something which impacted the profitability for the quarter. I couldn't understand it clearly. Can you please explain again?

Shelly Verma: See, actually, we calculate our lease rental based on our weighted average cost of capital plus the margin. For one of the years, the WACC calculation, there was some correction to be carried out. Because as you know that we have, from the last year only, we have started signing all these lease agreements, the methodologies and all that have been set up now. So there was certain correction to be carried out in the WACC, which is now approved by Ministry of Railways. So because of that, there was a one-time adjustment in the WACC and accordingly, the revenue.

Kartik Gada: Okay. So when I calculate the NIM with the numbers, it seems to be around 1.15%, 1.2% just for this quarter when I annualize it. So going forward to next quarter onwards, again, the NIM would be going back to 1.4%, 1.5% trajectory?

Shelly Verma: Yes, it will be around the same. There was certain, because of this adjustment and our low cost margin, but we are likely to maintain the same trajectory of NIM.

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Kartik Gada: Okay. That was first. Second, as you mentioned about the budget, increasing budgetary support, so now considering that next year, there will be elections, so probably there won't be a budget initially, there will be just a presentation of the accounts. So what's the idea? I mean, next, when can we expect some clarity from the Ministry of Railways on increasing the budgetary support? Can it be done outside of the budget also or we will have to wait for the next full budget to be presented?

Shelly Verma: Are you talking about the current financial year 23-24?

Kartik Gada: Yes, 23-24 and even the next year because there will be elections in May 2024, so there won't be any budget presented initially.

Shelly Verma: See, 23-24, as I told you that generally whatever is the initial target during the year also the revisions keep happening. So maybe we will get more clarity in the second half of the financial year about the requirement from Indian Railways for the current year. But for the next year, I mean, it's too early to make any assessment about the projected capex and the budgetary support that will come from the government.

Kartik Gada: Sure, sure. So just one request from my end, as and when or whenever there is some clarity from the government side, as you mentioned during the second half or whenever, it would be of great help for investors if it can be published on the stock exchanges. That will be very useful.

Shelly Verma: Sure, if there is any further communication from Ministry, we will definitely keep our investors on board.

Kartik Gada: Right. And my last question is, along with the results, the board also, there was a resolution for borrowing programme of INR 50,000 crores. So can you help us to understand, our disbursement last year was INR 30,000 crores, INR 32,000 crores and now we are proposing for borrowing program of INR 50,000 crores. So what is the plan or this is, or is it just simply an enabling resolution?

Shelly Verma: This is in a way enabling resolution at the beginning of the year. But as I mentioned that we are very actively looking at projects within our charter. So based on our internal assessment of disbursement plus, our debt servicing requirements and we are also actively looking at refinancing of certain high-cost loans. So keeping all these things into consideration, we have kept this limit as INR 50,000 crores, which

h is a requirement under the Companies Act too, to the borrowing for the current.

Kartik Gada: Right. And lastly, so maybe very early days, but as we move away or move out of only lending to Ministry of Railways and when we move to private sector, so the model in the sense today our credit cost assumptions will be very minimal. The opex is already very minimal, but these will increase. So can you, would it be possible for you to guide us what can we expect, what kind of increases can we expect in terms of the assumptions and the numbers?

Shelly Verma: First of all, as you said, this is obviously the initial days, but we are very strategically going for the diversification. We are not in a hurry to disrupt the credit profile of our company as of now.

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We are looking for projects , which in the s overeign space and initially with the project which are set up by the Ministry of Railways , state JV's and the government. And over the period when we have set up all the structures are in place, then we will go for the private sector. So I don't think the kind of projects we are looking at will be any i mpact on our cost of borrowing.

Kartik Gada: Okay. Thank you so much. Thank you so much.

Moderator: Thank you. Next question comes from the line of Satinder Singh from Eon Infotech Limited. Please go ahead.

Satinder Singh: Yes. Thanks for the opportunity and mam , congratulations and best wishes. What are the top two or three risks that you see to the business at this point in time?

Shelly Verma: Sorry, I didn't get your question.

Satinder Singh: What are the top two, three risks that you see related to business at this point in time?

Shelly Verma: See, if you see if you analy se the business, current business of IRFC, there is hardly any risk . – If you see our leasing model, all the risks are priced into general .

Satinder Singh: Yes, ma'am, my question was more from the concerns point of view. So I understand it's what the risk free business is okay. So I meant from the what are the concerns in terms of, let's say the growth of the business, okay?

Shelly Verma: In the growth of the business?

Satinder Singh: What are the key challenges that you see to business per forming to potential?

Shelly Verma: The initial challenge is first to because we have been used to only funding the Indian Railways.

So we are not as organization geared up for commercial lending. So we have to set up all the internal processes. We have to scale up our manpower. We have to set up all the procedures.

That is the initial challenge we are facing. And we are meeting this, as I told you, we have already created our Credit policy. Maybe in the initial part, we have to take help of certain agencies, like we had already signed an MOU with IIFCL. So we are looking at more such collaborative arrangement, which help us, and that is the one challenge there.

And then when we go for the project but initially, we want to do the projects in which are in the, like a JVs with the state sector or government companies. Gradually, once we have gained a sufficient experience in this line, then we'll move out to the private sector and o ther's. But it will all depend upon project to project. But initial part is definitely setting up all the arrangements and setting up all the structures, which we are in the middle of doing.

Satinder Singh: Okay, okay, fine. Then we have this 40 bps and 35 bps arrangement with the Ministry of Railways. These seem to be very tight and they virtually put a lid on the ROE. We have a 14% ROE at a time when the cost of funds is fairly high and it's not exp ected to go up anymore. Once the cost of funds starts coming down, okay, then this ROE might fall further. And the ROE of

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14% for NBFC will never get

a very high pricing from the market, because you're typically looking at a high being 17%, 18% and so on a nd so forth.

So is there any option to increase this by working with the MoR, because the ROE is 14% and looking down going forward, so any option to increase this? Are we talking to the MoR for this, any opportunity there?

Shelly Verma: See, MoR has been giving us a very consistent margin over the years. And I think that all the risks are priced in. We are passing on all the risks to them, whether it is currency rate, interest rate, all the like , - last year we have seen a huge interest rate hike. And tha t interest rate hike we have passed on to this. So we did request to them, but I feel that margin are more likely to remain consistently at this level.

Satinder Singh: Okay. Conversely, ma'am, any risk of this being reduced, because earlier I believe it us ed to be

50 bps, then got reduced to 35 and then got brought up to 40. Any risk of this going down?

Shelly Verma: No, no, that I don't think so. That was long back and for the last four years we have been getting the same margin. So I don't think there's any risk of margins going down. But at the same time, I think they will maintain at these levels.

Satinder Singh: Thanks. And ma'am what is the weighted average tenure of the assets that we have? So because most of our assets are long-term, and I think that should be one of our qualifications as in the internet, we got long-term assets. But they don't come up in the presentation. So what's the weighted average tenure of these assets?

Shelly Verma: It's about eight to nine years. We are generally raised for a very long period. So if you see the current, I think average tenure would be ranging from eight to nine years.

Satinder Singh: Okay, ma'am, what is the borrowing mandate for FY 23-24 that you received as of this moment from the MoR?

Shelly Verma: For the current year, see, till last year, we used to get a mandate in writing from Ministry of Railways. This year, we have not received any mandate. So it will all depend upon how the capex shapes up and what is the support they get from the government, so if there is any shortfall, they'll be taking from us, but they have not given any mandate in writing to us this year.

Satinder Singh: Okay, ma'am, and what's the average cost of borrowings that we had, ma'am, for the year ended at FY 23?

Shelly Verma: I think last year we had an average rate of 7.52%.

Satinder Singh: Sorry, ma'am?

Shelly Verma: 7.52%.

Satinder Singh: 7.52%, okay. Okay, ma'am, thank you. I have a couple of other questions. I'll come back in between. Thank you. Thank you.

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Moderator: Thank you. Next question comes from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: Yes, hello. Am I audible?

Shelly Verma: Yes, Vikas.

Vikas Kasturi: Okay. Thank you, ma'am. So, ma'am, I have two questions. So my first question is, so what would be the funding that the railways would need for their National Railway Plan by 2030? Is there some figure like that because I couldn't find that.

Shelly Verma: Just a minute. Even I think we don't have the figure readily available. We'll share with you separately.

Vikas Kasturi: All right, ma'am. So second question is, I'm referring to slide 4 of the presentation. And in that it says that the AUM grew by about INR 37,000 crores between last year and this year. That is FY 22 and FY 23. But when I look at the disbursement number, which is below, that is only INR 32,000 crores. So what am I missing, ma'am? I mean, the AUM growth is INR 37,000 crores, but disbursement is only INR 32,000 crores.

Shelly Verma: Yes, I'll explain that. See, actually, AUM also covers the capitalization that we do for our disbursement for the projects, which are yet to be like, for example, lease

agreement is yet to be

signed. So that capitalized amount also gets added to my AUM. This is where you are finding a difference between disbursement and growth in AUM.

Vikas Kasturi: All right, okay. Thank you, ma'am. That's it.

Moderator: Thank you. Next question comes from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg: Yes. Thank you for the opportunity. Just a question on your presentation. In slide 5 of your presentation, so you have mentioned that the spread for FY 23 is yet to be finalized by next year. So our understanding is that that spread is finalized at the beginning of every year. I just want to understand that is there any change in methodology or procedure?

Shelly Verma: No, no, actually, every year it is like that. We finalize the spread at the end of the financial year along with the WACC, like cost of funds that we have raised during the year. So both WACC as well as other at the end of the financial year.

Bhuvnesh Garg: Okay. At the end of the financial year. Okay. And then how is the accounting done for that financial year if you are finalizing the spread at the end of the financial year? Then how is the income accounting for that financial year?

Shelly Verma: It is at the same level. It is assumed at the same level of the previous year that we have, accordingly we account for it

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Bhuvnesh Garg: Okay, okay. So assuming it to be the same. Okay. Now, in case for some reason, the spread is increased or decreased for FY 23, then would there be any restatement of FY 23 financial?

Management: I think that will be covered under the change in the estimate, and it will be accordingly accounted in the next financial year. Whatever change will happen due to revision in the margin, that will be considered as a change because that is event after balance sheet date and accordingly it will be accounted in the next financial year.

Bhuvnesh Garg: Okay. Got it, got it, got it. And sir, about the disbursement, so you have mentioned that you haven't gotten any guidance from Ministry of Railways. So in the meantime, how are you going about it? Are there any internal targets, which you are working on for disbursement? What kind of disbursement for the year you are looking at?

Shelly Verma: See, as I mentioned, we are very actively looking at projects, but any disbursement clarity about the numbers, I think we will be able to give you in the second half of the financial year once we have set up, or we have sanctioned because there is a process in infrastructure projects, there is a sanction, then you do a documentation, disbursement and we are in the very initial phase of this discussion with various project authorities and the companies. So any clarity on the disbursement, we'll be able to give only in the second half.

Bhuvnesh Garg: Okay, okay. Fine, fine. And just lastly, on our assets that we see many of the engines, diesel engines are getting replaced by electric engines. So do we have any risk of obsolete assets and how are we dealing with this scenario?

Shelly Verma: See, so far we have received certain requests for return on assets, which are in the secondary lease period. So in the secondary lease period, by that time we have already recovered all our investments, so there is a very nominal rent that we get in the secondary lease period. So even if we, so generally they have been replacing the assets after about 15 years of this, which practically covers my primary lease period. So we don't see any major risk of shifting from diesel to loco in the total lease assets of IRFC. We have been transferring to them, but assets which are only in the secondary lease period.

Bhuvnesh Garg: Okay. Got it, ma'am. Thank you. Thank you for your responses and all the questions.

Moderator: Thank you. Next question comes from the line of

Yogesh Soya from Sukhiya. Please go ahead.

Yogesh Soya: Hello.

Shelly Verma: Yes, Yogesh.

Yogesh Soya: One minute. Can you hear me? Can you speak in Hindi?

Shelly Verma: Yes, please. Please speak in Hindi.

Yogesh Soya: My answer is that since the listing has been done, there has been no major change in the share price. So the company is doing well, EPS is also good, and is giving dividends. So why is there

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no change in the price? Like in the RVNL, it was given in INR 18, and now it has gone up to INR 145. So now it is between INR 25, INR 30. So when will there be a change in the price?

Shelly Verma: See, the moment has come for a good price in October. It is a good moment since the last five months.

Yogesh Soya: See, the government gave it in INR 26 and RVNL gave in INR 18. The INR 18 one has gone up five, six, seven times, but the INR 26 one is not going up till INR100.

Shelly Verma: See, what we can say is that the share price is a function of various market forces.

Yogesh Soya: No, no, tell in Hindi. I don't understand English.

Shelly Verma: See, what we can say is that the share price in the market has many reasons for increasing and decreasing. From our side, from the company's side, we can say that our business model is very safe and secure. Every year we are declaring a dividend of 30% of our profit, for our investors.

Yogesh Soya: I am giving you one more example. Titagarh Rail was INR 30 for a year. Now it has gone up to INR350. Our company is better than Titagarh Rail, right?

Shelly Verma: No, no.

Management: The share price is decided by market forces. The company has no role in it. The company's role is that our business model is safe and secure and very robust business model and we are following a consistent dividend policy. I think we are doing what we can.

Yogesh Soya: How much is the company's reserve? How much crores in the reserve?

Management: The net worth is INR 45,470 crores.

Yogesh Soya: Means INR 4,500 crores, right?

Management: INR 45,470 crores.

Yogesh Soya: Okay, means INR 47,00 crores.

Management: INR 45,470 crores.

Yogesh Soya: Okay, okay. You are saying that the price will come, right?

Management: No, we are not saying anything. Our job is not to decide the share price. It is decided by the market. Yes, we can say that the company is doing well. The company's business model is secured and safe. And we are following a consistent dividend policy.

Yogesh Soya: Yes, that is right. The company's work is to pay the railway company? And what is the other thing?

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Management: Other than MoR, as per MoA and AoA, which is company's charter we also fund in the backward and forward linkage. We are actively exploring that. And the company wants to move forward in that.

Yogesh Soya: Okay, fine. If the price is good, it is good for the investor. We have been doing this for the past three years. But we are thinking that the moment we saw in RVNL, that is also a government company, and this is also a government company. So, there should be some change in this. Its EPS is around 6.5, and this is 5. So, there is no difference in EPS. The book value of my company is more than that. That is 31, and mine is 33.

Management: Yes, absolutely. But the share price is decided by the market, and it is not in the company's control.

Yogesh Soya: Yes, that is true. I think that the share price should be around that in six months, because there is not much difference between the two companies. So, I think that the share price should be around INR100. Okay, you cannot say about price. Okay, no problem. Thank you.

Moderator: Thank you. Next question comes from the line of Nitin Gard from Aviva Life Insurance. Please go ahead.

Nitin Gard:

Hello, ma'am. Thank you for taking my question. Ma'am, can you, subjective question it is, can you throw some light on this budgetary support, how it actually works? Because numbers are really big, but I don't see any change in this, any remarkable change in borrowing makes. I don't see any remarkable change in the book. So, it might be I am missing anything. How does it work, ma'am, if you can throw some light? How does it, what are the nitty-gritties of this budgetary support?

Shelly Verma: You are talking about this budgetary support, railways of INR 2.4 lakh Crore –?

Nitin Gard: Yes, ma'am. How does it come to our company, and what all areas it affects during the year, and how will it impact the borrowing of the company?

Shelly Verma: See, this budgetary support is to Indian Railways for their various capex plans.

Nitin Gard: Okay.

Shelly Verma: So, either they do the EBR through IRFC or they take the budgetary support. So, for 2024, the budgetary support is INR 2,40,000 Crore, which as per the initial estimate meets their capex plan for the year. But in the year, this capex plan keeps on changing, and whatever, what is the final allocation of EBR, these are all initial estimates.

So, whenever they have the requirement, they will get the budgetary support. So, if there is a higher capex and there is a need for EBR, they will send a communication to IRFC for the borrowing.

Nitin Gard: Okay. That means they can either straight away from their balance sheet give to the railways, or they can give authority to the IRFC to lend it to railways.

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Shelly Verma: IRFC comes into picture only for the EBR, not for the budgetary support.

Nitin Gard: Yes, only for the EBR. So, that is what my real question is. Do we have any plan for this financial year, or any guidance from the government that that much money will be routed through EBR, through IRFC? Because we have to chalk down our numbers for IRFC for the borrowing for the current year.

Shelly Verma: No, as I replied earlier also, this year we have not received any written communication from MoR about the target for the current year. So, we will have to see as the year progresses, what is the capex, how much capex they finally do and how much is the support. So, any shortfall in that, the EBR will come. But there is no initial target given to the company for the EBR requirement.

Nitin Gard: There is no initial target. Secondly, ma'am, your approval of 50,000 is for term loans and this

capital market borrowing both.

Shelly Verma: It is for both.

Nitin Gard: It is for both.

Shelly Verma: From any source.

Nitin Gard: So, ma'am, today as we speak, currently that thing prevails. The lower the cost, you will go for that mode of financing.

Shelly Verma: Yes. Whenever we need funds, we explore the various sources, whichever gives us a more competitive rate, we take that borrowing.

Nitin Gard: So, ma'am, in current market scenario, I think capital markets, bond borrowing might be acting as a lower cost of capital?

Shelly Verma: Yes. Bond market has been easing in the market. So, accordingly, we'll look at whenever there is a need to raise the funds. We look at all the sources.

Nitin Gard: Because ma'am, FITD, only one issuance has come, I think, as per my knowledge. So, that is why I am asking.

Shelly Verma: Actually, our lease rentals come in the month of April. So, we get lease rentals in April and October. So, we got our lease rentals. So, now, as and when there is a requirement, we will be raising.

Nitin Gard: Okay. Thank you, ma'am. Thank you for accepting my question. Thank you.

Moderator: Thank you. Next question comes from the line of Parimal Mithani from Credential Investments. Please go ahead.

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Parimal

Mithani: Ma'am, thank you and congratulations for good numbers. Ma'am, I just wanted to know, since you are funding state governments through JV, is the, what you call, the NIM margin same for them, or they are going to likely change there also, ma'am?

Shelly Verma: It will all depend upon the profile of that particular project. So, here...

Parimal Mithani: No, since you are diverting, ma'am, from your IR, which is Central Railway funded, now you are going through the states also. So are the NIMs capped at the same level?

Shelly Verma: No, no, no. Definitely, the margins would be different. And we'll fix the margins looking at the risk profile of that particular project. But this model is totally different. So, there, our margins will definitely be higher than this.

Parimal Mithani: Margins will be higher and there will be no cap from the central side on this funding for this, right?

Shelly Verma: The margins will be decided by our Board.

Parimal Mithani: Okay, ma'am. Thank you, ma'am. Thank you.

Moderator: Thank you. Next question comes from the line of Nilesh Jethani from Bank of India Mutual Funds. Please go ahead.

Nilesh Jethani: Hi, good evening and thanks for the opportunity. My first question was on the AUM breakup. So, can you help me understand what's the difference between lease receivable project assets and advances against railway infrastructure assets to be leased? What's the difference between these two?

Shelly Verma: Yes, I'll explain. See, in case of project assets, there is a moratorium period of five years during which we make like we have supposing we have disbursed in this financial year. So, the lease rentals will grow after five years. So, the next five years, we'll keep on capitalizing that amount. So, that will lie as an advance to Indian Railways. Once we sign the lease agreement, it will shift to lease receivable. So, these are the advance amount is basically the amount which we have funded in the past few years, for which lease agreement is yet to be signed. And project asset lease receivable is where the lease agreement has already been signed.

Nilesh Jethani: Got it. So, typically if I assume a five-year moratorium period, so I wanted to understand in FY 18-19, what would be sanctioned or given out, which will reflect in AUM growth for FY 24?

Management: I think, these advances are already part of the AUM. I think there will be no increase in the AUM because of this. Basically, it will shift from the advances to the lease receivable. In overall basis, the AUM will remain same because as of now, these assets are being reflected in our schedule line of our balance sheet as other financial assets and they are well-part of our AUM.

Nilesh Jethani: Okay. So, largely it will be reflected in the P&L going forward as soon as the moratorium is over. Is this understandable?

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Management: Yes. In case of a P&L, I think till the time we execute the lease agreement, whatever income approved to the IRFC, that will be accounted as a pre-lease commencement interest income. And once the lease agreement is in place, after that we will account whatever revenue we receive from the MoR that will be accounted as a lease receivable in the P&L. Until the time, we did not execute the lease agreement this will be accounted as a pre-commencement lease interest income.

Nilesh Jethani: Does this mean that today's interest income is depressed because that moratorium is still in place for the AUM, which was disbursed five years back?

Management: In a way, whenever we are operating under this moratorium period, we are accounting only the portion, which belongs to IRFC, so that is our margin. That will get reflected in my P&L and whatever WACC, that is my cost of borrowing, that will capitalize over this moratorium period.

And once the agreements are in place and we have to receive the lease rental, so that will consist of both. Whatever principal I have disbursed to the MoR and whatever margin we are receiving from that.

And after execution of the lease agreement, both the portions will go to my P&L. So that way, going forward, my top line will increase, at the same time my finance cost will also increase, but my bottom line will remain the same.

Nilesh Jethani: Got it. Net interest income will remain the same, the interest income would be added and cost of fund would be added in the P&L, but my NIA number would be the same only. This does not include the volatility, because of that asset coming into – after moratorium into the books?

Management: Right, right.

Nilesh Jethani: Okay, got it. The second question was on this Vande Bharat. So, I wanted to understand what can this through opportunity to IRFC over the next three years, considering lot have been announced for Vande Bharat and most of them would be operated by Indian Railways only.

Shelly Verma: See, we have been funding, Vande Bharat is like the way we have been funding the leasing of rolling stock to Indian Railways. So we have already funded certain Vande Bharat trains. So if whatever is the procurement done by Indian Railways, Vande Bharat trains, if they resort to EBR, so it will come to us. Otherwise, if we talk about the capex required for this, then we'll have to talk to the new entities who are getting the contract, if there is some business requirement that we will explore. But as far as Indian Railways is concerned, any procurement of trains, we are already doing the financial leasing provided they resort to EBR and there is any fund requirement apart from the budgetary support.

Nilesh Jethani: Got it, got it. But largely now in FY 24, since the extra budgetary support number is largely not present in the budget report, so I wanted to understand what kind of AUM growth base case we should assume for FY 24 and 25?

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Management: Yes, as of now it is difficult to say, but as Mam have already explained to you, if there is more clarity in the second half of the financial year, then we can inform you of the growth we can expect in AUM. As of now it is difficult to predict any more.

Nilesh Jethani: Got it. And my last question of this one-time adjustment, which you mentioned in the initial comments, I just wanted to understand that one-time adjustment is over and from Q1 of FY 24, largely means...?

Management: Going forward, I think we'll not have the impact of this one-time adjustment.

Nilesh Jethani: Okay, got it, got it. Those were my questions and thank you so much for replying to them.

Moderator: Thank you. Before we take the next question, a reminder to all the participants, please restrict yourself to two questions. Next question comes from the line of Satinder Singh from Eon Infotech Ltd. Please go ahead.

Satinder Singh: Ma'am, thank you for the follow-up. So, the government owns 86%, so as a listed company we have to bring it down to 75%, and I don't think we have much time. So what is the update on this, ma'am?

Shelly Verma: So far we have not received any communication on this side. But we will keep you posted, but so far we have not received any communication on this from DIPAM.

Satinder Singh: Okay. So we enjoy a tax-free status, because of the leased depreciation, which has accumulated with us. So what is this amount as of 31st of March, and what is the period over, which this will run down in business as usual mode?

Shelly Verma: See, unabsorbed depreciation as of date is about, I think around INR 4,000 crores. And so based on our this thing, we don't see any tax. Basically, we have become nil tax because of the adoption of Section 115BAA, we are exempt from the minimum alternate tax.

d we have been taking
recourse to using this depreciation.

So if we analyze our numbers for the next few years, we don't see any tax liability arising as we already have this unabsorbed and every year as we keep on signing the lease agreement, we are getting the depreciation on the asset. So for the next few years, we don't see any tax liability arising.

Satinder Singh: Right. Ma'am you said that the weighted average tenure for assets is about eight to nine years. When we look at AUM breakup, almost 50 % and 46% of our assets are still advanced. So it means they are still in the morat period. And our understanding is that after morat, 15 years for the borrower to pay up. So if 46% has more than 15 years still to go, then our average should be more than eight to nine years, no?

Management: I think you are right. I think that eight to nine years is only for the whatever lease agreement we have already executed. If we consider whatever advance we have given, I think this will be more, you are right.

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Shelly Verma: And this 15 years is a total period and we do get the capital recovery. So average period is not 15 years, it's less.

Satinder Singh: Okay, okay, okay. Yes, I understand. So my suggestion is it would help for us to publicize this in our investor outreach, because this is one of our strengths that we got a lot of people with average term to be operated. With comfort on the consistency of revenue stream. So even though this seems to be FY 24 seems to be a challenging year, given that we have no mandate and our non-railway based business will have to ramp up only over a period of time. But the stability of top line and hence the profitability is still should not getting that much. So that's just it. This is my suggestion.

Shelly Verma: Yes, you're right. We have –huge AUM. Last three years our disbursement has been quite high. So we don't see any impact on the financials. And as and when we create a vertical of the non - railway assets, we'll see growth in our revenues and profits.

Satinder Singh: Finally, ma'am there was this point in previous call that that securitization is an option being considered. So where are we on this ma'am to generate funds for new lending?

Management: I think in the last year, in the month of October, we have explored this option. I think the results were not very favorable, but we are constantly monitoring this option and whenever we'll find a favorable option, definitely we'll explore through this way.

Satinder Singh: Okay. So, thank you very much, ma'am. You've been very forthright in this process. All the best to you. Thank you.

Shelly Verma: Thank you.

Moderator: Thank you. Next question comes from the line of Kartik Gada from Multiple Wealth Management. Please go ahead.

Shelly Verma: We'll be able to take about, I think, one or two questions more. We can take two questions more now.

Kartik Gada: Thank you for the opportunity again, ma'am. So somewhat of a subjective question. I don't know what would be the, I mean, how you'll be able to answer. What could be the reason for Ministry of Railways to not resort to EBR? And what I'm trying to understand is, has the Indian Railway become self-sustaining in terms of funding its own capex?

Shelly Verma: No, no. The reason is basically a very high gross budgetary support. So this is, this 23-24, the support is to the level of INR 2.4 lakh crores, which is unprecedented and extremely high. So that is the reason for not taking, giving us initial guidance on the EBR. So the reason is only the heavy budgetary support.

Kartik Gada: Okay, okay. But okay. Because what I was thinking is from MoR's point of view, apart from this budgetary support, to take funding from you is the best thing, right? Because there is no loading of tax, there is no loading of credit costs. The opex is

very, very miniscule. So the

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competitiveness of the yields, which you would be charging, nobody would be able to match, right? Not even the best of the banks.

Shelly Verma: No, no. You're absolutely right. The reason is not due to any cost thing. It is only due to the support they have got in this financial year.

Kartik Gada: Right. Okay. Thank you.

Shelly Verma: We can take the last question now, please.

Moderator: Thank you. Next question comes from the line of Pawan Tarodia, an Individual Investor. Please go ahead.

Pawan Tarodia: Hi. So if I see the other financial companies like PFC and REC, they have increased profit in this quarter, but your profit is decreased. So you mentioned there is one-time adjustment in this quarter that is the reason. So should we assume that it will not be there from next quarter, correct?

Management: I think there are two reasons for the lower growth in the profit. One is the level of disbursement we have done in the Q4 and in the full financial year. And second reason is because of the one-time adjustment. Going forward, I think as madam has already informed that initially we have got the new allocation from the MoR. So going forward, I think we'll have a lower disbursement through the first quarter itself. So whatever impact we'll have because of the lower disbursement, definitely that will get reflected in our Q1 number. But there will be no impact because of this one-time adjustment.

Pawan Tarodia: Okay. And any reason like why this one-time adjustment or impact is shown under, like it is absorbed in the finance cost. It is not absorbed or mentioned as an exceptional item. So any specific reason for that?

Management: Basically it is the change in the estimate and initially we have started this disbursement for against the project assets since 15-16. And initially whenever we have done this disbursement, we have raised the resources from many sources. And there was some ambiguity on what basis this WACC needs to be calculated. And since last year our first agreement got executed with the MoR and the required clarity got emerged. And based on the revised methodology, we have re-worked this WACC and it has got approved from the MoR. Because of the revision in the number, this adjustment was carried out.

Pawan Tarodia: Okay. Thanks for your response.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Shelly Verma: I just want to thank all the investors and analysts who have participated in this call. And I hope we were able to answer their questions. So still if there are any queries, information they need from us, they can separately mail to our investors cell, and they can reach out to us. We will be

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more than happy to share whatever information is required from your side. Thank you so much.
Have a good day.

Management: Thank you. Thank you so much.

Moderator: Thank you. On behalf of IRFC, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Sir/ Madam ,

This is submitted for your information and record.

(Vijay Babulal Shirode)
Company Secretary & Compliance Officer

Encl: As Above

“Indian Railway Finance Corporation (IRFC)
Q4 FY '24 Earnings Conference Call”
May 24, 2024

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DIRECTOR (ADDL CHARGE), CHIEF EXECUTIVE
OFFICER – INDIAN RAILWAY FINANCE CORPORATION
(IRFC)

M S. SHELLY VERMA – DIRECTOR (FINANCE) – INDIAN
RAILWAY FINANCE CORPORATION (IRFC)

M R. SUNIL KUMAR GOEL – CHIEF FINANCIAL
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(IRFC)

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to IRFC's Q4 FY '24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors. Thank you, and over to you, sir.

Sanket Chheda: Yes. Hello and very good afternoon to all of you. We have with us entire senior management of IRFC to discuss their Q4 Earnings and this strategy from here on. From the management, we have Ms. Uma Ranade, who is CMD (Addl Charge), CEO; Ms. Shelly Verma, who is Director (Finance); and Mr. Sunil Kumar Goel, who is a CFO.

Without further ado, I'll hand the call over to Ms. Uma Ranade for her opening remarks. We will follow it up with Q&As. So over to you, ma'am.

Uma Ranade: Good afternoon, everyone. I welcome all of you to this conference call and I would also like to thank DAM Capital for organizing this call. Now, as you all know, we had declared our audited financial results for the financial year 2024 on the 20th of May and this call has been organized to share the company's performance for the year. We had already circulated our investor presentation. I'm sure you would have all received it by now and seen it.

As you are aware, IRFC plays a strategic role as the sole market borrowing arm of the Indian Railways. IRFC has been consistently supporting railways capex funding both for rolling stock and other infra projects with extra budgetary resources. As we all know, railways capex has been increasing over the years with a focus on infrastructure, capacity enhancement, decongestion of high-density networks, passenger experience, safety requirements of its network, etcetera.

Achieving reduction in logistic costs in the country, enhancing safety of passengers, these remain the priority areas of the government.

Grass budgetary support has been kept at INR 252,000 crores for capital expenditure for railways in the interim budget of the financial year 2024-'25. Major part of the planned capex is directed towards implementation of major economic corridors namely for energy, mineral and cement, the energy, mineral and cement corridors, port connectivity and high-traffic density corridors.

These railway corridor programs are being identified and will enable multi-modal connectivity. While energy, mineral and cement corridors will help to reduce air pollution, pollution on the roads and ensure reduction in the cost of logistics, corridors for the port connectivity will provide seamless connectivity to the ports through the railways in a multi-modal approach. There is also corridors planned to reduce the burden on the high-density traffic routes. Overall, through these Indian Railway Finance Corporation (IRFC)

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corridors, about 40,000 kilometers of new track is likely to be laid over the next six to eight years, which will significantly increase the railway capacity and reiterate the railways' commitment towards sustained development by reducing carbon emissions. These programs will also help to contribute to economic growth, accelerate GDP growth, reduce

logistic costs for the nation, and improve passenger experience. There is also a plan to convert rail bogies to Vande Bharat standards. That is also being planned. There is also a plan to use part of the funding for modern Vande Bharat trains and deploying automated train safety technology across the Indian railway network. The capex funding of the Indian Railways is primarily funded by the budgetary support and extra

budgetary sources which include IRFC borrowings.

From financial year '21-'22, budgetary support for the Indian Railways has increased tremendously and, correspondingly, extra budgetary resources have been scaled back. In the financial year 2024, there was no requirement for extra budgetary resources to the railways due to the high budgetary support and, thus, there was no funding done by IRFC.

Although in the interim budget for the financial year '25, there is no EBR requirement from IRFC. However, the final budget for '25 is yet to be placed in parliament and passed. IRFC mandate also covers financing for projects with backward and forward linkages with the railways. Accordingly, we are actively looking at funding such projects in the railway ecosystem apart from funding of the Indian Railways and exploring opportunities in collaboration with other infrastructure lenders.

Now I will request our Director (Finance) to take you through investor presentation and share the financial highlights for the financial year 2024 before we move on to the question-and-answer session. Over to you, Shelly.

Shelly Verma: Thank you, ma'am. Good afternoon, everyone. I'll begin with a brief snapshot of the company.

IRFC, as you know, is systemically important infrastructure finance company with major shareholding by Government of India through Ministry of Railways. The current security state by the government is 86.36%. IRFC is a dedicated financial for Indian Railways as we have mentioned, and entire financing to Indian Railways is through finance lease model both for rolling stock and infrastructure projects.

It's a low-risk cost plus model as all the costs incidental to borrowing, including hedging and currency risk and interest rate risks are passed through and we are getting a consistent margin over the years. Margin for rolling stock is 40 bps and it is 35 bps for projects. This margin is added to weighted average cost of funds raised during the year to work out lease tenders. Total lease period is 30 years.

For rolling stock, this lease period is split between primary lease period of 15 years and secondary lease period of another 15 years. And during primary lease period, we recover all our investments and only nominal rent is paid during the secondary lease period. For projects, the Indian Railway Finance Corporation (IRFC)

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rentals start after a moratorium period of five years and the primary lease period is 15 years, secondary lease period is 10 years.

IRFC has been giving consistent financial performance over the years. We have highest domestic credit rating of AAA by CRISIL, ICRA and CARE, and our international rating is at par with sovereign. Our assets under management as on the 31st March, '24 stands at INR4.64 lakh crores, and 98.94% of this AUM is for exposure to Indian Railways. And if you see the breakup of this AUM, 35.52% is called rolling stock lease receivables, 20.37% for project lease receivables, and 43.05% for advance against infra projects, for which we are yet to sign the lease agreement, and 1.06% is for our loan to RVNL.

Net worth of the company has grown to around INR49,178 crores as on the 31st March. Our revenue for the year is 26,644.56 crores as compared to INR23,721.42 crores in the previous year. During the year, we have signed lease agreements for projects funded in FY '17-'18 after the completion of moratorium period. Our profit for the year is INR6,412.10 crores as compared to restated profit of INR6,167.20 crores for previous year.

Our total borrowing as on the 31st March, '24 stands at INR412,032.10 crores. And in order to keep the borrowing cost competitive, we raise funds from various sources like taxable bonds, from domestic market, rupee term loans, ECB, 54EC bonds. If you see the borrowing mix as on the 31st March, after total borrowing, our bonds, including 54EC bonds, are at 48.02%, rupee term loans at 30.63

% and ECB at 16.71% and borrowing from NSSF is 4.25%. And we maintain

a very strong ALM by raising funds for long tenure, in line with the tenure of our assets.

Weighted tenure of our assets is 8.6 years and weighted tenure of our liabilities is 7.4 years.

Our operating expenses are quite low, about 0.09% of total income, which is one of the lowest in the industry. Our gearing ratio as on the 31st March is 8.38 and capital adequacy is quite high due to our major exposure being to sovereign at 616%. Coming to our return ratio. Our return on equity for the year is 13.66%; return on assets, 1.31%; our net interest margin is at 1.38%; and earnings per share, INR4.91.

During the year, we have done restatement of lease receivables, amounting to about INR790.14 crores, which was basically due to short accounting of against capital recoveries in the terminal year for the lease agreements, which have completed their primary lease period. Out of this amount, INR620.28 crores has been restated in the receivables and net worth as on the 1st April, '22, and there's an impact about INR169.86 crores in the corresponding previous year that is FY '22-'23.

As our CMD has mentioned we are actively exploring funding for projects in the existing mandate like leasing a rolling stock other than MoR, funding of railway infrastructure being developed through State JV, upcoming dedicated freight lines, multi-modal logistics parks, non-conventional sources of energy including renewable energy for railway networks. We are in discussion with various other infra financials for core funding opportunities.

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And internally also we have taken a lot of steps like formulation of board-approved credit policy to manage credit risk and ensure that the credit extended is in line with the company's risk appetite and the credit standard that we have been maintaining over the years. This will help IRFC maintain a healthy loan portfolio and minimize the businesses with setting up credit -- we have set up internal credit committees. We have onboarded certain agencies for financial appraisal, technical appraisal and also for the legal due diligence.

Our board has recommended final dividend of INR0.70 per equity share for FY '24 which is subject to approval of our shareholders in AGM. This is in addition to interim dividend of INR0.80 per equity share. The total dividend for FY '23-'24 is INR1.50 per share that is all from our side. Now we are open to questions from the participants.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Kaustubh Datta individual investor. Please go ahead.

Kaustubh Datta: Excellent. Thank you. My question is regarding the extra budgetary resources and I am a recent investor and I am understanding it in this way that without that EBR the growth will be kind of restricted and I'm sure you would be -- you mentioned about linkages, forward and backward linkages with railway that is an option before you.

And I think you have adjusted your charter to that extent and you are permitted to do that. Earlier, it was kind of restricted. So is that all or you are thinking of other avenues to fund growth. You mentioned about INR50,000 crores as market borrowing plan for FY '25, but I'm trying to understand a bit more about this EB at the relationship of growth with EBR because I think this is directly linked. So how can you derisk yourself from that?

Uma Ranade: Well, to begin with the trends will continue in the next couple of years, because if we are talking about the Indian Railways then we have lent them a lot of money in the past. And right now, we are still executing the lease agreements with them with regard to the project assets. So for the next couple of years there should be no problem at all whatsoever even though the EBR component will reduce.

Secon

dly, right now, it has to also be understood that there is an on-account budget. There is a huge investment being made by the railway sector as a huge infrastructure push is being govern even by the Indian government and therefore we will have to wait until the budget is passed properly and right now as I said we are still in the interim budget stage. So let's see, the path will be clearer once the budget is passed.

The point is that, yes, since there is the extra budgetary resources are seeming to be coming down. We are looking at the forward and backward linkages and are actively in discussion and talks in trying to see where we can lend further. And in addition, we are using this interim period.

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As I said, for the next two years, there should be absolutely no hiccups along the way. And we are using this time productively to make sure that we get further businesses and also strengthen our own internal mechanism so that we do a proper appraisal of the businesses that do come away or the opportunities that we do see -- the opportunities that we do want to take on. So that is the preparation and way forward.

Kaustubh Datta: So what, as per your initial estimate, would be the opportunity through the forward and backward linkages? And can you share some ballpark number?

Uma Ranade: Right now, we are still in the middle of -- we are still at a preparatory stage. So it would be difficult to share any kind of ballpark numbers, but the forward and backward linkages are many. There are several areas that we can look into. So that is right now ongoing.

Kaustubh Datta: All right. And you mentioned about the lease agreement, the two years, we are safe, but does that mean there would be some kind of growth as well, which -- those are incremental ones coming for FY '25 and '26?

Uma Ranade: No, no, that is exactly what we are working on, because we have a period of about two years to get that thing in place. As I said, for right now, our financials are very robust and will continue like this for the next two years. And this is the time and the opportunity for us to make sure that we diversify our businesses so that we can sustain it beyond that period as well, which is actively going on.

Kaustubh Datta: All right. Thanks. I'll get back to the queue. Thank you.

Moderator: Thank you. Next question is from the line of Prakriti Banka from HSBC. Please go ahead.

Prakriti Banka: Yes. Hi. Thank you. I just wanted to know what was your disbursement as of the end of this year?

Moderator: Prakriti, sorry, your voice is coming muffled. Can you speak for the handset?

Prakriti Banka : Yes. I just wanted to know what was the disbursement for the full year?

Uma Ranade: In previous, I mean, the year '23-'24, there was a miss disbursement because, as you know, the extra -- the funding was done entirely by budgetary support.

Prakriti Banka: Right. When you say that you have these leases, which you are yet to execute...

Uma Ranade: I'm sorry. That was not very clear. Can you just repeat?

Prakriti Banka : Sorry. Yes. So I said, when you say that you have these leases...

Moderator: Prakriti, sorry to interrupt you. Your voice is coming very much muffled.

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Prakriti Banka: Just one moment, please. Yes. Is it any better?

Uma Ranade: Yes. It's better now.

Prakriti Banka: Yes. So I was saying that when you said that you have leases which are left to be executed going ahead, will this entail disbursement? I don't quite understand when you said that, for the next couple of years, we do not. Even if there is no EBR that is required, you won't really have trouble. So can you just explain that a little, please?

Uma Ranade: Yes. Basically, IRFC has a leasing financial model and what happens is when we lease out the rolling stock or whatever it is to the Indian Rai

lways, there is a moratorium period before which

Indian Railways starts paying us back. And since we've been lending enormous sums of money over the past so many years to the Indian Railways, some of those moratorium periods are coming to an end and we are signing those lease agreements now.

So as I said, that inflow continues to be robust and will continue to come in and we are okay in this manner for the next two to three years at least. It is, therefore, imperative and that is the aim of this company that we use this period to build our own internal structures and mechanisms so that we can properly assess other business opportunities and go in for those business opportunities in a possible scenario where the lending to the Indian Railways may dry up. We are fully aware and seized of this and we are using this period to strengthen our own mechanism so that we can diversify in a safe and profitable manner.

Prakriti Banka: Understood. So basically, what you mean is that now you will start receiving -- or there will be a payback that is happening and you are now sort of looking for opportunities where you could be deploying this money.

Uma Ranade: Absolutely. At this point, we are looking to diversify and we are able to do that in a proper manner because we have the -- a period of two years in which to properly plan and to properly implement and to properly increase our own mechanisms so that we can do a proper -- so that we can -- business goes on, it's business as usual after the next couple of years.

Prakriti Banka: Right. In terms of -- I mean, if you are then looking to diversify into, say, other infrastructure areas that you did mention that you will probably tie up with other infrastructure finance companies, I mean have you sort of onboarded some kind of team already for that or is this still at the growing board?

Uma Ranade: No, we have brought a team in place, but it does have to be strengthened. And certainly, we are in talks with certain companies so that we can take this forward. And as I said, in any case, the company already has a charter that we can fund. We can fund entities with any backward or forward linkages with the Indian Railways. And there are several sectors over there, including other than the leasing of rolling stock to MoR, we can lease rolling stock to other people. We can fund railway infrastructure, which is being developed through state JVs.

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Then there are all kinds of other multi-modal logistics parks that are coming up. Non-conventional sources of energy are there, including renewable energy for the rail network. So the business opportunities are diverse and large, especially in the background of a tremendous infrastructure trust by the Government of India, all which are being pursued by us.

Prakriti Banka: Right. But like you mentioned that the size of the opportunity is not something that you could outline right now, ballpark maybe?

Uma Ranade: No, I would not like to give a ballpark right now because we're using this time to get everything together. But as I said, we do have enough time and enough opportunity to make sure that our revenues continue to be robust.

Prakriti Banka: Right. And just in terms of when sort of -- you did mention you have two years to execute this. But when we can start seeing some sort of sanctions in these various opportunities? Do you have some sort of a timeline for that?

Uma Ranade: I think the timeline essentially is that we have to have something in place over the next two years. And going forward, probably within this year, we might be able to get some progress, but we will have to wait and see because, as I said, it is also contingent to a very large portion on the final budget being passed. Because at this point, as I said, it's still an interim budget. And the kind of infrastructure development that is going on in the railways

and the kind of capex

expenditure that is there, the capability of the Indian Railways to absorb capex is tremendous.

So even at this point to rule out the possibility of lending to Indian Railways, we cannot rule that out at this point either.

Prakriti Banka: Sure. Just one last question for me. Just with respect to spreads, they've been quite stable now, but do you see any scope for them to move either way?

Uma Ranade: I'll just hand that over to D of Finance. If you can repeat the question, please?

Prakriti Banka: Right. So I'm seeing the spreads that you charge over your cost of funds. They've been quite stable for a few years now. Is there any possibility of this moving either way in the next year or so?

Shelly Verma: See, our spreads for the -- as I mentioned, for the rolling stock and projects have been consistent. So we don't see any -- one thing which we have to appreciate that apart from these spreads, our risk with respect to currency or interest rates are also passed on. In this background, I don't see any requirement of change in spreads. So this will continue. They are the same for the past four or five years. So I don't see any requirement of changing the spreads.

Prakriti Banka: Got it. Okay. Thank you very much.

Moderator: Thank you. Next question is from the line of Ritika Dua from Bandhan AMC. Please go ahead.

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Ritika Dua : Yes, ma'am. Thank you for the opportunity. Just some follow-ups. So the previous question, like in how you alluded at the start that you have two years to firm up the plan on the future growth.

When you say two years, are you largely referring to this because of the disbursements that you did in FY'20 and '21, which were quite healthy and which would now start? Are these two the years which will now start, the moratorium would be over, and that's how the -- you have two more years to plan, because the earnings from these would start flowing now more into the P&L? Is that the right understanding?

Uma Ranade: Yes. The understanding is that because of the moratorium period, the Indian Railways only starts the payments to us after five-year period. So in fact, the lending that we have done in '17-'18, that is now going to start and bear fruit. And therefore, when we see that the lending to the Indian Railways in the year '23-'24 had dried up, that effect will not be perceived immediately, because we've already got a lot of our investments in the pipeline, which are now going to start yielding fruit. And as you know, prior to '21-'22, we had extremely healthy lendings to the Indian Railways. So this -- as I said, that is the reason why we have this time to plan and make sure that we strategically broaden our financing portfolio.

Ritika Dua: Sure, ma'am. So just to follow up on this, ma'am, so when I actually just look at, like, just the annual numbers here, when I actually see the NII, the net interest income, for '22, '23, '24 were pretty much similar on an absolute basis. A very similar trend was seen in '18, '19, '20. So can we just assume that once '25-'26, and you are able to bear the fruit of the lending done from '17 onwards, would absolute, in the -- in '25, '26 show a considerable jump?

Uma Ranade: I do think...

Ritika Dua: The absolute NII growth, can it be very sharper? Or I mean, at least can it be -- at least, can there be a growth, because it's been pretty flattish in '22, '23, '24, now that you would, the moratorium is over?

Uma Ranade: Well, there may not be a very sharp jump, but certainly, there is not going to be any kind of sharp decline either. And to a very large extent, as I said, we are also exploring other opportunities, but I'll also ask my DF to add to this.

Shelly Verma: See, if you see the -- our accounting model, see, what happens when we are -- during the moratorium period, when we make a disbursement, we just take the margin in o

ur bottom line.

We directly take that, consider the margin. But when the -- and during this moratorium period, we keep on capitalizing the interest, which adds. That's the reason you must have seen that, although there has been no incremental disbursement during '23, '24, but there has been hardly any impact on my AUM.

It has gone down only by 2,000 crores because we have capitalized our interest on the previous disbursement for a project asset for which the agreements are not yet signed and there is a capital

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recovery which is coming. So it in a way balances off. So what we are saying till the time we sign all the agreements, there is a interest capitalization amount, which adds to my AUM.

Ritika Dua: So actually, what will happen in the -- maybe after '24, your leasing would start converting into the advances. And so that's why I was just trying to understand would the NII accretion coming '25-'26, could we see a growth in the NII? Is what I'm trying to understand. On an absolute basis, this INR6,400 crores number roughly, which has been in a ballpark of INR6,200 crores to INR6,400 crores for the last three years in FY '25-'26 now that you would start booking them as advances. Would the NII see a growth? Or we can at best expect another INR6,400 crores ballpark kind of NII in '25-'26 basis, the...

Sunil Kumar Goel: We are following a leasing model. We have two kind of assets. One is the rolling stock asset and another is the project asset. And in case of a project assets, we are executing the lease agreement after a moratorium period of around five years. And once the lease agreement gets signed, we are accounting these assets as per the Ind AS 116. And before signing up the agreement, we actually -- whatever disbursement happen to the railway -- Indian Railway will recognize income only for our margin portion. That is cost of lending and borrowing. And after execution of the lease agreement, we will account for the lease rental, which includes margin as well as my cost of lending. So after that -- after execution of the lease agreement, there will be a increase in the top line as well as in the finance cost. But the net accretion to the NNI would remain same.

As long as my AUM is not increasing, I think our net accretion would be at the same level, which I had in the '23-'24. I think over the next few years, as madam has explained, that we have -- approximately, as of now, we have a balance of around INR2 trillion funding for this project asset. And over the few years, we will be executing the lease agreement for these assets. Till the time we will execute the lease agreement, whatever debt servicing will do, that will be -- will add to my future years' AUM.

And whatever capital recovery I am getting against agreement, which I have already signed, so that will be a compensating kind of a thing and my AUM would be at the same level.

Accordingly, net accretion to the NII would be to the extent only whatever fund I am redeploying into the business. That will be limited to that extent. I think I have...

Ritika Dua: Thank you so much, sir. Very clear, sir. Thank you so much. If I could maybe just ask two more questions. One is that on the new, new ventures that ma'am was sharing at the start. So is the understanding correct that even the new ventures would be more aligned to the railway sector? So even if you're talking renewables, you're talking about renewables as a source only to be deployed in the railway sector. You're not talking about renewables in general. So that's one clarification I just wanted to check on.

Uma Ranade: Yes. Actually, my current projects permits me only to fund projects which have a backward and forward linkage with railways. So, when we talk about these renewable projects, as of now, we

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are talking

only about projects which have a linkage with the railways. We are not talking about entire other renewable projects.

Ritika Dua: And ma'am, any views around that we discussing with the ministry to actually expand our scope of the funding in terms of maybe sign -- getting a new MoU signed or something like that? Can that be a possibility, looking at how the other PSU NBFCs have been expanding into other infra opportunities?

Uma Ranade: Yes. That would be one of the possibilities that we will be pursuing to expand our charter. But the point is that even -- that, as I said, we will be pursuing, but even without that, the forward and backward linkages with the railways itself throws up so much opportunity in the

infrastructure sector. So I don't think there should be any really big issue on trying to even expand that further because we have a lot of opportunities within the backward and forward linkages itself.

Ritika Dua: Sure. And then just one last question, just linked to this one. So since you -- on the new ventures that you are alluding to, what we have seen earlier that your spreads have been pretty much stable and sort of maybe capped, if that is the right way to put it. But in the newer ventures, could there be a scope of actually doing it at a better spread or do you think that the spread would be the same?

Uma Ranade: For the new venture, it is not linked to the -- our funding to MoR. Those spreads will be purely dependent upon the credit profile of the project and the numbers that is shown on the -- based on the due diligence. There will not be any regulated framework or any linkage with the MoR funding. Those will be purely based on the industry standards.

Ritika Dua: So fair to say, could be higher actually.

Uma Ranade: It could be higher. Yes, definitely, it could be higher.

Ritika Dua: But ma'am, any ballpark there that like what are really like when you are evaluating today, what are the spreads when -- if you look to maybe to...

Uma Ranade: I think it will be too premature to give any spreads at this stage unless we have started funding the project and we can give you the numbers on the process to give the numbers on the project.

Ritika Dua: Thank you, ma'am. Thank you. so much. Thank you. Those are my questions.

Moderator: Next follow up question is from line of Kaustubh Datta, Individual Investor. Please go ahead.

Kaustubh Datta: Just with a quick question around your INR50,000 crores borrowing for FY '25, can you talk a bit about that please? Because you're saying you're not having extra budgetary resource requirement, but still you're borrowing. Can you explain that a bit more please?

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Uma Ranade: See, as we mentioned that this is only based on the interim budget and final budget is yet to be approved. So based on our internal assessment, we have taken this approval from Board for INR50,000 crores. We'll take care of any disbursement which may come up during the year, my committed liabilities and we are also exploring lot of refinancing opportunities. So whatever funds would be required for refinancing, this borrowing will be used for the refinancing as well.

Kaustubh Datta: Got it. Got it. Thanks.

Moderator: Thank you very much. Participants, as there are no further questions, I now hand the conference over to the management for closing comments.

Uma Ranade: Thank you so much. We want to thank all the participants for attending this call. We hope that we were able to answer your queries. But still if you need some more information or details or data points, you can always get in touch with our Investors cell and any of us. And we'll be more than happy to answer your queries. Thank you so much.

Moderator: Thank you very much. On behalf of DAM Capital Advisors that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

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Sub: Transcript of the Earnings Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended from time to time and other applicable Regulations, please find attached transcript of earnings conference call held with analysts /investors on 5th November , 2024, to discuss U naudited Financial Results for Q2/FY24 -25 and Half Year . Please find below the link of transcript of earnings conference call held with analysts/investors on 5th November, 2024
[https://irfc.co.in/sites/default/files/inline-files/Investor%20Call%20Transcript - %20Q2%20FY%202025.pdf](https://irfc.co.in/sites/default/files/inline-files/Investor%20Call%20Transcript-%20Q2%20FY%202025.pdf)

For Indian Railway Finance Corporation Limited

November 05, 2024

MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN &
MANAGING DIRECTOR , IRFC
MS. SHELLY VERMA – DIRECTOR FINANCE , IRFC
MR. SUNIL KUMAR GOEL – GGM, FINANCE & CHIEF
FINANCIAL OFFICER , IRFC
MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS
LIMITED

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Moderator : Ladies and gentlemen good day and welcome to the IRFC Q2 FY25 earnings conference call hosted by DAM Capital Advisors Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited .

Thank you and over to you sir.

Sanket Chheda: Yes, Thanks Nidhi. Hello and very good morning to all of you. We are here to discuss the IRFC Q2 results. We have with us the entire Management Team .

The key personnel s will be Mr. Manoj Kumar Dubey who is the Chairman and Managing Director . He would be doing this call for the first time after joining IRFC and has quite a dynamic personality , comes from a very rich experience across many industries. The second is Ms. Shelly Verma who is the Director (Finance) and Mr. Sunil Kumar Goel who is a GGM (Finance) and CFO.

So, without further ado I will hand the call over to the MD sir , Mr. Manoj Kumar Dubey. We will follow that up by question and answers after his opening remarks. So, over to you sir.

Manoj Kumar Dubey : Thank you Sanket for all the good words. Good morning, friends. Welcome to Conference Call for Quarter 2 Results of FY25 for IRFC. I am Manoj Dubey ; Chairman and Managing Director of this Company . Joining me today are my Director (Finance) – Ms. Shelly Verma , my CFO – Mr. Sunil Goel and also my Head of Department s.

Before we discuss the H1 and Q2 Results of the current FY , let me have the opportunity to introduce myself in brief. I took over as CMD IRFC on 10th of October last month. I bring in more than 30 years of experience of working in Railway Infra Logistics and Railway Finance ecosystem. I am an IRAS officer of 1994 batch from civil services, and I worked with UTI also before joining railways . In the last decade from 2013 to 2018 , I headed the Railway Board's Infra Finance wing of PPP and extra budgetary resource mobilization. So, in a way you can say that for me now , I've changed the side of the table. Earlier in my career, I was looking at IRFC for getting the money for railways and now , from this side I will be doing the job for arranging funds to railways . Meanwhile from 2018 to 2024 , I was also on the board of Container Corporation of India Limited , that is popularly called CONCOR, a leading Navratna Railway logistics company as DF and CFO . The Ministry of Railways and GoI who are promoters of IRFC , have brought me here as CMD for a tenure of 5 years.

Coming to a brief about the latest journey of IRFC :

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As you know this company is working from 1986 mopping up funds for Indian Railways particularly. the journey from 2015 onwards took a new turn . In 2015 for the first time apart from funding the rolling stock requirements i.e., engines and wagons and coaches for Indian Railways , Indian Railways also started taking funds from IRFC for their project financing . I was in fact in those days in the Railway Board itself . That journey culminated in a very steep rise in the assets of this company.

In fact, from 2018 to 2023 average (+60,000) crore s disbursement took place and in fact there are two highlights :

1. In the FY2021 , the total disbursement by IRFC to Indian Railways was more than 1 lakh crore s. Until that year that was the highest for any NBFC to disburse in one year.
2. In FY2023 the total disbursement size of IRFC grew to around INR 5 trillion i.e., INR 5 lakh crore s. In that particular year it was highest in the CPSE

- NBFC system. With

this steep rise in the business , one more milestone took place for the company in 2021 . The listing of this company was done and nearly 13% of shares were divested. You

all know that since then the market cap of this company has grown steep , posing a lot of confidence in the kind of business that we do. The company also has a rare distinction of maintaining Zero -NPA and has grown stronger in the balance sheet in last 5 -6 years .

With very high and steep growth in its assets under management for 5 consecutive F Yss, there was no disbursement in the last FY and current FY till now. In fact , our debt-to-equity ratio because of the steep rise in the last FY had grown very high , nearly (+9) which is now cooling down to nearly 7.5 . This period of six quarters , we did not disburse but our projects which we financed with 5-year moratorium time , was still giving us a good revenue stream and that is keeping our top and bottom line steady and healthy.

With the full regular functional board in place now , taking over for next 5 years and I have now my full team with me , company is making concrete plans and roadmap for renewed lending structure , not limiting itself to railways directly but also to the backward and forward linkages in railways and logistic ecosystem which covers almost everything in infra sector. If we talk about port also , we talk about anything which is doing something with the logistics will come out in our purview of memorandum of article.

Meanwhile going further , company will keep augmenting its core competence and be ready to leverage our balance sheet strength to make very attractive funding available to all sectors as per our mandate and MoU .

You may be aware that IRFC's weighted average cost of capital has always been lowest among the peers and we intend to further bring it down , leveraging our strong balance sheet , having more share of 54 EC with zero NPA and zero tax status .

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Coming to our Quarter 2 Results and numbers :

As you have already seen it has been as steady as it could be and I assure you that coming couple of quarters will be giving a lot of pace to growth trajectory of the company with infra story of the country for next 20 years I would say is completely intact and the story of infrastructure in railway in particular fully intact. I see a very bright future of IRFC .

With this remarks, I welcome you all to this Q &A session with us. Thank you so much.

Moderator : Thank you very much . We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touch tone telephone. If you wish to remove question from the question que, press “*” and “2”. Participants are requested to use handsets while asking question. Ladies and gentlemen, we will wait for a moment while the question que assembles. Participants you may press “*” and “1” to ask a question. The first question is from the line of Sanket Chheda from D AM Capital Advisors Limited. Please go ahead.

Sanket Chheda : Yes, Hi Sir , My question was that in last 2 years we have seen developments in other PSU-NBFCs as well. So , PFC-REC like earlier used to do only power , later they have been mandated to do infra which is non -power as well as we see renowned CAPEX after many years and signs of private CAPEX picking up is already visible. So , in case of IRFC so far, we have been only into railways related financing. Any thoughts on say moving to different sectors or getting those mandates and any change of strategies there or any inclusion of other sectors as a part of strategy , so anything that you can highlight would be useful ?

Manoj Kumar Dubey: So yes , Sanket this is the most pertinent question for us. Number one as you rightly said that the PFC and REC with their core sector of power, they are now into every

thing as Infra finance

company. So likewise, we also have a mandate from RBI to lend to anybody . There are no restrictions on that side. Having said that , till now we have been funding only to the railways for two reasons. One , as you see that my asset under the management size is as big as REC and PFC with the appetite that railways had with us. So obviously till now we have never looked forward to anything else rather than meeting the targets of the railways which used to be very high. In fact, I mentioned that in the last five FYs before FY23 the average disbursement was 60 ,000 crores , and in FY 21 was more than in fact by PFC-REC also. Yes , going forward now first thing that we have already started looking towards the other entities who are having forward and backward linkages with the railways and the logistics sector. In fact, if you are tracking us, we are entering into arrangement to fund NTPC for purchase of their wagons which they use in the railway system for their coal logistics. Similarly, there is everything including even the hotel construction which is linked with the railway tourism which we can fund . Also, yes, we are making a strategy and we are very much planned to go forward in next quarter and the next FY ahead to look into these prospects. And one more thing , as you know that in railways we do the bulk of lending with a margin of 35 bps and 40 bps. Once we go outside this purview , we don't have that restriction. So obviously we will be doing the lending at a very attractive rate and try to be competitive than the peers. This is what our motto will be. But still our margins will be

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high and that will show a good growth in our PAT going forward . And next question that you mentioned , yes, going forward the quarter to quarter , story of growth will unfold and we will share with you. Yes , our aim is also to be as good as funding anything and everything in the infrastructure of the country like PFC-REC in the coming years. I will say it may not be visible in next two quarters . But with the growing muscles and things going forward , that is the destination for this company also.

Sanket Chheda: As far as the pricing is concerned , we see that R EC-PFC cost of funds are around 7 -7.2 and they lend at around 9.5 , so they make about 2.3 -2.5. We have been operating at a very thin spread. If we continue to do so for the other in fra, is there a possibility to gain the market share from the others NBF Cs dealing infra segment or any thoughts there?

Manoj Kumar Dubey: So San ket, y our question has got an answer . The moment we foray outside railway, in railways business it is a zero NPA business , it is assured business, and we have an arrangement of funding them at 40 bps and 35 bps for projects . Once we go out obviously to the lucrative market as you rightly mentioned the kind of bps —which I am not saying you are saying me that —300 bps or 250 bps , so those lucrative aspects are there for us also to gra b. Yes , as our ethos have been , since our weighted cost of capital has been lowest in the market , if we foray out as and when and which we are going to be very soon. It's not that we are going to crash the market of lending but yes , we will surely be the most attractive lenders in the ecosystem. That goes without saying. And surely we are going to move out apart from the railway funding to the other sectors from next quarter onwards. So that is on the card.

Sanket Chheda: The other question was , that one is that what kind of a growth CAGR we should expect over next 2 years , 3 years , 5 years that you would have under the plan and particularly outside the railway related financing which has been a zero NPA business for us. Whatever other things that we do , how do you see the share of that piece moving in say 3 years or 5 years? So , will it be say

10% of the AUM in 3 years , 15% -20%, h ow do you see that?

Manoj Kumar Dubey: So Sanket, I won't be putting in numbers on that but as you see what we are working straight away , one that steady pipeline could come from the railways . That we are already in discussions and once the things unfold as you know railway s declares this right in the beginning of the FY and the beauty of the railway is that the whole disbursement takes place in the same FY in comparison to other companies where sanctioned projects are not mandator ily disbursed in the same year. It may get dis bursed in couple of years , say 3 years . In our case once the railway declares in the budget that this much of funding will be taken from IRFC, it is dis bursed in the same FY . So that is one stream. Second stream also we are not putting in numbers. But as you see once we grow and go out in the market and start taking anything in the logistics field and the infra field, obviously we are going to grow. And since my numbers other than of the railway is zero, my CAGR for those fields will be high . Whatever margins will come from that business as you have already seen that my peers are doing at 2 50 bps a nd 300 bps also in some cases , we will look at the quality of the assets and obviously our growth will be quite phenomenal. If you Indian Railway Finance Corporation
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want to me to say in next 2 to 3 years that is a plan in the hand. I will refrain from putting in numbers on that. But every quarter when we meet you , the numbers will keep unfolding for you.

Sanket Chheda: Sure Sir, Sure Sir .

Moderator: Thank you very much .The next question is from the line of Kamal Mul chandani from Invest ec Capital Services. Please go ahead.

Kamal Mulchandani: Hello Sir, thank you for the opportunity. I just wanted to ask like what is the disbursement target which we are planning for the current year and the next year? Apologies if I might have missed the answer to this question like earlier.

Manoj Kumar Dubey: So right now , we are not given any targets as I mentioned to you for the last six quarters . I mean the last full FY and this FY for the first two quarters , there has been no new disbursement. Of course, because of the moratorium that we have given on the project side , we are adding them every year in tune of around 25,000 crore s. That will keep coming. Apart from that after taking over last month , we are working very actively with M oR and Ministry of F inance (MoF) also, to start our steady business from the railway side and we are funding to NTPC and we intend to start looking at the prospects in other sectors also. So , I will not be giving numbers but going forward I can assure you that our disbursement as well as the project sanction will pick up steadily.

Kamal Mulchandani: So just wanted to understand that we are for aying into other infrastructure sectors apart from railways. So , what is there some guideline from the ministry or something that they won't be needing any funding from IRFC going forward?

Manoj Kumar Dubey: No, Let's be very clear , as I mentioned to you the funding to the MoR which is our mainstay and which is the main mandate that should keep continuing . What size of the funding will be there that they announced every time in the budget , so the post February when the budget will come out will give a full clarity for next FY . For t his FY also and if you understand the government built in system , there's something called revised estimate and this revised estimate comes in the month of January for this current FY . There may be a chance that if they feel like giving us something that can come up there's no guarantee of that. But if something comes the same will be disbursed in Q4 only. This is the beauty of the business that we get from the railway. It's not like sanc tioning and this disbursement possibl

y will take in some three -four-five quarters .

Whatever if at all something comes from the GoI and MoR for us to be disbursed that surely will be disbursed in this FY only. So , it all depends how it unfolds, and I think the story will be unfolding in January and February so far as government business is concerned. I hope I have made it clear.

Kamal Mulchandani: Ok. Thank you so much Sir . So just wanted to ask like what is the contract size of the deal which we have done with NTPC?

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Manoj Kumar Dubey: That is 700 crores . This is just the beginning because this is the first time they have done a leasing model with us. As you k now we didn't do the funding in that loan kind of thing. It is the same model that we do for the railways. It will be a leasing model for 15 years and the first tranche of 20rakes they have entered with us. And this is a very lucrative business we are looking forward to coming from NTPC and all petroleum companies who are main customers of Indian Railways. So , they are now thinking of owning the rolling stock on their own rather than depending upon the railway. So, this will be a very lucrative business going forward if we get a good pie of it because we are the only company who are in the lea sing business of the rolling stocks and margins will obviously be better than what we are ge tting from the railway s. So that's one of the brighter sides that we are looking forward to and we will try to monetize it and grab it as quickly as possible.

Kamal Mulchandani: Ok. So, will there be any change in the tax rate because of this or like it will continue to be zero ?

Manoj Kumar Dubey: Let's hear from my Director, Finance on this.

Shelly Verma: See, Currently we have opted for , as you know, section 115 BAA and because of this depreciation on the lease assets we are not paying any tax. So , this NT PC business is also on the leasing model. So , we will continue to get depreciation and because of the accumulated depreciation for my funding to MoR also for the next couple of years we don't see any tax payment.

Kamal Mulchandani: Ok, But will account for some credit cost for this to some extent like that would be there ?

Shelly Verma: Yes, whatever is a borrowing that will cause. But because of the accumulated depreciation and further depreciation on whatever financial leases we do subsequently will get dep recia tion on that also. So , we don't see any tax payments coming for the next couple of years .

Manoj Kumar Dubey: Minimum.

Shelly Verma: Yes.

Kamal Mulchandani: Just wanted to confirm on that point as well that since this is some financing to other than railways , we will be booking a provision for credit cost that will account provision for towards NPA and something like that?

Shelly Verma: Can you p lease explain what kind of a provision you are talking about ? Is it f or standard assets.

Kamal Mulchandani: Again, loan losses, yes correct.

Shelly Verma: We are currently doing 0.4% for whatever funding we have done , for RVNL Loan, the same provisioning will do for this exposure also.

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Kamal Mulchandani: Ok

Manoj Kumar Dubey: That doesn't have much of impact as you see in the RVNL we have done.

Kamal Mulchandani: OK. Got it, Thank you so much.

Moderator: Thank you very much . The next question is from the line of Naman Kumar . Please go ahead.

Naman Kumar: The first question is with regard to project assets. I understand 5 years is moratorium period. But after that once the lease gets signed like what is the duration of primary lease period? Is it same as rolling stock which is 15 years or is it more than that?

Manoj Kumar Dubey: Let us hear from my CFO .

Sunil Kumar Goel: We will follow the same method as we are following in the c

ase of a rolling stock . The primary

lease period would be 15 years and in case of a project asset , secondary lease period will get reduced from 15 to 10.

Manoj Kumar Dubey: 30 years remains the same. A 5 year moratorium takes out of the second leg of 15 years. So , 15 years is the same and the next 15 year reduced to 10 year .

Naman Kumar: And my second question is with respect to no targets being given to IRFC —I know we have discussed a bit on this with prior questions as well —but if you can give some clarity like why is the case? Because historically I've gone through previous year's annual report like 10 -15-20 years. I have never seen that Ministry of Railways has not given any target to IRFC . So, there must be something which is happening to which might be you guys may be privy to. So , if you can let us know that will be very helpful for the investors to understand what is going on ?

Because I read one CAG report wherein there is a question or there is an issue where Ministry of Railways is paying substantial chunk of its collection to IRFC in the form of principal payment and interest payment on leases. So , if you guys have any privy to what is the rationale for the last six quarters or for the last 2 years and the Ministry of Railways has not given any funding to IRFC that will be very helpful ?

Manoj Kumar Dubey: So Naman most of the things are in public domain only. So , nothing is being hidden from any of the shareholders of the company. So , let's hear in a proper manner. As I mentioned in my opening remarks also , if you look at the disbursement from FY 18 to FY23 that was steep and abnormally high disbursement that IRFC did to the railways . The average was 60 ,000 crores. If you listen to my opening remarks , FY21 was as high as +1 lakh crore s in one year. So , there is something called debt to equity ratio that RBI also monitors for every company and in those days my net worth was nearly 40 ,000 or 39 ,000 crore s. So, this debt-to-equity ratio went nearly 10 times which is quite high in terms of RBI's guidance also. So , there were two things. One that all of a sudden in 5 years , AUM rose very steep if you are watching my balance sheet for 30 years , if you look at my asset in last 25 years and asset in last 5 years , that will give you the Indian Railway Finance Corporation

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real picture. So that the rise of the balance sheet and asset under management was so high in 5 years that it was little difficult to not to take a pause and put things in the right perspective. Let the debt equity ratio also cool down and have a new strategy. So , this is the primary reason of that. Nowhere it is opined by government of India that henceforth no disbursement will be done by IRFC . This is the prime reason that we foresee as a company on behalf of the Government of India. There was some vacancies also in IRFC . Now I have full board with me , we are already in constant discussion with MoR as well as MoF and since nothing has come out in clarity so I am not putting in numbers but as I mentioned in the last question that something should come out with clarity in the month of January for RE that is this FY and in the month of February for next FY because government is very clear if there's anything allocated to IRFC that comes in the part of budget only. So , there is no ambiguity so far as that is concerned. So , this is part A , part B after listing and with the size of balance sheet which is nearly 5 lakh crore s it is incumbent upon this company now to diversify. There is no requirement now just to be dependent upon MoR funding only. The balance sheet strength and my net worth strength give me lot of leg room to start looking at the quality assets in all the infrastructure. As you know national infrastructure pipeline forecasts huge capital investment coming in various sectors of the country for next decade

ade. We want to be part of that and we need to enjoy that pie also in a manner that we also get good numbers on our bottom line for our shareholders. At the same time , we wish to position ourselves as a NBFC who is lending to all the people who are in the growth story at a very competitive rate. We have got an excellent reputation in ECB market. We are the one in the country who get the ECB lending at the cheapest rate. We are the only company who has come up with a 30-year tenor bond in the market. We are the first company who got their bond listed in GIFT City. So , these strengths we want to leverage not only for railways , going forward for all the sectors. And if you heard other questions , beauty for IRFC is that if I do a railway business, I am getting 40 bps. And if I do business outside the railways as somebody mentioned , that the ambit is at 300 bps. So , if I do those businesses even in smaller number than what I am doing for the railways my PAT is going to be very sound and steep. So next 2-3 years that roadmap and plan we are making and everything will be unfolding as I said every quarter onwards . Maybe January when we are meeting with Q3 results , maybe I will be coming out with numbers also what MoR is giving us and what MoF is planning to give us. But right now, this is a projection I can share with you. I hope I have clarified.

Naman Kumar: This was really helpful. If I can squeeze in one more question. It's more fundamental question regarding interest cost. So , suppose when we lease a rolling stock. Just a conceptual question it is. Suppose we lease the rolling stock of 100 crore s, at that time that particular year my incremental borrowing rate for the year was 7%. So , I will lease it to MoR for 7.4% , right?

Manoj Kumar Dubey: Let DF answer.

Shelly Verma: You're right. This is the WACC plus but at the same time we have to understand our business model. It's not only price, but our risks are also passed on. If that borrowing I have done say from a floating rate, then interest rate variation is passed on. If that borrowing I have done from Indian Railway Finance Corporation
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ECB, then currency variation is passed on. So, it's a cost-plus model. So, cost plus some of the risks are also passed on. But you're right if cost is 7, then at 7.4 I will be calculating my lease rentals.

Manoj Kumar Dubey: Listen, you understand the philosophy and for all shareholders, please understand the philosophy of my lower bps margin with the railways. I am 100% insulated with any kind of market fluctuations.

Naman Kumar: I understand. My question is more from suppose that lease 7.4% is fixed for 15 years. Now that 100 crore's borrowing which I did, I may have done that not for 15 period only. Some borrowings may be for 10 years, some borrowings maybe for 5 years and some borrowings maybe for 15 years. So, what happens after 5 years, 20 crore was borrowed for 7%. But after 5 years I have to reborrow because that borrowing I have to pay, so 20 crore's I now borrow at 6%. So that 1% extra benefit which is arising accruing, does that also get passed to Ministry of Railways or does that belong to IRFC?

Shelly Verma: So, if it is done from the fix rate, supposing it's funded from 10 year bond then that benefit comes to us. But at the same time, you have to understand there's a capital recovery also. So, I am also getting some capital recovery. That also goes into the repayment of the debt which you have borrowed for funding of that particular asset.

Naman Kumar: Ok Got it, thank you.

Moderator: Thank you so much. The next question is on the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah: Yes, Hi, Good Morning, Thanks for taking my question. Sir, I just have a couple of them. One is from what I understand from the discussion so far,

it appears that, should we understand that capital is a constraint to growth and probably then in that case why not probably raise more equity and bring our gearing ratios down and probably look at growth. Is that an option for us?

Manoj Kumar Dubey: No, I think let's clarify to you. As I said that since we were going so fast, so we as a company, we thought that let it cool down rather than infusing more equity. That is not the constraint at all. In fact, to tell you the fact our board and shareholders have already approved 8 lakh crores of total borrowing limit....Let's hear from DF on this.

Shelly Verma: My current debt to equity, i.e., leveraging is at 7.83. So, there is absolutely no constraint for further growth and plus I will be adding to my net worth. Further, as you know since more than 99% exposure to MoR, my capital adequacy is more than 700%. So, there's absolutely no constraint with respect to equity for the growth. And every year I am adding to my net worth which will give me further headroom for the growth. So as far as the capital requirements, there is absolutely no need for any capital in fusion for growth. We are very comfortable that way.

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Manoj Kumar Dubey: So Umang, to add to you, it is more than the equity if you understand. You see for the railway asset we don't have to do a lot of appraisals. So, it's all safe, coming from the government almost sovereign. So, we never had a very big appraisal team with us, that were not required at all. So, my strength lies in bringing in the cheapest fund. So, my resource mobilization team is very renowned and they are very good at bringing money. Now that we are trying to foray into the lucrative business outside railways, our focus now lies on building up our business development team and appraisal team. In fact, in the railways, I have the expertise of 5 years in appraisal itself, working at finance I did PPP and EBR. We did with General Electricals and Alstom for Madh epura and other factor ies. So those expertise are brought in and we are now already in the process of creating a very robust appraisal team taking all the talent from the market in our team. And this appraisal team once it is in place which is already a work in progress in a very fast manner, we will be looking at the lucrative project outside railways. And this remains our mainstay. The only thing that you mentioned that let there be a clarification by January and February about this FY or next FY what ticket size we are getting for the government. So as far as equity is concerned, there is no concern at all. And in fact, in a couple of years we have added more muscle to our net worth. Now it is more than 50,000 crore's. So, there is no issue on that count. I hope I have clarified.

Umang Shah: Ya sure, This is quite helpful. Sir, In fact, my second question you have sort of partly answered which was in terms of building capabilities as we try to kind of look at funding projects outside the railway infrastructure ecosystem. Sir, Are there any specific areas of infrastructure which

you have already identified? And the second part of the question was regarding the private sector exposure, I mean so far as you rightly said we have been operating in an environment where the exposures have been almost sovereign, zero risk. However, if we just go back in history and if you look at some of the other state owned NBFCs and their experiences along with private sector infrastructure companies, clearly that has been a bit more patchy. So how should we look at it in terms of strategy, in terms of our ability to underwrite and our intent to underwrite private sector exposures?

Manoj Kumar Dubey: On the lighter vein, this company has brought me here CMD and I always claim that with my government experience of 30 years and delivering at a fast

pace within the ring fence of three

Cs, i.e., CBI, CVC and CAG, I have developed the expertise of doing the right kind of appraisal and not being rash in getting any kind of business. So that is the expertise that I have brought and this is something I will inculcate in my team down below. Having said that there is no strict no to anything. Every business has to be evaluated in its proper manner. I have been telling in all my question answers that we will be looking for the quality of assets. We are a zero-NPA company and would like to maintain that kind of good thing that we have with us that we remain there. So obviously going ahead even in the sectors outside railways, we will be very cautious. I am not saying strict. Strict is not a good word. We will be very cautious and prudent in analyzing the kind of quality of assets that is being offered us. We will be very attractive in offering a rate to asset which is very good in ratings. For the fact that for me I am used to offer railways at 40 bps. So just I am giving a flavor. I am not giving you the numbers that this is the Indian Railway Finance Corporation

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number I am going to give, so please don't quote me as the kind of numbers I am giving you.

But say in comparison to 40 bps, even 150 bps, even 120 bps sounds very nice. So, we are preparing ourselves for that and our motto will remain that we will look for the very good quality of asset. And I assure you that IRFC will be having one of the best appraisal teams available with a mix of government people who have done appraisal as well as people from the industry who are very experienced in doing the appraisals. Apart from the CPSE, we are open to take people from private also. Once the business team which is already in progress of getting formed is in place and we want to strengthen this team. We will be looking at all kind of business available. You mentioned in terms of private thing, my mandate doesn't stop me from giving it to anybody. But having said that I shall do so in a sensible manner. As I said we don't want to play 20-20 match. We are a very responsible company, and we are very much answerable to our shareholders. We will be playing a Test match kind of very disciplined, knowledgeable and good business kind of thing that we will do and those things and those numbers will unfold quarter after quarter in our business because we need to walk our talk and this is a con-call we have started, every quarter you see that the growth is there and there is also an assurance that we won't be lending in an asset which is going to be bad. This is the motto that we will take forward in doing the business in the coming quarters and the year together, right.

Umang Shah: Thank you Sir, that answers my question and just the last one which is sort of related to the first question which I asked. We have now IRFCs now listed for quite some time and is there any timeline which the board has decided or discussed with SEBI as far as the minimum public shareholding is concerned? So, is there any dilution which can happen around the corner to bring down the promoter shareholding to below 75%?

Manoj Kumar Dubey: That's a very genuine question. But as the CMD of the company I won't be answering this. This question goes to my promoters. So better throw this question to DIPAM/MoF. I am sure they are doing something but it is for them to answer this question. But as you know, SEBI guidelines are sacrosanct for everybody. We are not out of that purview. So whatever SEBI guidelines are there that is applied on everybody and our job as a manager of the company is to see to it that we are doing good business, we are doing a solid business and we are doing a risk-free business. So, this management is committed to that. So far as diluting the shares are concerned, the statutory limitations are there, and this particular

question will be answered by DIPAM and not me.

Umang Shah: Understood, perfect. Thank you very much for patiently answering my question, sir.

Moderator: The next question is from the line of Sanket Chheda from DIPAM Capital Advisors Limited. Please go ahead.

Sanket Chheda: The answers have been elaborate, just on one thing that you didn't allude to is specifying maybe your growth intentions or putting a number to it but just some sense. Would that be useful, maybe we will look at least growing by say 20% -25% our AUM, maybe 18% to 20% would also be

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quite a meaningful number on our base and of that say how much could be the new infra piece or the other lending besides railways ?

Manoj Kumar Dubey: So Sanket we won't be putting any numbers. As I clarified to you that's not the intent of the management. Management can give you the flavor of what kind of business is coming on the platter. That I think I have discussed in very elaborate manner , about government business as well as the private business. I've done detailed talking on that . Numbers we will surely not put . But as I mentioned to you that so far as the numbers come from the government , those numbers cannot be kept secret. Those numbers will be coming in the month of January and of course in the month of February when we take the budget on 1st of February. So , I think if you are so keen about numbers let us have patience. It's not far off . That's part A business , part B business as any kind of arrangements , MoU or the business we are getting from the other side , immediately it goes to the both of the exchanges and every shareholder is aware of that . Like NTPC the moment we did it , the very same day we posted it on exchanges. So , let' follow the trackers on the exchanges. Anything coming on those sectors outside the government parlay will be surely and on timely will be posted on the Exchanges . Numbers I will refrain from quoting as we do in the government part.

Sanket Ch heda: Perfect Sir.

Moderator: Thank you very much . Participants, you may press '*' and '1' to ask the question. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Thank you and over to you.

Manoj Kumar Dubey: Thank you Sanket and thank you D AM for making this a good beginning with us for the new board. I am sure going forward we will be bringing new insights and new facts and figures for our shareholders through you . I thank you all and with that we meet on a very high note and positive note for the next quarter. Thank you.

Moderator: On behalf of D AM Capital Advisors Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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For Indian Railway Finance Corporation Limited

Company Secretary & Compliance Officer

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MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN AND

MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER , IRFC
MS. SHELLY VERMA – DIRECTOR (FINANCE), IRFC
MR. SUNIL KUMAR GOEL – GGM (FINANCE) AND
CHIEF FINANCIAL OFFICER , IRFC
MODERATOR : MR. PARTH JARIWALA – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Indian Railway Finance Corporation's Q3 FY '25 and Nine -Months Earnings Conference Call, hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will remain in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Jariwala from DAM Capital Advisors Limited.

Please go ahead.

Parth Jariwala: Thank you, Ryan. Good morning, everyone. Welcome to the Indian Railway Finance Corporation Limited's Q3 FY '25 Earnings Call to discuss the business update.

From the management we have Sri Manoj Kumar Dubey – Chairman and Managing Director and CEO, Ms. Shelly Verma – Director Finance; and Sri Sunil Kumar Goel – GGM (Finance) and CFO.

Without further ado, I would like to hand over the call to Management for their Opening

Remarks , post which we can open the floor for Q&A. Over to you, sir.

Manoj Kumar Dubey: Thank you, Parth. Good morning, friends. So, I am delighted to meet you all today to discuss IRFC's quarter three results and our future outlook.

Before we dive into the numbers, I want to acknowledge the hard work and dedication of my entire team. Their commitment to excellence is what makes our growth story possible. So, let's take a moment to appreciate where we are and where we are headed to.

So, here I am with Q3 Results in hand, which are stable, steady, and consistently moving upwards. The Company 's Asset Under Management and balance sheet has grown phenomenally in recent past. With the debt to equity mix or gearing ratio, as you say, crossing 9x a couple of years back , the same is cooling down and we are recalibrating our growth plans with active action for steady AUM numbers, with plans to harness better deals and margins in coming quarters.

We proudly maintain an extraordinarily high CRAR of more than 700%, as you know, and also a clean zero NPA record in the history of the Company . After a brief period of consolidation, we now stand at the threshold of our next growth phase, eager to confront new challenges, looking for the new business areas other than Indian Railways per se, and capitalize on fresh opportunities.

With the perennial revenue stream from earlier funded projects, including five year moratorium projects until FY '28, the Company has been rigorously working on cost optimization and anything coming out of that is adding directly to my PAT. Our leasing model continues to benefit Indian Railway Finance Corporation

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us adding 25% extra to our PAT. As you know, we are a zero tax Company due to our tax-free status under the Government of India's IT rules.

In the last concall , I had spoken about our intent to diversify beyond our direct leasing model to Indian Railways and I am thrilled to share that we are walking the talk, and that too as briskly and quickly as possible.

You must be aware that your Company for the first time participated in an open bid for a coal mining development project having forward linkage with Indian Railway and emerged as the lowest bidder, outsmarting almost all the banks and NBFCs in the fray. Friends, this is the first confirmation of our intent and motto to provide the cheapest funding to any Railway related infrastructure projects of excellent asset quality. It is a milestone that showcases our strategic vision and demonstrates our competitive edge and the fact that we are walking the talk.

As you see, our actions speak louder than words and we at IRFC live by this mantra. Our growth story, driven by high

r margin businesses in our product mix, will continue to unfold every quarter through tangible actions and results.

We are extremely aggressive in tapping the cheapest fund resources which are our raw materials . we are actively mobilizing more and more funds under 54EC bond market and exploring zero coupon bond market, and domestic bond market, apart from keeping an eye on any opportunity from various currencies in ECB market. In fact in the last two months we have done most of the domestic market bond tapping, which earlier was not that frequent.

In the end, I thank you all for joining us for this important occasion and for being part of this extraordinary period of stability, growth and excitement in IRFC's business journey. We are committed to continuing our upwards trajectory, driven by our strategic initiative and financial prudence. Together with this very focused and energized team, we are sure that we are going to rise to new heights and strengthen our position in the Railway infrastructure industry as a financial leader.

Thank you so much, and let's start with the question -and-answer session.

Moderator: Thank you. Ladies and gentlemen, anyone who wishes to ask questions may press '*' and '1' on their touch telephone. If you wish to remove yourself from question and answers session please press '*' and '2'. Ladies and gentlemen, we will wait for a moment to start the question answer session. We will now begin the question -and-answer session. The first question comes from the line of Naman Kumar, an individual investor. Please go ahead.

Naman Kumar: Hello, Good Morning. Thanks for giving me opportunity. Sir, my question is more with respect to debt-to-equity ratio, so. What I understand from the earlier calls is that the debt-to-equity ratio of 10 is the self-imposed limit. There is no statutory or regulatory requirement to maintain debt to equity ratio for IRFC to be 10 or something like that because as you know, as you already
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mentioned, CRAR is very high. So, is there any concrete policy which IRFC has already taken that if needed the debt-to-equity ratio can be breached above 10? Or will it be time dependent as and when the opportunity comes, the decision will be taken?

Manoj Kumar Dubey: So, Naman, as you know, it is not that there is any regulatory limit . But there is a regulatory comfort from RBI which is around 7 to all the NBFCs. Yes, because we are funding to sovereign, so our limit is a little relaxed, so we have set our limit to 10. And going forward, since we are looking forward to business outside Railways also, so we would like to be hovering around somewhere 8 to 9, this is the target right now. Let us see how our product mix goes ahead every year because year by year now we are focusing on more lucrative businesses where we do more high margin business in the Railway infrastructure itself. So, having those product mix in our baggage, we wish to maintain something around 8 to 9, not crossing that in the future.

Naman Kumar: Ok, Ok, That's all from my side.

Moderator: Thank you. The next question comes from the line of Dr, Akshay Patil, an individual investor. Please go ahead.

Akshay Patil: Hello Sir, from the past three quarters, the results have been, the top line and bottom line have been more the same, stagnant. So, what is the forward -looking statement for the next financial year?

Manoj Kumar Dubey: So, Dear Akshay, many companies are slipping down also, so happy for you that your Company is not slipping down, we are at least maintaining where we are. So, in the business , that also is not a very easy thing to do. So, what we are doing is we are maintaining or doing incremental in where we were in the past. Rest assured, going ahead we are working very actively on ensuring that our bottom -line growth is bigger than what we have

right now quarter by quarter. The reason is, if you are following us, we have already ventured out into the other than Railway businesses . In Railways, my margin is fixed to 40 paise and 35 paise . Once we go out, the margins are quite higher. I am not quoting a number, but it hovers around somewhere between 3x to 5x of what I am getting in the Railways . So, once more and more of those businesses will come to my kitty, rest assured that PAT will be growing steeply quarter by quarter. So, that's the guidance I want to give you, without giving any numbers.

Akshay Patil: ok, It means that even if the top line remains stable, the bottom line is about the same?

Manoj Kumar Dubey: You see, top line, yes. Top line, as you see right now my top line comes from Railways , so where numbers may be bigger, but yield is lesser, right. So, what we plan is we plan to maintain the asset under management, but within that the mix has to be towards lucrative assets where I earn, say 150 bps, 200 bps, and still be cheaper than any of my peers. So, if you understand mathematics you will come to know that even if my AUM is not growing in that steep level, my PAT will be growing. And for investors , PAT is more important than the top line.

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Akshay Patil: Yes, and one more thing, when can we see this converting into the results, from the next quarter?

Manoj Kumar Dubey: I think if you are following the news, we keep on informing the exchanges. And from exchanges very rapidly it is coming in the news also. We have already been selected a lowest bidder in one project of more than Rs. 3,000 crores, one Rs. 700 crores ticket we have already done with NTPC, and many more are in pipelines. As and when it materializes, we will be informing you through the exchanges.

Akshay Patil: ok, ok, thank you very much. that's all from my side.

Moderator: Thank you. The next question comes from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

Mohit Jain: Hi, Since the last two budgets there has been no allocation on the Railway side, what are your expectations from this budget? And should we expect no allocations, or do you expect things to change in this budget?

Manoj Kumar Dubey: You see, if you have followed our conference call in the last quarter, we have made it very clear that our bags are full of what we needed from the government side, they are more than 4.5 lakh crores. And whatever I get from the extra budgetary resources allocation from the Indian Railway s, it is coming at 35 paise and 40 paise only. So, that is not a very lucrative business for me. So, anything coming from the budget will be now, I think, icing on the cake. But we are actually now looking for the whole Railway ecosystem where we want to finance everything, like PPP or any other thing which comes through the Railway system at a better margin. So, let's look forward to those kind of businesses more. Government of India, it is in their hand, if they need money from extra budgetary resources, they will surely come to us. Whether they are coming this year or not, it will be clear only after the budget.

Mohit Jain: Ok, so, as of now there has been no communication from the government's side?

Manoj Kumar Dubey: If you know, budget is a very secret document, so there's no communication to anybody about what is coming on the 1st February. So, only the people who are involved in budget they know about it, right. What an indication I can give you is that, as a management, that we have transformed from those era as a Company . Today, we are looking forward to the businesses which are giving better margins to me. I am giving you a flavor, if I am doing Rs. 3,000 crores business with anybody else than Railway s, it is akin to a Rs. 12,000 crores business of the Railway s. If I am doing Rs. 10,000 crores business outside Rail

way s, it is akin to nearly Rs.

35,000 crores or Rs. 40,000 crores business with the Railway s. So, friend, we are looking for those kind of assets now which give me more PAT rather than that, what comes under government, if they need it, they will surely come to me only from the Railway s.

Mohit Jain: And as of now ex of Railway business would be less than 1% of the AUM, would that be correct at this point in time?

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Manoj Kumar Dubey: You said 1%?

Mohit Jain: Of the AUM, the overall business mix.

Sunil Kumar Goel : No, as such there is no threshold on us. We may tap the market as per the opportunity available to us. There is no rule.

Mohit Jain: No, no, I am asking, at this point in time the AUM mix of the non -Railway s business would be less than 1%?

Manoj Kumar Dubey: Yes, right now yes, you are very right. It is just the beginning, for the first time in the history of the Company we are doing business outside Railway as a client.

Mohit Jain: Sure, thank you. You have answered my question.

Moderator: Thank you. The next question comes from the line of Ritika Dua from Bandhan AMC. Please go ahead.

Ritika Dua: Sir, a question on similar lines. On this project that you said is obviously the coal block project which you were mentioning, how does the spread work here? That's the first question.

Manoj Kumar Dubey: Ritika, we cannot tell you the numbers that we have quoted, but you understand , we have participated into an open bid where all our peers from NBFC, you know their name, they all participated. And many banks also participated, and we became lowest. So, you may be having a flavor of what NBFCs quote and what banks quote. So, we quoted very competitive, and I am very happy to share that we became lowest because we have access to very cheap funds. And as I mentioned in one of the questions , just to give a flavor, what I get from the Railway s is 40 paise margin, so we will be getting anything between 3x to 5x from any of the biddings. So, you can put your numbers like that.

Ritika Dua: Ok, So, this 3x to 5x is even applicable to this project as well?

Manoj Kumar Dubey: I mean, obviously, you can tell me a flavor of what rates my peers quote in the market if you

know, tell me.

Ritika Dua: Sir, that clearly obviously is much higher, okay, fine.

Manoj Kumar Dubey: Not much higher, its much, much higher. I am at 40 bps, they are at what tell me, 250 bps, 300 bps?

Ritika Dua: Right sir.

Manoj Kumar Dubey: So, we are beating them in competition. So, if you follow my last concall what I said that we are striving to be the cheapest in the market for Railway ecosystem. And despite being the cheapest,

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my legroom is such that I will be getting much more of margins than what I am getting from the Railway business. That is the beauty of this Company today, and that is why we are very excited into mopping up everything which is a good as set in the Railway parlays. And to give you one more flavor, when I talk about Railway s, it is backward -forward linkages. See, our co al block which is being developed, coal will be evacuated and taken by the Railway s to the power station, it comes to my ambit. Tomorrow if a port is getting developed, port will be connected to Railway line, it comes to my ambit. So, there is a very huge parcel of the business that is on the platter , and we have to pick and choose and quote a very competitive rate and still earn very handsome than what I am earning from the Railway , that's the future guidelines.

Ritika Dua: Sure, sir. And sir the second question, so this obviously does not require any MOU change because this is largely in the ambit of IRFC because this is Railway and Railway allied.

Manoj Kumar Dubey: Precisely.

Ritika Dua: Sir, what about

t maybe the non -Railway business which required us to get some permission, maybe regulatorily or maybe from the ministry, where are we progressing there?

Manoj Kumar Dubey: So, Ritika, right now as you rightly mentioned, the mandate of Memorandum and Article is so huge that, as I mentioned, anything which is backward and forward linked with the Railway business is already in my ambit. Now we have ventured for the first time in the 40 years of the Company, and we are looking forward to a very lucrative business in the hand, including many refinancing opportunities also. Let us first mop up them. Going down maybe couple of years if our hands are full, then we will look forward to going and funding anything and everything in the infra sector. Right now we believe that a couple of years our hands will be full with the kind of business that we have on the platter.

Ritika Dua: Sir, just on the comment that you just made, two follow -up on that. One is, what is the refinancing that you mention? And secondly, when you think that now that obviously the disbursements have not had picked up for us because of the way the EBR progresses. So, going forward, any guidance that you would like to give on how should the disbursements shape up from here? So, two questions.

Manoj Kumar Dubey: So, I gave you the indications. I cannot share right now with the project that we are thinking of refinancing, but just a flavor. We never funded anything outside IR, but there are many allied projects which are already running, and they are being funded at a very high rate. So, now positioning ourselves as the main financing arm of the Railway ecosystem, we want to look at every business which is there on the platter. If they are at a higher rate, we wish to refinance it at a competitive rate. Now, as and when those agreements will be done, we will be informing you through the exchanges. But I can only tell you that now since we have started looking at those businesses, we are finding them as many.

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What was your second question? The second question was the guidance. Guidance, we do not give the number guidance, I can give you one guidance that I am repeating in every answer. Suppose if I do Rs. 10,000 crores business outside Railway , it is akin to Rs. 30,000 crores to Rs. 40,000 crores of business that we do for the Railway s. Incidentally, when the last EBR we did, that was Rs. 33,000 crores. So, you can do the backward calculation, if we want to exceed that how much I should do outside Railways, and that is the minimum target that we are putting ourselves.

Ritika Dua: Thank you, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Kamal Mulchandani from Investec Capital Services. Please go ahead.

Kamal Mulchandani: Hello sir, I had a couple of questions. Firstly, if you could just help us understand that what is the proportion of the AUM for which moratorium is going to end like over the next few years?

And what would be the impact on our AUM because of that?

Manoj Kumar Dubey: So, my CFO, Mr. Sunil, will take up this question.

Sunil Kumar Goel: Currently, it is around 46% of my total AUM. And going forward, since we fund two types of assets, one is the rolling stock and another is the project assets, and in case of a project asset we have a moratorium period of five years. During this moratorium period, we have the complete moratorium for interest as well as principal repayment. And during this moratorium period, whatever interest -servicing we do, that is also considered as a fresh disbursement, that will be considered as a fresh business for me. And going forward, till '27 -'28, I do not see any impact on my AUM. My AUM would be more or less at the same level because of my business model. Whatever capital recovery I am getting through lease rental, that will

be offset by the interest -

servicing, whatever I will do in future years for this project asset. I think I have answered your question.

Kamal Mulchandani: So, just wanted to understand that if the interest you said you consider it as a disbursement, but we have some nil disbursements during the last seven -odd quarters, so how does it work out?

Sunil Kumar Goel: No, fresh disbursements have not been made during last two years. But whatever debt servicing I have done during these two years, that is a fresh accretion to my AUM, and that is exactly offset by whatever capital recovery I do through the lease -rental. Just to give you a flavor of the numbers, during this current financial year, I will be getting around Rs. 20,000 crores as capital recovery, and same quantum of the money being the debt servicing for these project asset, and these two items will offset each other that is why there will not be any major impact on my AUM.

Kamal Mulchandani: So, can you guide what would happen post FY '27 if there is no further allocation in EBR? So, like, I assume that the capital recovery would be much higher than Rs. 20,000 crores post FY

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'27, and if no interest is being capitalized because of the end of the moratorium period, the rundown in the AUM would be much higher. So, can you guide on this?

Manoj Kumar Dubey: So, Kamal, if you focus on my answers and also my opening remarks, I mentioned that we have the traction of this moratorium till FY '28. And why we are working so actively on developing our business outside Railways in FY '24 -'25 itself, we have got two years in hand to create a business ecosystem where my AUM is coming from other than Railways also. Now, Railways has not said that they will not be coming to us. They can come anytime, they can come this year, they can come next year, whenever there is a change in the allocation system of the GBS, that is Government Budgetary Support, they will surely come to us. But as a business, with this seven quarter lull that you mentioned, the management has taken a call that let us not depend only on the Railway EBR funding since our balance sheet is extremely strong now and we have got good network in hand. And our mandate also says that we can fund anything and everything in the Railway ecosystem, let us venture out.

So, as pointed out to your question, rest be assured that when FY '28 starts, this Company will have a sizeable business mix coming out other than the Railways. So, in '28, even if the Railway is not asking for a single penny, rest be assured that our top line and bottom line also will be growing because of our expertise and our hand -hold in the whole Railway ecosystem of the infra, right. So, this is towards what we are working. I hope I have clarified you.

And just to answer your one more concern, as you mentioned that AUM after '28 will be coming down drastically. What I answered in other questions is also that the kind of business that I am going to handle in the future, those businesses' yield will be more. So, as I mentioned that Rs. 10,000 crores business if I do outside, it will be akin to Rs. 30,000 crores to Rs. 40,000 crores business that I am doing for the Railway. So, in the future, maybe after FY '28 you would be requested to look more on the bottom line than the top line.

Kamal Mulchandani: ok, ok, got it. But anyways, like the overall AUM is like more than Rs. 4.5 lakh crores, so will it move the needle much because of this, because the majority of the NIMs would be still from, like the average NIMs would be like moving from 1.4% currently to what, like 1.6%, 1.7%, not more than that I assume?

Manoj Kumar Dubey: We will not put the numbers, let us see what is going to be the mix in the future. If it is 10:90 some number you can put, if it is 20:80 some number you can put. Let us see how it

the story unfolds.

Kamal Mulchandani: Ok, sure sir. Thank you so much for answers.

Moderator: Thank you. Ladies & Gentlemen, if you wish to ask any questions please press '*' and '1'. The next question comes from the line of Dr. Akshay Patil, an individual investor. Please go ahead.

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Akshay Patil: Hello sir, as you have just now mentioned about the backward and forward linkages, so talking about the backward and forward linkages, can you benefit from the national Gati Shakti program for multimodal connectivity projects?

Manoj Kumar Dubey: You have asked a very pertinent question, Akshay. Yes, that is a very exciting proposition which is coming on the platter. This dedicated freight corridor of eastern and western, they have covered only two lines. This country has got a golden quadrilateral, so four next lines of Gati Shakti are still on the pipeline and CAPEX should be huge. Let us see what portion of CAPEX is funded by GBS and what portion of the CAPEX they want us to fund. So, maybe the budget will give a more clarity on this. But yes, you are right, the country as a whole is gearing up to have this road decongestion and Railways is the mainstay and main connectivity line for the country. So, this Gati Shakti will surely benefit us also, and it will have a very long-term effect on our AUM. It may be giving us the businesses for next decade or more.

Akshay Patil : Yes, hoping to bag more of that. Thank you very much. That's all.

Manoj Kumar Dubey: Same here.

Moderator: Thank you. The next question comes from the line of Paramjit Singh, an individual investor. Please go ahead.

Paramjit Singh: Good Afternoon. My question is, now with the Gaza ceasefire, will there be any progress on the India, Middle East, Europe economic corridor? And what kind of impact will it have on IRFC?

Manoj Kumar Dubey: You are very right, so with this ceasefire coming up and the INSTC route that you were mentioning, those lines are already in the pipeline, and I am sure that with global things settling, cooling down, peace coming to the picture, maybe Ukraine and Russia war also gets cooled down with the new dispensation at US. These things are very exciting proposition. And Indian companies are very much into the scheme of the things because it will be diminishing the total distance kilometers by nearly one-third, and cost of logistics also will come down by nearly 40%. So, it's a very, very important project for the world perspective. And anything which is coming to the Indian counterparts, we are very much into the system. As you know, we are a sister Company to Container Cooperation, IRCON, RITES, RVNL, all are having very hard look on these projects. So, if anything is coming on those lines, we are very much interested.

Paramjit Singh: Ok, thank you.

Moderator: Thank you. Ladies & Gentlemen, if you wish to ask questions, please press '*' and '1'. The next question comes from the line of Manish from Middleton Capital. Please go ahead.

Manish: Sir, by doing more business outside the Railways, will it change the tax status by any means?

Manoj Kumar Dubey: Let my CFO answer.

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Sunil Kumar Goel: As of now, I have a cushion of more than Rs. 6,000 crores in my balance sheet as unabsorbed depreciation. I think going forward for next four, five years, I do not foresee any tax liability on my balance sheet.

Manish: I was just talking about, you said that you are a zero-tax status Company, but by doing that what portion of business that is outside the Railways?

Sunil Kumar Goel: Still, whatever unabsorbed depreciation currently I have in my balance sheet, that will be sufficient to avoid any tax liability under MAT provision, and I do not foresee any tax liability on me over next five years.

Manish:

Thank you.

Moderator: Thank you. Ladies & Gentlemen, if you wish to ask questions, please press '*' and '1'. The next question comes from the line of Prithvi from Subcon Investment. Please go ahead.

Prithvi: Hi Sir, my question is like, do you see any improvement in the net interest margin in the upcoming financial year?

Manoj Kumar Dubey: Let my CFO answer.

Sunil Kumar Goel: Definitely, as our CMD has already told you, the mix of the business would definitely get changed and the non-Railway business will yield me a higher return, so definitely my NIM will improve. But putting a number to it would be difficult at this stage, but definitely my NIM will improve.

Prithvi: Could you just give any ballpark number for the NIM margins?

Manoj Kumar Dubey: So in the last question I answered. If you put a number, the mix is going to be 10:90 and for 10 the margin is said 3x to 4x, you can calculate it dear. If it is going to be 20:80, you can again calculate. What we are saying to our investors is that stories are going to unfold quarter by quarter. In fact, in the last quarter itself we promised that we are going outside, and in one quarter itself the Company has not only participated the bidding but also has become lowest in a sizeable

ticket size of the loan. This is what we are saying that we are walking the talk. And as my CFO mentioned, more and more businesses that are coming from outside Railway s, it is going to help improve my NIM as well as my PAT. So, improvement will be regular , every quarter we expect that we will be doing better than the last quarter. And obviously, that gives a very steady and very perennial kind of business that are promised r ight in the beginning of my opening remarks. Moderator: Thank you. Ladies & Gentlemen, as a reminder, if you wish to ask questions, please press '*' and '1'. As there are no further questions, I now hand the conference over to the management for their clos ing comments.

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Manoj Kumar Dubey: So, thank you very much, DAM, and thank you very much everybody who participated in the concall. I think we were very loud and clear in our guidances for the future. What we did in the last quarter is very much there to see . And as I discussed in detail that there is change in the strategy of business of the Company . And the product mix and the benefits out of that will be visible quarter by quarter. We are not putting any numbers on anything, but yes, one assurance is there that this mix will be skewed towards more and more business from non -Railway s things in the Railway ecosystem itself. What EBR thing I get from the Railway ; it only can come from the budget. Let us wait for the budget. But surely the Company will not be only dependent upon what we get from the Railway s side. Company is now thriving, and the Company is now looking forward to all kinds of business in the ecosystem. And we believe that going forward there is huge opportunity, which is on our pla tter, we are working towards that. And we believe that FY '25-'26 will be very, very exciting for the Company . Thank you so much.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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Sub : Transcript of the Earnings Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, as amended from time to time and other applicable Regulations, please find attached the transcript of earnings conference call held with analysts/investors on Tuesday, 29th April 2025, to discuss Audited Financial Results for Q4/ FY 24 -25 and Year ended 31st March 2025. Please find below the link of transcript of earnings conference call held with analysts/investors on 29th April, 2025.

This is submitted for your information and record.

(Vijay Babulal Shirode)
Company Secretary & Compliance Officer

“Indian Railway Finance Corporation (IRFC)
Q4 FY '25 & FY '25 Earnings Conference Call”
April 29 , 202 5

MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDIAN
RAILWAY FINANCE CORPORATION (IRFC)
MS. SHELLY VERMA – DIRECTOR , FINANCE – INDIAN
RAILWAY FINANCE CORPORATION (IRFC)
MR. SUNIL KUMAR GOEL – GROUP GENERAL

MANAGER (FINANCE) AND CHIEF FINANCIAL OFFICER
– INDIAN RAILWAY FINANCE CORPORATION (IRFC)

MODERATOR : MR. PARTH JARIWALA – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Indian Railway Finance Corporation Q4 FY '25 and Full Year FY '25 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Jariwala from DAM Capital Advisors Limited.
Thank you, and over to you, sir.

Parth Jariwala: Thank you. Good morning, everyone. Welcome to the Q4 FY '25 and F Y '25 Earnings Call of Indian Railway Finance Corporation Limited. From the management, we have Shri Manoj Kumar Dubey, Chairman, Managing Director and CEO; Ms. Shelly Verma, Director, Finance; Shri Sunil Kumar Goel, GGM Finance and CFO.

I will now hand over the call to the management for their opening remarks. Post which, we can open the floor for Q&A. Over to you, sir.

Manoj Kumar Dubey: Thank you, Mr. Jariwala and a very good morning to all of you. I'm very happy to share our Q4 and annual results of FY '25. We have come out with a very steady number quarter -wise as well as financial year wise. Our profit after tax, our net worth, our EPS, our debt equity ratio all has shown steady improvement. Our Asset Under Management is also very steady at INR4.6 lak h crores.

The exciting thing to talk about is in the last quarter of FY '25, we have changed our business model from one client that is Indian Railway to many who are having linkages with the railway ecosystem. This is an extremely exciting phase, and our key drivers are very low cost overhead and access to cheaper source of funds. We are looking for good quality A -plus assets as our space where we do not find much competition as of now. And these are the space where we are looking forward to having a negligible chance of NPA.

We are becoming lowest in this beating all banks and NBFCs and still making margins of 2x to 3x to what we used to get from Indian Railways. So going forward, we find our platter full with such good quality rated assets. We don't have any exposure to any other entity other than IR. So there's no problem in funding to any quality assets coming to our platter mainly through RFPs or open biddings.

We are also very excited to look at the PPP projects in the Indian Railways. If you look at the budget of this FY, there is announcement that there will be PPP projects coming forward from the railway, and once it materializes, we'll be very happy to look at the requirements by the SPVs.

In this calendar year, including the month of April, we have already done more than INR14,000 crores of loans. And going forward, there are many things in pipelines, which are having refinances opportunities as well as the new loan assets. We believe that IR FC 2.0 is going to have a risk -free and steep growth in business. Company was conferred Navratna status also in FY '24 -'25, and we are working forward, cementing our position to be just Maharatna sooner
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than later. We also said that the kind of business that we have shown in the last quarter of the last FY, in the first month of this current FY, the momentum is going to be there, and we should end up on a very high note. Thank you.

Moderator: Thank you, sir, we will now begin the question answer session. Anyone who wishes to ask questions may press "*" and "1" on their touch tone telephone. If you wish to remove yourself from the question queue you may press "*" and "2". Ladies and Gentlemen, we will wait for a moment while questions assemble. The first

question comes from the line of Mohit Jain from
Tara Capital Partners. Please go ahead.

Mohit Jain: Sir, I just wanted to know for FY '26, how should we look at our disbursement number as well as, you know, how should we look at the AUM growth? And secondly, sir, I heard that now

we'll be moving from one customer today. It used to be only IRFC -- Indian Railways and now we are moving to the other set of customers also. So do our articles and memorandums permit us to go into non-rail link financing also as in like if you want to do other kind of financing, which is not linked to the rail? Is that also -- is that option also available to us, sir?

Manoj Kumar Dubey: So right now, I'm answering your latter part of the question. We are only limiting ourselves to the MOA, which gives me the leeway for giving loans to anything which is having backward or forward linkages to the railways. Now this particular segment itself is too big to handle right now. As I mentioned in my interview on the TV also today in the morning, the whole business is around INR2.5 lakh crores, including the metro railway.

So you can understand what kind of business is there on the platter. And since that is our core competence and strength to give loans and do appraisal of the railway ecosystem. We believe that as of now, out of this INR2.5 lakh crore, you can put any number what we should do in a year. So this is itself quite a big platter. And this is coming with better margin than what I used to get from the railways.

So that is a real exciting time for us that if we do, say, typically even INR30,000 crores out of INR2.5 lakh crores, it will be akin to INR90,000 crores of what I'm giving to the Indian railways. So this is the answer of your latter part. The first part, in the morning, I've already clarified that my Board has given me the initial sanction of INR60,000 crores of borrowing for this year. And that is a very conservative number that we have started.

In the first 4 months of this FY or if you take only this month, April, we have already done INR5,000 crores loan L1 with NTPC. And since we are participating into all rated quality bids coming out in the market, which is coming the lower. In fact, many are in pipeline also. So we believe that with the linkages with the railway itself, we have our platter full. And the number that I quoted is a conservative number.

We believe that we surely will be achieving it. Maybe the clarity will come in Q2 or Q3, where we are going to surpass. And if at all, we are going to surpass, what margins and what numbers we are going to surpass. But quarter after quarter, as I have spoken in my 2 last con calls, we are walking the talk. What we set for ourselves in Q3 results, we are already crossed many bridges, and we are moving ahead quicker than what we expected to do. Thank you.

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Mohit Jain: So do we -- just a follow-up, do we expect our AUM increase next year or again, because of the rundown of the existing loan in spite of the additional disbursement, our AUM will decline?

Manoj Kumar Dubey: Listen, the bigger indicator is what kind of disbursement I'm doing. What kind of loan sanctions I'm doing. AUM is a collective output of the both. So of course, if I'm disbursing more, it will have a positive impact on my AUM. AUM is not the important indicator in my business. The important indicator in my business is how much I'm disbursing and how much I'm sanctioning. If I'm doing both, obviously, it will have a very positive impact on the AUM. I will be giving numbers of disbursement and the loan sanctions.

Mohit Jain: Understood. And sir, just one follow-up. In terms of -- we bidding for the other projects and so far, we have been successful also in winning them -- cost of the cheap cost of fund and because of which -- the rate which we are able to quote is

is the lowest that gives us the advantage? Or is there any other advantage that we also have?

Manoj Kumar Dubey: Say it again?

Mohit Jain: So I'm saying, sir, so far, we have also won four projects. And going forward also, you look more optimistic with INR30,000 crores of a conservative disbursement number. So what enables us in all this winning of the project? Is it just the cheap rate of lending that we quote because of our access to the cheaper fund? Is that the only....

Manoj Kumar Dubey: I let my DF answer this to you.

Shelly Verma: We have a competitive advantage on many accounts. Rate is definitely one of them and because we have a very low operating cost. You must have seen our operating cost is one of the lowest in the industry, about 0.1 -- we don't have 0.1%, even less than 0.1%. And we have very high capital adequacy ratio. And secondly, we have -- our exposure is absolutely free because till now, we had a single client.

So whatever new business we want to do, we have the advantage of doing a high ticket exposure, whatever is the requirement we can meet. So all these are the advantages. It's not a one factor, I would say there are multiple factors. We can take high ticket exposure. We are -- our cost definitely will be competitive because of these reasons.

And we have a very strong turnaround -- very quick turnaround uptime. In fact, you have seen the last quarter itself, we have generated business of INR14,000 crores. So these are -- there are multiple advantages according to us.

Mohit Jain: And just one -- rates at which we are giving these loans, the INR14,000 crores, what is the

average rate at which we have lent -- we have given the disbursements?

Manoj Kumar Dubey: Rate, we don't disclose. But if I make a statement that I'm L1 in a competition where all the banks of the country and all NBFCs are coming. So you can put the number -- by what number we are beating any of the banks and any who is who of NBFCs.

Moderator: The next question comes from the line of Abhishek Law from Business Language.

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Abhishek Law: Is it possible to go ahead -- sir, this is Abhishek. Is it possible to go ahead with the refinancing bid? How much you're refinancing? What sort of numbers are you looking at and which are these projects you would refinance?

Manoj Kumar Dubey: Abhishek, you asked us a very interesting question for us. Refinancing is -- we are looking forward to very excitedly for the fact that the moment I win a bid for refinancing, the disbursement is done instantly. So yes, there are many things in pipelines. I can't tell you the name of the projects or something, but it is very much on that platter.

Many things are in pipeline. And because our cost of lending is cheapest than anyone else right now in the country, we still believe that by refinancing the projects, we'll be earning much more than what we are earning from the Indian Railways as a margin. So yes, it is there on the platter.

Moderator: Does that answer your question, Abhishek?

Abhishek Law: Yes. I have a follow-up question, if it's possible. Have you done any refinancing projects as of now in Q4?

Manoj Kumar Dubey: Pardon?

Abhishek Law: Have you done any refinancing projects in Q4?

Manoj Kumar Dubey: Not yet. Not yet. As I said, there are a few in pipelines very actively. But unless it is mutually agreed and unless we have informed exchanges, we are not going to discuss here.

Moderator: The next question comes from the line of Kamal Mulchandani from Investec Capital Services.

Kamal Mulchandani: Firstly, could you please quantify the cumulative amount of sanctions we have got till date apart from the funding to Indian Railways?

Manoj Kumar Dubey: You want to know in totality or in this FY or in the last FY?

Kamal Mulchandani: Like I believe from the last year, we are trying to take

projects outside of the Indian Railways

so cumulative from the last year till date.

Manoj Kumar Dubey: I got it. So let's understand the whole gamut. For the last 40 years, we had only single client business that is with the Indian Railways, okay? So only as late as Q3 of last FY, we decided that there is a time to diversify as the loan book with Indian Railways is very high and debt-to-equity ratio also were touching near to 10.

So as a diversification, this season within the mandate of this company's MOA, we planned in Q3 and we started working actively from Q4, right? So Q4 to now, the numbers we have already flagged. In fact, it is flagged by the Government of India also that we have already mopped up INR14,000 crores as of now. So the answer to your question in factual numbers are INR14,000 crores has already been either won as a bid or the sanction has been done.

Kamal Mulchandani: And like disbursement, like when can we expect some disbursement of this amount like in...

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Manoj Kumar Dubey: In fact, to tell you a fact, the NTPC renew that we did and the BOBR rate that we did already very quick and fast disbursement is on. So what we expect that although there are 2-year period for this disbursement, we expect that most of the disbursement will be done in this FY itself.

Kamal Mulchandani: Okay. Understood. And sir, if you could also help us understand what could be the rundown or repayments of the -- in the AUM going forward? Like I just wanted to understand what repayment rate should be built in for next 2 years for FY '26 and FY '27?

Manoj Kumar Dubey: Repayment in terms of?

Unknown Executive Rundown of AUM.

Manoj Kumar Dubey: Rundown of AUM is very steady. If you know, we have financed to the Indian Railways where it is repayment period is 15 years, okay? So the 15th year, to be precise, if it is 2025, then 2010 loan will come out to be going out of my books, which is in terms of INR10,000 crores per annum.

Kamal Mulchandani: Sir roughly INR10,000 crores to INR20,000 crores.

Manoj Kumar Dubey: And we'll be doing more than that every year.

Kamal Mulchandani: Okay. So for the next 2 years, roughly INR10,000 crores of repayments we should build in?

Manoj Kumar Dubey: That's what -- that's correct.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference

over to the management for the closing comments.

Manoj Kumar Dubey: So thank you so much. We are moving ahead with a lot of clarity. And I think we have clarified everything about the road map of the company's business going ahead. And we look forward to capitalize on what we are doing as a new policy of diversification. And we see that going forward, we'll be having very healthy top line and bottom line quarter after quarter. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference. You may now disconnect your lines.

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BSE Limited
Listing Dept / Dept of Corporate Services,
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Scrip Code: 543257

Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, as amended from time to time and other applicable Regulations, please find attached the transcript of earnings conference call held with analysts/investors on Wednesday, 23rd July 2025, to discuss Una audited Financial Results for Q 1/FY 2 5-26. Please find below the link of transcript of earnings conference call held with analysts/investors on Wednesday, 23rd July 2025.

<https://irfc.co.in/investors/investor-presentations-and-transcripts>

This is submitted for your information and record.

Thanking You,

For Indian Railway Finance Corporation Limited

(Vijay Babulal Shirode)
Company Secretary & Compliance Officer

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“Indian Railway Finance Corporation (IRFC)
Q1 FY2025-2026 Earnings Conference Call”
July 23, 2025

MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN AND
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER – INDIAN RAILWAY FINANCE CORPORATION
(IRFC)
MR. RANDHIR SAHAY – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER – INDIAN RAILWAY
FINANCE CORPORATION (IRFC)

MODERATOR : MR. PARTH JARIWALA – DAM CAPITAL ADVISORS
LIMITED

Indian Railway Finance Corporation (IRFC)
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Moderator: Ladies and gentlemen, good day and welcome to IRFC Q1 FY2025 -26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Parth Jariwala. Thank you and over to you, Mr. Parth Jariwala.

Parth Jariwala: Thank you. Good morning, everyone. Welcome to the Q1 FY26 Earnings Call of Indian Railway Finance Corporation Limited. From the management, we have with us Shri Manoj Kumar Dubey, Chairman and Managing Director and CEO, Mr. Randhir Sahay, Director (Finance) and CFO and other senior management with us.

I'll now hand over the call to Shri. Manoj Kumar Dubey for his opening remarks, post which we can open the floor for questions and answers. Over to you, sir.

Manoj Kumar Dubey: Thank you, Parth and very good morning to everybody. Today Delhi, has got a very good rainy morning. It's very pleasant and incidentally it's Shivratri also. So it's very auspicious time and we are also happy to supplement it with good numbers that we came out yesterday evening. As you know, all the key parameters have shown good positivity, few in a decent manner and few in a steep manner. In fact, the top line has grown in a decent manner and the bottom line has grown in a steep manner. We'll discuss that in detail when we will do the Q&A session. So, I'm joined here with my Director (Finance) and CFO, Head of Business Development, other key senior executives.

As you've seen from all the numbers that we have published, we are "walking the talk" what we started two quarters back in Q3 of last FY. As you are aware, for the last two FYs before the beginning of this FY, disbursement to Indian Railways or in fact to any of the entities were nil for this company. So, that was a little lull period so far as disbursement was concerned.

And we embarked upon our new journey that we call IRFC 2.0, where we started looking for diversification within the whole of railway ecosystem, not limiting ourselves only to single client Indian Railways. Well, that was a new move in the history of the last 40 years of this company, but I'm very happy to share that the team IRFC, strong and small team, I can say, they rose to the occasion.

And as you see today in the last six months or so, we are sitting over a healthy order book of around INR 25,000 crores. Disbursement has started, Q1 has shown decent disbursement of nearly INR 3,000 crores, but we'll discuss in Q&A how we have got the plan in place that as per our guidance that we gave in beginning of the FY, our disbursement will see a kind of acceleration in Q2 and we'll be doing more than what is required to be done in H Y1.

We continue to secure the lowest cost of capital among peers and true to our ethos, we are sharing this benefit directly to our customers. As you know, our overhead cost is also minimal in the Indian Railway Finance Corporation (IRFC)

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whole ecosystem, so this competitive edge strengthens our balance sheet coupled with zero NPA and stable cash flows.

This literally set us apart in the ecosystem. We are just not giving a very attractive pricing, but we are fostering a true partnership for a longer period. So this company, unlike other NBFCs will be seeing minimal or very less prepayment. That is something, a kind of ethos that we are going to put in our system.

If we are going to make some partnerships in terms of lending and borrowing with any of the partners, it has to be a long-term win-win scenario.

o. This is going to give us the edge and the kind of query that we are getting from all over, all the CPS E, state government, metro railways. We are really excited to have those kind of queries. In fact, the team is working overtime with a kind of inflow of the customers, which is for any company something which is very, very rosy. People are happy to work extra for garnering more of the business. At the same time, with cuts of repo rate there is a pressure on the kind of margins that the whole ecosystem is facing nowadays. We are comfortable for the fact that our overheads are lowest in the ecosystem, so it hasn't affected us much.

But, yes, we are not only competing with NBFCs per se, we are competing with every efficient bank of the country. And that gives us a very interesting proposition that how IRFC positions itself, not only competing with the NBFCs, but also with the banks for arranging cheapest kind of resources in terms of the funding to anything coming in the whole of government approach. And when I say the whole of government approach, the private entity fits in the manner that if any private entity is entering into any kind of joint venture or any kind of PPA or any kind of concession agreement with the government, for us they become akin to a government entity. So the pie is big, the team is set and we are looking forward to quarters coming every time when we walk the talk.

And the motto of the company is that every quarter should be better than the last in terms of top line, bottom line and in all the financial parameters. So now we are open to question and answer session. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question comes to the line of Raghu with Travest Capital. Please go ahead.

Raghu: Hi, good morning. Thanks for the opportunity. Please excuse me if I'm missing out something.

My question is regarding how is our cost of capital at 5% because the government bond yield itself is 6.3, 6.2 right now. How are we able to achieve this 5% of cost of capital?

Manoj Kumar Dubey: No, who said you 5%? I think there is some confusion regarding from where you get the 5% numbers.

Raghu: Yes, because the total borrowing is around INR4,14,000 crores. Per quarter we are paying an interest outgo around INR5,000 crores. So it makes INR20,000 crores per year, right?

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Senior Management

Sunil Kumar Goel, GGM : So it's not about 5% that is because of our business model. We fund two types of assets. One is the project asset, another is the rolling asset. So major portion of the project assets, around INR2 lakh crores is still we have to execute the agreement for these assets.

And whatever interest cost we incur for these assets, it will be added to the loan amount and it will get capitalized. So accordingly, it is not getting reflected in my P&L. That is why you are getting such a low number. Otherwise, my cost is around 7%.

Raghu: Okay. Cost of capital is around 7%?

Manoj Kumar Dubey: It is hovering around 7%. As you know, that was the accounting system that we have with the railways where the projects are having a moratorium of 5 years. So till the time it is agreement is not signed and the moratorium is going on, then it is all accruing in the interest.

And later on, it is transferred into the capital when the agreement is signed. So this is what my BD Head was telling you. And so far as cost of capital is concerned, yes, it is hovering around 7%, but still cheaper than what others are getting in the market.

Raghu: Okay. And just one more question I have is we have the presently there is no corporate tax for us on our for our company. So generally, what is your view of how long can this continue? Is there any indication or something which you have saying it can come sometime in the future?

Manoj Kumar Dubey: So I can only assure you that next 5 to 6 years, we did talk about it. And that's a longer period. So let's talk about it somewhere in 2030. I hope I answered your question.

Raghu: Yes, it's answered. Thank you so much.

Moderator: Thank you. Next question comes from the line of Mohit Jain with Tara Capital Partners. Please go ahead.

Mohit Jain: Sir we have a sanction and I think our annual target is to disburse around INR 30,000 crores. You have witnessed so far we have disbursed INR2,500. So sir how do we...

Manoj Kumar Dubey: No, you are not audible clearly.

Mohit Jain: Can you hear me now, sir.

Manoj Kumar Dubey: Yes. But it is not audible in between. So be near to the voice.

Mohit Jain: Yes. I am moving to a better place now. Can you hear me, sir?

Manoj Kumar Dubey: Yes. Please go ahead.

Mohit Jain: Yes. So I'm saying, sir, we had a guidance of we said initially that we have INR60,000 crores sanction target for the current year and we plan to disburse around INR30,000 crores in the Indian Railway Finance Corporation (IRFC)
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current year. And I guess you hinted that so far, we have disbursed INR2,500 crores of loans.

So how should we look at this number going forward for the entire year?

Manoj Kumar Dubey: So that's a good question that has come to your mind, looking at the numbers. So the factual position today, I'm sitting over nearly INR25,000 crores sanctioned projects. And a few more big tickets are in pipeline. Now out of this INR 25,000 crores sanctioned projects, you rightly mentioned that in Q1, we disbursed around INR3,000 crores which is pretty low in terms of the total target of INR30,000 crores.

But the key here is that out of this INR 25,000 crores that we have sanctioned, many projects are of refinancing nature. Earlier, we were funding only to Indian Railways, not to even the SPVs of the Indian Railways in the ecosystem. They had very high -cost loans from the bank. So all are coming to our kitty now.

So all these loans are sanctioned and they are in the process of disbursement. And as you know, in case of refinancing the whole amount is disbursed in one go. So answer to your question is this that by Q2, we expect that we'll be doing 50% half year mark of what we have given the guidance for the whole year. Maybe we can exceed it also.

Even if we don't, but we are quite pretty sure that by Q2 with this kind of refinancing disbursements, things will even out. And we are pretty on track of what we have given the guidance in terms of disbursement as well as in terms of the sanction of the loans.

Mohit Jain: Understood, sir. So the annual sanction is going to be around INR 60,000 crores?

Manoj Kumar Dubey: Correct.

Mohit Jain: Okay. And sir, I guess moratorium of many of the projects have been over now. So what is the the annual rundown that we expect from the existing loan book? Is it something like INR 10,000 crores per year?

Manoj Kumar Dubey: Absolutely. You're right, for next 3 to 4 years.

Mohit Jain: So basically, should we expect INR30,000 crores of disbursement ?

Manoj Kumar Dubey: No. You say it again, your voice went out.

Mohit Jain: Yes, I'm saying should we look forward to loan growth now because the disbursements are going to now exceed the rundown of the old book?

Manoj Kumar Dubey: So you are doing my job. You are making it clear for everybody. you are bang on. So, this quarter, we just broke even at INR4.59 lakh crores, just nearly INR400 crores down last quarter of my AUM. So you are pretty on the point that going forward, every quarter, we'll be seeing a decent improvement in my asset under management also.

In fact, in the morning TV show, we were discussing that maybe the next FY, we see it growing past INR5 lakh crores again, which used to be our AUM 2 years back.

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Moderator: Since there is no reply from the line of Mr. Jain, we'll move to the next. That is Mr. Jeet from Pinpoint. Please go ahead.

Jeet: Sir, could you talk about your new disbursement yields versus your current book yields, please ?

What would be the difference and what explains the margin improvement in this quarter?

Manoj Kumar Dubey: So you see NIM that we have come out for this quarter is 1.51 which is quite above what we showed last quarter that was nearly 1.31. So, as I mentioned in the last con call also if you go through it, what we said that the new businesses that are coming, is not coming from IR, where there was a fixed 40 bps or 35 bps contract.

So here, we are either competing or discussing across the table. In fact, most of the assets we are competing only for the good quality assets. Wherever we have got L1, we are still finding that because of our low overhead cost, which is giving us a lot of legroom.

My margins are 2 to 3x of what I used to get from Indian Railways. So that will surely come into NIM. Now overall, because the total INR4.6 lakh crores is coming from the railways at 40 bps and 35 bps, if you ask for overall improvement, it won't be very steep right in the beginning. But for the additional asset that we are entering into our system, the NIM will be more than 2%. So to summarize the things going forward, you'll find that every quarter, IRFC's NIM is getting better and the yield on the PAT is also getting better, which is morning shows the days like this particular quarter, you saw my Q1 to Q1 PAT jumping in terms of double digits.

It is precisely nearly 11% of the jump. So this story will keep unfolding going forward quarter

after quarter.

Jeet: Okay. Understood. So NIM should structurally improve from here. On AUM, you're saying INR5 lakh crores by the end of this financial year itself?

Manoj Kumar Dubey: Next FY. Just correct yourself. I said that somewhere in next FY, that is '26-'27 we may see our net AUM going past INR5 lakh also the way we are looking at the kind of flood of the business that we are getting as query. Of course, we are doing the cherry picking. We are a net zero NPA company and that is our main focus.

So out of all the queries, even for the government side that we are getting, we are doing the cherry picking. But still the pie is coming so big in terms of big ticket sizes that we feel that we are sitting in a very exciting time and good proposition.

Jeet: Sure, sir. That's clear. And just in terms of these new businesses including the loans and sanctions to NTPC. So this is a completely new field for you, which involves the power sector, which I presume would not have a lot of linkage to your existing business of railways?

Manoj Kumar Dubey: You may be aware that NTPC is one of the biggest suppliers of power to Indian Railways. So there is a clear linkage.

Jeet: Okay. But how much do you intend to grow in the power sector?

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Manoj Kumar Dubey: You see the railways requirement today is 8 to 9 gigawatt. So, and 90% of that is coming from the other than railway sources. So all these power suppliers who are now shifting to renewable and Indian Railways also wishes to get net zero by 2030. It's a very challenging task. So we are moving towards that.

So all renewable projects who are going to supply and get into a power purchase agreement with Indian Railways through their zonal units, they are our clients i.e., direct clients. There is a joint venture of railways called REMCL. We have already entered into MOU with them. They are facilitating the power purchase agreement of this renewable supplying companies to the units of Indian Railways.

The moment they enter into PPA, they become our prospective clients. And, of course, because we are here to cater to them at a very attractive and a cheaper rate,

we expect that anything in

the renewable coming to the Indian Railways, which is going to be 8 gigawatts in the next 5 to 6 years, all are seemingly our business itself.

Jeet: Okay. Understood. That's clear. And what would be the reason that you don't have to pay any corporate tax?

Manoj Kumar Dubey: So let us hear from my BD Head.

Sunil Kumar Goel: It is because of the leasing business model we are following. So we have an unabsorbed depreciation for the assets what we lease to the railway. And from '18, '19 onwards, we have opted 115BAA. And because of that adoption, we are not liable to pay any tax under MAT.

And we have a lot of unabsorbed depreciation that will be going forward also for a foreseeable future of 5 to 7 years, that will be sufficient to absorb whatever income we have i.e., whatever taxes on that income we have. So in the next 5 to 7 years, we don't expect any tax liability on the company.

Manoj Kumar Dubey: I hope we clarified you.

Jeet: Yes. That's clear. Thank you so much. Just one last thing. So these loans that you're refinancing, would these largely be from banks or would this be from other NBFCs and what is the rate differential that you're offering on these, please?

Manoj Kumar Dubey: So we will not be naming anyone. But, of course, once we have positioned ourselves cheaper than all the NBFCs and banks, of course, the business will be coming from both of them. Not only these guys, there are something bilateral foreign loans also, which we are going to replace because there also with the devaluation of rupee and dollars going high, has become very costly to our siblings in the railway ecosystem. So all these businesses are coming on the platter. So what was the second question that you asked?

Jeet: Yes that's it. Just want to know, is it from banks or NBFCs, but yes can you answer that?

Manoj Kumar Dubey: Everyone.

Jeet: And yes, what is the rate differential that you're offering how much?

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Manoj Kumar Dubey: Rate differential is minimum 100 bps. At times, it is 150 bps also. So we are bringing a lot of comfort and relief to the entities who are working in the railway ecosystem. And that is what this company is meant for. But the beauty is that, that after subsidizing them by 150 bps, the

other competitive rates were so high that we are still making good money and far more than what we used to make from Indian Railways. So that is what is giving us a very win-win and attractive solution.

Jeet: Understood. And sir, last question, if I may.

Manoj Kumar Dubey: There are others also in line. Go ahead with the last question.

Jeet: On the 100 bps for the repo cut that we've seen, are you passing it on to your borrowers at the moment on the back book?

Manoj Kumar Dubey: Absolutely. The ethos of this company is whatever we are saving in terms of the cheaper borrowing that we are getting in the market. In fact, a few weeks back, we raised one 5-year tenure bond at 6.45% or 6.5%. So these are the rates we are getting the bond. So whatever cheaper raw material of the financing we are getting, we are obviously passing it to our borrowers.

And if you don't pass, then we can't compete. We are not in the business of high risk, high-margin assets. We are in the business of zero risk attractive assets. And incidentally, we found that they were also being funded at a very high cost. I mean government is not supposed to get a funding at 9.5% and 10%.

In my view, that is not the correct kind of because government is also doing business. And anybody who is doing business has the right to get the fund at a cheaper rate. What we are actually doing is we are making more margins than what we used to get from the railways. Still we are becoming lowest in the government system and that is giving us a very good impetus acceleration.

It's a win -

win scenario for people in all CP SE parlays, government parlays, state government, they are coming to us because now they know that IRFC is funding to every government entity who are having good rating. And that is why we are feeling that going every quarter ahead, we'll be having good business on the hand. We have to do cherry picking and we have to ensure that we remain zero NPA going in the future also.

Jeet: Sure. That's very clear. Thank you so much.

Moderator: Thank you. Next question comes from the line of Raghu with Travest Capital. Please go ahead.

Raghu: Yes. Just a follow-up on the previous question somebody was asking. Your borrowing cost is 7%. What is the spread on suppose you're funding a metro project, what is the spread on that particular loan, which you'll get? Is it 2% or is it 2.5? What is the spread?

Manoj Kumar Dubey: So you see the metro as a project for us is something unique because we are a government-owned company in major like and metro is a necessity for the nation. It is not a business. As you Indian Railway Finance Corporation (IRFC)

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know, none of the metros including Delhi metros are profitable in terms of totality. Somebody is making cash profit, maybe Hyderabad Metro, Delhi Metro, but you think of Delhi without metro.

I mean, it is impossible to cater to the logistic requirement of this huge population without Metro. So, what is the answer? The answer is metro is going to be there. And it is the responsibility of the government per se to ensure that metro in India is flourishing. Today, we have got more than 50 metros either working or sanctioned or in a phased manner.

Having said that, all these metro requires funding and they require the cheapest kind of funding. The earliest experiment for these metro railways where the bilateral funding comes from Japan or World Bank or ADB or many other things. In last 20 years, the government has realized that these loans are not so straight and cheaper loans. They have got many riders on it.

There is currency fluctuation, there is SOFR & TONA rates. There are other tighter things that you buy things from that country only then you avail the loans. So these kinds of things are tying the hands of the state government and the central government. So what we are planning is we are because we have been funding cheaper to the Indian railways, maybe a model where we can tell metro railways that you have a cost-plus model and you have this 40 bps margins on that, we can agree to that also.

To summarize the answer to your question is, we are geared up to bring as cheaper as possible the funding to the metro railways of this country with the guarantee from state and central government, where my loan is guaranteed. But the margins, yes, we have agreed and ready to fund them as cheap as possible in the system because we want to set a benchmark that if government wants to invest money, and if they want to have extra budgetary resources, IRFC is a conduit who will bring in money not only from domestic market, but from the ECB market at the cheapest rate and all benefit will be passed on. And we will be having the minimum kind of markup on that. And that market is not anything to guess. We already have a benchmark with railways, which is 40 bps. This is the gamut we are trying to plan and this FY we will be coming out with a very clear solution for all the prospective metro railway funding in the country. I hope

I clarified.

Raghu: Yes. But because the reason I'm asking is the cost of capital for if suppose don't get me wrong because I'm quoting your competitor. For REC is something around 7.05% or 7.1%, okay? So they generally lend to anything with a spread of 2.5%. So that is the reason why I'm asking. So generally, for any infrastructure project, what will be your spread because you're expecting a NIM of more than 2%. So that means

your spread...

Manoj Kumar Dubey: You are asking the question and giving the answers also. So NIM I'm expecting a NIM of 2 and 1, what is their NIM? Theirs may be 3.5%.

Raghu: Their NIM is 3.5%, spread is 2.5%?

Manoj Kumar Dubey: Yes. So my spread will be obviously at least 100 bps lower than them. Why? The answer is also very clear. It's not secret. What is their overhead cost? If you've done your mathematics, then you must be knowing. What is the overhead cost of REC, PFC and HUDCO?

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Raghu: I think it is something around 0.4% to 0.6%.

Manoj Kumar Dubey: No, I suppose, it's around 0.8%, 0.9% and 2.5%.

Raghu: Okay.

Manoj Kumar Dubey: Respectively REC, PFC and HUDCO. Mine is 0.1%.

Raghu: Yes. But now because we are expanding into these new areas and all, don't you foresee our overhead also to a bit expand a bit?

Manoj Kumar Dubey: We have foreseen. We have got a very concrete plan. My upside will be from 0.1% to 0.15% itself. It won't cross 0.2%. So that's the plan. So we are in a business of B2B. The cutting edge is that we are not going to put any overhead burden on our system. We are committed to deliver in a manner which is cost effective.

And we have a plan in place. In the B2B model, we do not foresee that our workforce will grow to as big as our peers. You know their numbers and you know our numbers. So that is our advantage and we want to maintain it. To clarify it, we don't foresee our overhead cost going even 0.2% in next 2 to 3 years. So clear advantage of 70 bps will lie with us so far as compared to our peers.

Raghu: Okay. So can I ask you one more thing? So, are you interested in lending to even DISCOMs and things like that, if suppose some DISCOMs approach you?

Manoj Kumar Dubey: No, absolutely not. This is not at all in our discussion right now. Let me be very clear. DISCOMs are for our siblings PFC, REC as it is their domain area. They are competitive in that. Yes, GENCOs, only those GENCOs who are supplying to Indian Railways. Let's also be very clear about it.

Raghu: So, for a normal conventional power project or something you are not interested, you are not going to fund them?

Manoj Kumar Dubey: So, you talk about DISCOM. DISCOMs we are not going to fund right now. That is not in our portfolio and we are not looking at that. You talk about GENCO, yes GENCO we are going to fund if they are having a linkage with the Indian Railways. Even the mining, coal mining if they're having a linkage with the Indian Railways, we are going to fund them.

Raghu: Okay. One last thing. Anything related to infrastructure, other infrastructure projects and all, even that is profitable right now?

Manoj Kumar Dubey: See Railways is defined as infrastructure. So even railways and projects having backward and forward linkages with railways ..

Raghu: Apart from railways, maybe road or something?

Manoj Kumar Dubey: Let's be very clear. Right now, our mandate and our limitation is that we are funding anything which are having backward and forward linkages with the railways. So yes, like if you say a port

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is coming, having a railway linkage, yes, we are going to fund it. A fertilizer factory is coming having a linkage with the railway line.

And every production of fertilizer is going to be hauled by railways, yes there is a linkage. So these kind of infrastructure projects, which are having a direct linkage to the railways, they are our baby, but something in stand-alone happening, yes, we are not having a look at that. There are other sibling NBFCs, as you know them, they are there to cater them.

Raghu: Okay. So if a port just has a railway line and a port cost maybe INR 50,000 crores, IRFC is ready to lend them money if there is a railway linkage?

Manoj Kumar Dub

ey: Whatever part of it, yes we'll have a look for sure.

Raghu: Okay. No, that's great. I just want to find out the scale of the opportunity that's all?

Manoj Kumar Dubey: I am very happy that you are finding out and you are rightly asking and everybody is rightly asking this question. For the fact that we never dealt with these things, earlier. So, it's good that you are asking these questions and these things must get spread also that we are funding all the infrastructure projects having a backward and forward linkage to the railways.

Of course, a rider is there. We are very particular about the quality of the assets. As you know, we are perhaps the only zero NPA company and we wish to remain that. That tag for my investors, we intend to keep that tag. So, we are very, very critical about looking at the quality of the assets.

So, yes, if they fulfil our benchmarks if they are ticking all the boxes that we need to, then anyone who are having a linkage with the railways, we are going to have a look for funding.

Raghu: That's really great. Thank you so much.

Moderator: Thank you. Next question comes from the line of Naman Kumar an Individual Investor. Please go ahead.

Naman Kumar: My first question is with respect to the projected sanction of INR60,000 crores. So how much of that would be approximately on the leasing model and how much will be on the term loan model kind of a thing because right now, most of our assets are under leasing model. So just want to understand in the future?

Manoj Kumar Dubey: My BD Head will take up this question.

Sunil Kumar Goel BD (Head) : Mainly it will be on the term loan model. Basically, we are also funding on the leasing model to some of the entities. But the quantum would be around INR2,000 crores to INR2,500 crores, but mainly it will be on term loan basis to various entities, those who have a linkage with the railways and those who are operating in the infra space.

Naman Kumar: Okay. And in case like there was a news article about funding of NTPC rolling stock wagon. So those will be on leasing model or those will not be all?

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BD Head : Those will be on the leasing basis and we have some other inquiries from other entities also. But the total quantum would not exceed more than INR2,500 to crores. With NTPC, we have executed an agreement of around INR700 crores. And some deals are under discussion and they will get finalized in due course. But the total quantum would be around INR2,500 crores.

Naman Kumar: Okay. Got it. And my another question is with respect to the leasing model. So I understand that IRFC follows the primary lease period of 15 years and secondary of another 15 years, but most of the money is recovered from the Indian railways within 15 years. So initially I think in the beginning, there was no problem.

But right now, because of too much investments on infra relating to railways, it is relating to railways. It is putting a strain on Indian Railways finances like paying within 15 years because most of the operations of Indian Railways are kind of on breakeven situation. They don't have extra money to pay.

By any chance, is there any discussion or is there any thought process going behind the new projects assets which -- for which lease agreement will be signed to extend that primary lease period from, say, 15 years to 25 years, so that it doesn't put a strain on the finances of Indian Railways?

Manoj Kumar Dubey: So, you are giving a very good advice and solution to Indian Railways. So, it is for them to take a look. Right now, what model you mentioned is in the place. But what you proposed, I can only say that it is something for the Indian Railway to look at it. If proposal comes from their side of any kind of this, yes, it doesn't harm us in any way by increasing the tenure if they wish to, but

right now, there's nothing such on platter.

Naman Kumar: Okay. And is there a way like possible for IRFC management to push like to put in place like this proposal to Indian Railways or most of the proposals come from their side only?

Manoj Kumar Dubey: That is something between CPSE and the government. It is not the domain where we should talk about. So there is a system in place. And as and when either side needs to talk about something in writing, they talk. But this is not meant to be discussed with the investors.

Naman Kumar: Okay. Got it. And one last question is with respect to like the new financing, which will be mostly on term loan model. So will the interest rate be fixed for long term or will it be a floating kind of a situation, which will keep on changing based on underlying rate?

BD HEAD : Till date whatever we have sanctioned, it is on the floating basis. As of now, in the ecosystem, nobody wants a fixed rate kind of a scenario and we have to operate as per the market condition.

And if someone wants on a fixed rate basis, we are open to it and we can discuss and we can structure the deal as per the requirement of the prospective borrower.

Naman Kumar: Okay. And the floating rate underlying is like weighted average cost of IRFC internal funding or like external benchmark? Is it internal benchmark or external benchmark?

BD HEAD : We are using various benchmarks. We are using AAA benchmark. We are using repo rates as

well. It is based on how the prospective borrower want the deal. And my lending rate would be Indian Railway Finance Corporation (IRFC)
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decided based on the credential of the project, based on the tenure of the project, what is the risk appetite of the borrower and what would be the interest rate scenario going forward and based on these parameters, we decide what benchmark we should use and how to structure the deal.

Naman Kumar: Okay, got it. That's all from my side. Thank you very much.

Moderator: Thank you. Next question comes from the line of Ritika Behera with Bandhan AMC. Please go ahead.

Ritika Behera: Sorry, my questions would be a little repetitive, but if you could just reiterate your guidance on sanction and also on disbursement and AUM for this year and next year, if you've given for next year as well?

Manoj Kumar Dubey: You want for next year also?

Ritika Behera: Sir, if you've shared in the call, then yes, I missed something in the call?

Manoj Kumar Dubey: That is quite wishful. I'm happy that you are covering us and you are having the interest. So I can only say the guidance that next year also, your interest will be intact as we are on the rising path. So whatever we have given the guidance for this year, that will surely remain a benchmark for next year also.

Ritika Behera: That's very helpful, sir. But if you could just share the guidance again, which you've given already for this year? I actually missed the numbers?

Manoj Kumar Dubey: Okay. This year we gave a guidance in the last quarter itself. When we began with this FY, we have targeted around INR30,000 crores for disbursement and around INR60,000 crores for sanction of the assets.

Ritika Behera: And as I see in your presentation, you've given that total sanction already till date is INR23,000 crores. So you are expecting that another further some INR 40,000 crores to come during the year. Is that the right way?

Manoj Kumar Dubey: Yes. It may go up also. I mean it is a ballpark figure. So it is never like you stop at INR60,000, you don't go more than that. So it is a kind of ballpark. When we started in the FY, as you know, this was a first of its kind for this company. We never ventured outside Indian Railways. So with the kind of inquiries and enthusiasm that we found to our customers looking at our products, which are very cost effective and time effective also.

So we thought that this is the

kind of good numbers that we should come out. And to give a flavor again, the last two concalls, I always give this comparison, INR30,000 crores that we wish to disburse, it should be akin to nearly INR75,000 crores to INR90,000 crore s loan that we would have done to the Indian Railways for the fact that only 35 bps was coming from there.

So here the margin is more. So INR30,000 crores, if we are able to disburse, it will be akin to something of the highest that we used to do for Indian Railways in terms of the margin. So that is what we are targeting this year. So and as you mentioned numbers yourself, I think INR23,000 Indian Railway Finance Corporation (IRFC)
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crores we have already done and we are right in the first part of the Q2. So I think we are well on the target. And we believe that by the end of the FY, we should meet it very comfortably.

Ritika Behera: Sure, sir. Sir, if I could just extend this. So obviously, these are these being large projects, obviously, the disbursement takes time. And as I see that you've done INR3,200 crores disbursement this quarter, sorry, of the sanctioned of 23. So just two questions here.

How much of the INR60,000 so you roughly feel that 50% of the sanctions would be disbursed this year and that's how the INR30,000 crore s number. Any color that you can give on the balance INR27,000 crores to be yet to be disbursed? What is like you have given?

Manoj Kumar Dubey: I think you joined late. So, I have to repeat again.

Ritika Behera: No, that's okay, sir. I'll maybe listen in the recording, not a problem.

Manoj Kumar Dubey: So, the kind of project that we've sanctioned, quite a few of them are refinancing, okay? So, as you know, refinancing is done in one go. So, all these refinancing projects are already sanctioned, and they are already lined up with Q2 out of the INR23,000 crores. So we expect that more than INR10,000 crores will be disbursed in Q2. So, making it even for H1.

So, by the time we end up Q2, we believe that nearly 50%, maybe 40%, maybe even 50%, maybe a little more than that disbursement should take place. So we will not be very hard pressed going in H2. This is the crux of the answer that you wanted to know. So, all these numbers which were on, you see on the sanctioning of the project side, we are quite ahead in one quarter.

On the disbursement side, we are lagging behind. So, by the end of Q2, you'll find that we'll be,

even in both, we'll be having nearly 50% of the disbursement done. And of course, nearly 50% or more of the loan sanctioned. So this is how the things are panning out. I hope I clarified and it is good to hear to you.

Ritika Behera: Yes, sir, certainly. And lastly, you said that INR5 lakh crores for FY '26 is the number you gave me.

Manoj Kumar Dubey: Somewhere I said in, FY '27.

Ritika Behera: Somewhere around that.

Manoj Kumar Dubey: FY '26 already we are on. I said that next FY, that is FY '27. I can't predict. I wish I could have predicted. But I believe that the way we are garnering the business, I believe that one of my young officers from my BD team gave me a presentation showing some rosy pictures. I'm not telling you the numbers. But yes, out of the rosy pictures, I believe that the way we are going ahead, sometime in FY '27, we should cross INR5 lakh mark of our asset under management for this company.

Moderator: Next question comes from the line of Vikas Kasturi with Focus Capital. Please go ahead.

Vikas Kasturi: Good morning, sir.

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Manoj Kumar Dubey: Good morning.

Vikas Kasturi: Sir, you mentioned during this call, you mentioned 2x or 3x about ensuring zero NPA. and you also mentioned about that the company needs to tick a few boxes. So, if you could just provide some color on this, sir, how do you ensure, especially when you're lending to a

private entity,

and you have a 30 -40 year track record of having zero NPAs. And now you are venturing into lending to outside Indian Railways.

So, what are some of these boxes that you look for to ensure that you have zero NPAs even going forward? And I have a related question to this, sir. If NPAs do arise, because that's the normal thing that happens whenever you do lending, would that affect your AAA rating?

Manoj Kumar Dubey: So, fine that you raised this question. So first to answer your question, right now, let it be very clear, we have not funded anything private, nor we are looking right now to fund anything private. This is the first remark. Second remark, our mandate has extended to whole of government approach. So, the definition of whole of government approach in India is, of course, any entity of central government, CPS E, where majority of share is held by Government of India, and of course, the state government.

So, these are our prime customers now. Within the government system, we believe that there is negligible chances of any of the government entities getting bust and getting NPAs. This is the first flavor, the first box that we need to tick. Amongst the government assets also, we are doing our due diligence because today the government assets are also getting rated.

So, today the rating agencies of the country are very robust, and more than one rating agencies are there who are rating all the assets and they are quite convincing also. So, within the government also, we are looking for A -rated assets. This is another box we are ticking.

The third thing is, if we are going to fund assets like metro railways and all, where the fare Box model is not seemingly sufficient to take care of the loan responsibilities. We will have a clear - cut comfort from state government and the central government who are the promoters. Without that, we won't go ahead. So, these are the boxes we are ticking, which we're talking about of ring-fencing ourselves to ensure that going forward, we do not get into any kind of NPA whatsoever.

Now the last thing, how the private players will come into the picture? Yes, private players can also come into the picture if they are entering into a joint venture or a kind of long -term PPA agreement or any kind of concession agreement with the government.

For example, I'll give you a flavor of railways. Railways has got a joint venture model where they create SPV. In that SPV, minimum 26% of equity comes from one of the CP SEs of the railways and 74% theoretically can come from a private entity also. However mostly they are all state governments and other CPSEs.

Now this entity is not a CPSE entity. It's a SPV. But the modality is that the land is owned by Indian Railways and concession agreement goes for 25 to 35 years. End of the concession

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agreement, the whole project, which is tangible will come back to the railways. Now think of a scenario that something happens in between, say, 10 years, 15 years.

Now this property is on the land of Indian Railways, so everything will come to Indian Railways.

So, I still have the comfort that I'm dealing with my promoter itself and it's a tangible asset. So that risk is heavily minimized. So, we are looking in these terms only.

So far as CPSE is concerned, we have funded to NTPC, they are AAA-rated assets. We are funding to renewables where the ratings are always AAA or AAA stable. So, the answer to your question is within the government parlance also, we are doing our cherry picking. Why we are doing cherry picking? We are doing cherry picking because we are not into the high risk, high margin business. We are not looking for 2.5% and 3% or 300 bps margin.

We know that our margins will be at the max touching 120 to 150 bps. And that also is a very wishful thinking if I'm getting 100 bps or 50 bps in this ki

nd of scenario if the asset quality is

extremely good. Because we were working in a field where we were getting 40 bps, 50 bps or 100 bps with surety of the business that it is zero NPA kind of asset, it is extremely gratifying and satisfying to us and to my investors also. So, I hope I've given you the clarity on how we wish to be zero NPA in coming future also by funding to entities in the government, having a whole of government approach other than IR.

Vikas Kasturi: Okay. Got it, sir. And a related question, sir, in one of the first conference calls that IRFC had, the then MD had said that there is a backstop arrangement with railways that in case any day IRFC is unable to service its debt, it would be done by the Indian Railways. So now that you are lending to all these other entities, would that arrangement still continue?

Manoj Kumar Dubey: I mean for the railway funding that we have done to IR, yes, that arrangement, whatever you mentioned is there. Whatever I'm funding other than IR, we are doing on the strength of our balance sheet. We have got a very robust network with us. So, we know how to do the business on these lines. And that is why we are not going berserk in the attracting business. If you do that, maybe I'll be able to garner more than INR1 lakh crores in 1 quarter, the kind of queries we are getting.

But as you know, we are going very safely and in a very steady manner. As I clarified you that we are not looking right now for anything private, even having a very good rating because my platter is full with what queries I'm getting from the government entities. And that is our mainstay, and we wish to remain to that mainstay for next 2 - 3 years. Later on, we'll see how things are panning out.

Moderator: Next question comes from the line of Pranav Gupta with Aionios Alpha Investment Managers.

Pranav Gupta: Hello.

Manoj Kumar Dubey: Yes.

Pranav Gupta: Yes, good morning, sir and thanks for the opportunity. Most of my questions have been answered. Just a couple of clarifications. When we look at the new entities that we're lending to Indian Railway Finance Corporation (IRFC)

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that are either forward or backward linked with the railways, and obviously, we have the comfort of the multiple comfort that you mentioned earlier.

But is there any specific guarantee that is being provided by these entities or by the state governments? Or is it just based on an understanding that eventually, obviously, the projects will go to the railways and the railways will sort of service the debts?

BD HEAD: See basically, it depends upon what type of asset I'm funding and to whom I'm funding. And what is the tenure and what is the structure of that deal. In some of the cases, where we have a concern regarding the future cash flows, so we generally ask for ring-fencing of those risks. But wherever we feel that the external rating is very quite good and they have a robust financial model in place and their cash flows are quite predictable, in those scenarios we may exempt. We don't ask for the government guarantees. Hope I'm clarified.

Pranav Gupta: Understood. Just a follow-up on that. So, if you think of, say, a metro project that we are funding, in those cases where cash flows might vary versus that are done at the initial part of the project, in those cases, I would assume that you would have a ring-fencing on the cash flows of that project eventually when it gets commissioned.

Manoj Kumar Dubey: I think for metro, we discussed at length, and I clarified very clearly that metro is not a model where fair box model will be enough to cater to the disbursement I mean, servicing the loans.

So of course, when we are going to fund the metro, in the past also, whatever bilateral loan to metro has come, it has come through DEA, Department of Economic Affairs and there is clear guarantee from state and central government.

S

o, if at all we are going to fund anything, which we are already in process of discussion, we are going to follow the same model. In case of metro railways, 100% guarantee has to come from the promoters who are central government and the state government in a similar manner as they are guaranteeing it to the bilaterals and multilaterals.

Pranav Gupta: Understood, sir.

Manoj Kumar Dubey: Once that is done, we are safe and we are happy to fund. Yes, in a lighter note what I'm very clearly telling everyone that with the metro railway, I'm not here to make very huge margin.

That is not done. So, metro railway is something is the nation service. And with my robust balance sheet, with my low overhead cost, if I'm making 30-35 bps out of that, it's very good, and we are very happy doing that. Because we have got some other mix in the bag where we are earning more also.

Pranav Gupta: Understood, sir. That's very clear, very clear. Sir, the second clarification was around the other bit of book where the spreads are slightly higher than what we do in the railway or metro sort of financing. Is it fair to assume that those loans also come with, say, probably a 70, 80, 100 basis point spread at best?

Manoj Kumar Dubey: Repeat the question again?

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Pranav Gupta: So obviously, in the cases of projects that are sort of guaranteed by the government, where we are happy to make a much lower spread, for the other parts of the book where the spread is slightly higher, is it fair to assume that the spread sort of cap out at 90, 100 basis points?

BD HEAD : Right, right. You are right. Wherever we have a deal like CMD sir has apprised you, like in case of a metro, where all the risk got ring-fenced and we have a cost-plus kind of a model. So, we are happy to have a 40 bps kind of a margin. Wherever we have all the risk on my book, so I need to have more margin to cover those risks.

And in that scenario, I would be charging margin more as we are getting in the past. But as of now, our main focus on the quality of the asset. Our main trust that we should fund the quality asset. And my margin to cover all those risks would be in the range of 80 to 100 bps as CMD sir has briefed you.

Pranav Gupta: No, absolutely, sir. And, sir, the last question for all the external borrowings, are the risks on forex fully hedged? Or is it partially hedged?

Manoj Kumar Dubey: So that's a business model that we have multiple models going by the tenure of the loans. So, we have hedging model also. At times, where it's a longer tenure, then we try to wait for a few years to get better yield. So that's a model being followed in this company. And as you know, borrowing side of this company is very strong that we have been doing for a number of years for Indian Railways. So, we are good at it. So, it's a mix. To answer to your question is, it's a mix.

Pranav Gupta: Absolutely, borrowing side is absolutely strong and totally get that. If you could give out any number as to how much of those borrowings will be hedged and how much would be unhedged that will be great, sir.

Manoj Kumar Dubey: Numbers, we won't like to share with you right now. But yes, as and when ballpark, I can tell you that anything which is within 5 years we tend to hedge it.

Pranav Gupta: Sorry, just to clarify, the shorter tenures are hedged and the longer tenures are not hedged?

Manoj Kumar Dubey: Any tenure which has come up within 5 years' time, we tend to hedge it. So, for now we'll be taking last question. We have already this time, you have stretched it, and I'm happy that a lot of queries are coming, but still that 1-hour time we should follow. So, the last question would come.

Moderator: The last question comes from the line of Tanuj with DSP.

Tanuj Kyal: Hi, sir. Just on the sanctions, the 230 billion sanctions this year, sir, what are the

he yields you

expect in these business like the ones with NTPC? Yes, if you could share that?

BD HEAD : It would be in the range of 70 bps to 150 bps, what we are charging from various customers. But we can't tell you customer-wise, but this would be the band.

Tanuj Kyal: Sorry, 70 bps spread you mean, like 7% cost of fund and spreads above the...

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BD Head : That is based on the quality of the asset, tenure of the loan, the credit rating. So, on case-to-case basis, we decide the spread and our spread would be in the range of 70 to 150 bps on a case-to-case basis. But customer-wise, we can't share with you.

Tanuj Kyal: Understood. Understood. Sir, and your employee count, how has that changed? Like will that increase materially over time because you're getting into newer segments sort of so.

Manoj Kumar Dubey: Both, we are expanding. In terms of percentage, we have grown 50%, but the base was so small that 50% has added only nearly 20 more employees. We are getting excellent talents from government as well as from other CPSEs right now. And again, there is cherry-picking in talents

also.

So, as people are attracted to this company for business, similarly talents are also getting attracted to this company. So as CMD, I'm very happy that I'm able to garner the best of the talents available in government as well as in CPSE parleys. We are now around 60, and we look forward to be 100 or 110 in next 5 years' time.

And having said that, we still want to be the best of the talent in small numbers using the other facilities around right from the consultancy, advisory, AI, whatever you tell it. And since we are into B2B business, unnecessarily, we don't want to add the manpower numbers. So, we are going to stick to a good office, very technically sound office very soon by the end of this FY.

So, we want to invest more in the machines and the analytics than unnecessarily manpower. So, to answer to your question is the manpower will grow, but grow in a very considered manner.

At the end of the day, we will ensure that my overhead cost is not getting higher than 0.15% in 2, 3 years. That's the answer.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Manoj Kumar Dubey: So, thank you, DAM Capital. So, 2 quarters back, I started with you. We could hardly take the questions for 30 minutes. So, I'm happy that queries are more. This is my third quarter, and we could do it 1 hour and still see people are there to ask questions. That speaks volumes about the interest that we have generated into IRFC.

DAM Capital is a partner to the journey. I'm thankful to you that you are doing it on our behalf.

We ensure to our investors, in fact, retailers are in a big number, that this management under the guidance of Minister of Railways and Ministry of Finance, are totally committed to deliver what is required for the investors.

We are on the growing trajectory. We are not very rash. We are driving very carefully. We have got our accelerator and brake in place. We'll tick all the boxes. We'll drive very carefully, but the speed will always go on and on in terms of our top line and bottom line.

Our country is having a very exciting time. Honourable Prime Minister has set 2047 as a target for Viksit Bharat. This is the real Amrit Kaal for the country. The next 20 years are the golden Indian Railway Finance Corporation (IRFC)

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time and everything will grow. And in the growth spectrum, IRFC is all geared to play a very important role.

And of course, since we are in business, we want to grow in a very positive manner, catering to the need of the nation, being a company national service and also growing our fin

ances in a

better manner. So, I wish that all my shareholders stay with us and be partners into this growth and the national service also. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Scrip Code: 543257

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, as amended from time to time and other applicable Regulations, please find attached the transcript of earnings conference call held with analysts/investors on Thursday, 16th October 2025, to discuss Una audited Financial Results for Q 2/FY 2 5-26 and Half Year ended 30th September 2025. Please find below the link of transcript of earnings conference call held with analysts/investors on Thursday, 16th October 2025.

This is submitted for your information and record.

Thanking You,

For Indian Railway Finance Corporation Limited

(Vijay Babulal Shirode)
Company Secretary & Compliance Officer

Enclosure: As Above

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“Indian Railway Finance Corporation (IRFC)
Q2 FY 2025-26 & Half Year Results Earnings
Conference Call ”
October 16 , 202 5

MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN AND
MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
– INDIAN RAILWAY FINANCE CORPORATION (IRFC)
MR. RANDHIR SAHAY – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER – INDIAN RAILWAY
FINANCE CORPORATION (IRFC)

MODERATOR : MR. PARTH JARIWALA – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to IRFC Q2 FY 2025 -26 and half year results Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Parth Jariwala from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Parth Jariwala : From the management, we have with us Shri Manoj Kumar Dubey, Chairman and Managing Director & CEO; and Shri Randhir Sahay, Director (Finance) and CFO. Without further ado, I shall hand over the call to Shri Manoj Kumar Dubey for his opening remarks, post which we can open the floor for the Q&A. Over to you, sir. Thank you.

Manoj Kumar Dubey : A very good morning, Parth and a very good morning to all of our friends, who are there on con - call. We are here once again to celebrate the remarkable path IRFC have charted, a journey that grows deeper every day, in connecting the lives of wide base of India, having more than 55 lakh shareholders also because in every project that we finance, every rupee that we mobilize, it is the pulse of India's people that moves, and we are humble to fuel their aspirations also.

So friends, a warm and hearty welcome to the IRFC con -call after publishing our quarter 2 results for FY 25 -26. I'm joined today with my colleagues, as already told, my CFO and Director Finance, Mr. Randhir, also my Head of Accounts, Head of Business Development and few more HODs, who are there into the Apex team.

In Q2 FY 25 -26, as you all know, we delivered a PAT of nearly INR 1,780 crores, marking more than 10% growth while H1 profit touched INR 3,523 crores, again, a double -digit leap vis-a-vis last H1, highest ever which is highest ever in the IRFC journey. Our net worth has touched a record, more than INR 56,000 crores with the EPS of INR 5.39.

Our AUM has shown the reverse trend now that is upward trend from this quarter onwards. And we hope that this upward trend remains steady and grows further and further. IRFC has really showcased the power of strategic diversification that we embarked upon even without new allocations from Indian Railways for the third consecutive year.

What makes this growth remarkable is a nine-fold increase in our new business agreements that we signed. In fact, INR 36,000 crores of agreements were signed within 3 days of the last 4 days of this H1, that is between 26th to 29th of September, touching nearly more than INR 45,000 crores in H1 for the sectors like renewable energy, transmission, coal mining and industrial infrastructure, etc .. It gives me immense pride to share that IRFC continues to script new chapters of financial excellence.

Our NIM, which was in last FY standing at 1.42%, has now improved to 1.55% by the end of H1. This shows that our planning of going for diversification and for the assets where there are better margins are already reflecting in our NIM.

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Alongside this achievement, as we grow in our PAT and we do good, we need to reward our shareholders also. So , the Board has declared a record breaking interim dividend of INR 1.05 paisa per share, further enforcing the trust and confidence of our shareholders.

Through all of this, IRFC maintains a zero NPA record, rare hallmark and the kind of business that we're picking up in diversification also, we intend to maintain our unblemished record of zero NPA. This stands as a testimony of our resilience, risk discipline and the trust that we

command across the ecosystem.
In the coming quarters, IRFC will

I continue to expand its footprint in renewable energy, logistics, port, any metro transportations on rail and allied sectors. As India accelerated towards an infrastructure renaissance, IRFC is future ready with clear ambition to deepen our diversification not just for the railway directly, but for the India's developmental vision at large, keeping railway at the center.

Thank you all, and we are ready for the question and answer session. Over to you, Parth.

Moderator : Thank you, sir. Ladies and gentlemen, we'll begin with a question and answer session. Anyone who wishes to ask a question may press star and 1 on their touch tone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use headset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question is from the line of Vikas Kasturi from Focus Capital. Please go ahead, sir.

Vikas Kasturi: Good morning, sir. Wish you a very happy Diwali, and congratulations on a fantastic quarter. Sir, my question is, historically, we have been, say, giving loans to the Indian Railways, right? And there, we did not require much human capital in the form of to do things like sales, underwriting, collections, et c, So how are you approaching this challenge, sir, with respect to building this human capital when you're going outside the realm of Indian Railways. That is my only question, sir?

Manoj Kumar Dubey : That's a very good question that you put up and it shows that you are very happy on the part of the leverage of the company and you're worried rightly worried like me for the human resource that has to propel this growth. So as you know, the sweet spot for me as the CMD is the fact that since the team was stronger, we have to choose right kind of people.

So we are choosing the right kind of people. The best of the talents that are available in the ecosystem. We have added a few experts from the railways on deputation. We've also taken lateral entry from various sister CPSEs.

And of course, when we're choosing now and the kind of buzz that my company has created your company has created, we are attracting best of the talents. And your question is bang on for the fact that borrowing side of this company was very strong. We never did business development outside railways.

So now my business development team is headed by a very seasoned senior guy from NTPC background. We have got other verticals also in place. And we have got mentors and risk Indian Railway Finance Corporation (IRFC)

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management officers from the ecosystem, people who have done more than 35 years of service in NBFC parlance.

I don't want to name the companies, but yes, we have roped in veterans and consultants on a long-term basis as well as our motley team has grown by 50% now from 40 odd, we are nearly 60, and we want to grow by attracting depth of the talents. And in normal parlance as a common understanding goes that only the private sector picks up the best of talent.

So, we are kind of setting up a system where we should excel and should be at par, if not better than any of the private or public player in the ecosystem. And that is what we are striving for going forward. I hope I've answered you.

Vikas Kasturi: All right. Thank you, sir. I wish you all the best.

Moderator : Thank You, our next question is from the line of Hardi Jain from Investec. Please go ahead, sir.

Hardi Jain: Hello. Am I audible?

Manoj Kumar Dubey: Yes, please go ahead.

Hardi Jain : Hello Sir. Good Morning. And first of all, very much congratulations for your results. I have a few questions for you, like on PPT, I want to understand what is the difference between in sanctioned limit and agreement limit as you have written

for NTPC BOBR rakes that you have sanctioned INR 700 crores, but signed the agreement of INR 250 crores. So I wanted to understand that what's the difference between that?

Manoj Kumar Dubey : So my BD Head, Mr. Sunil will answer your question.

Sunil: Ma'am, generally we follow a process, where we take credit approval from my Board and my Board gives me a sanction for that particular lending. And after that, we have to execute a transaction document. So, we are saying, for NTPC my board has given a sanction for INR 700 crores and we have executed the transaction document of INR 250 crores and for remaining amount, it's yet to be executed.

And for other things, as CMD sir has apprised you regarding this INR 45,000 crores, this is what we have already sanctioned and a transaction document has been executed for the same. And

there are certain transactions that we have got the sanction from our Board and their document is yet to be executed. I hope I have answered you.

Manoj Kumar Dubey: So just to summarize this for your understanding, out of INR 700 crores, INR 200 crores agreement have been signed for payments and for another INR 45,000 crores also agreement has been signed.

Hardi Jain: Okay. Understood. So, I have one another question also if like I want to understand that what is the financing opportunities for railways.

Manoj Kumar Dubey: You are talking about railways as a Client or railway ecosystem.

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Hardi Jain: No, actually, I'm expecting that I want to understand your financing opportunity, whether it is going to be upstream or downstream for railways.

Manoj Kumar Dubey: No. For the ecosystem, it has to be upstream only. We have already got a good pipeline. So going ahead, it will be upstream.

Hardi Jain: Understood. And wanted to know that what is your planning for human resources for infrastructure transactions in future?

Manoj Kumar Dubey: I think you heard the first question I answered or I have to repeat it again.

Hardi Jain: No. Actually, I missed a few points. That's why.

Manoj Kumar Dubey: So, we are looking for the best human resource in all of the areas, except borrowing where we are very strong. We have already added around 20 odd very good talents from the railways on deputation as well as from the other sibling companies on lateral basis. We have added many consultants also. And going forward also, as the need arises, we'll be looking for the best of the class executives in the ecosystems with us.

Manoj Kumar Dubey: While doing everything, we still want to be having our overheads at the minimum.

Hardi Jain: Okay. Understood. And may I know that what are your expectations for the disbursement and AUM growth for next quarter?

Manoj Kumar Dubey: I think if you know my guidance, if you are following us, we have given a guidance of INR 30,000 crores disbursement in this FY. Now the pipeline is there. We have already done INR 7,000 crores. Q3, we'll be doing additional maybe INR 10,000 crores to INR 15,000 crores. And whatever rest is there, we are very confident that we'll be doing it in fourth quarter. So, INR 30,000 crores disbursement guidance is pretty much intact.

Hardi Jain: Okay. Understood. And one last question from my side. Sir, like I want to understand that whether you guys are doing project financing on a milestone basis? And if you are doing on a milestone basis, I wanted to understand that what are the time lines for such projects completion of such projects?

Manoj Kumar Dubey: Sunil

Sunil: Yes, ma'am. For Project financing we are doing based on the milestone and whenever we do credit appraisal, we ask from the prospective borrower what would be your plan for achieving this COD and based on their PERT network and their CPM chart, we will generally determine the milestone and based on that we are monitoring and

we are appraising the thing.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and 1 on your phone.

Ladies and gentlemen, to ask a question, please press star and one on your phone. The next question is from Rishi Maheshwari from AKSA Capital. Please go ahead.

Rishi Maheshwari: Thanks for taking my question. Congratulations on a good set of numbers. Just to understand, given the cost of deposit would be coming lower for you, is that the rate processing has already

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been done? Or do you think there is further scope of rates, which will come down and therefore, give any higher boost towards our NIM?

Manoj Kumar Dubey: You see, since we are not directly linked with the repo system, so repo is a benchmark, we generally land with a benchmark of AAA+ PSU lending rates. So typically, we used to do business with 40 bps margin with the railways on cost-plus model. The new diversification model that we are working on, despite being very competitive, what our experience in the last H1 with around 10 clients where we mopped up around INR 45,000 crores, more than INR 50,000 crores in fact, you take the 3 quarters.

So our rates are 2x to 3x in terms of margins, which is reflecting in our NIM also. So NIM is continuously growing from last FY, it was 1.4% and now it is 1.55% further going forward, we believe that with the diversification and the outside Indian Railways asset that we are coming to our kitty, despite the fact that we are competing with the banks also for the quality assets right

now, going forward, our NIMs will be showing a better margin.

Rishi Maheshwari: Sir, given that I'm trying to understand the risk elements over here outside the railway business, given that a large part of it is wholesale business that you're doing outside railways also. And there, the competition will be pretty stiff. Now with that in mind, so far, there have been no delinquencies, and that's a remarkable thing. But given the future, given that you are moving into uncharted territory, how do you perceive delinquency stages coming about a year later or two years later? What is your opinion on that?

Manoj Kumar Dubey: Rishi, that I mean, you really nailed the question what we discuss almost every week in our boardroom. So just to give a flavor and confidence to all my shareholders. We have embarked on a whole of government approach. So the only difference right now in my clientele is I'm not only limiting myself to Indian Railways, but there are many ministries and the state governments who are doing business, including CPSE.

I'll give a flavor. My first 4 assets came from NTPC. Now I don't have to speak about NTPC. They are AAA rated asset and their subsidiaries are also that well rated. So if I'm funding to NTPC, you and I both know that what kind of risk I'm going to have. Second flavor, maybe we funded one joint venture promoted by GAIL, Coal India and Rashtriya Chemicals. Now to our Maharatnas having such strong balance sheet, you can perceive the kind of risk that we can think about them, almost nil risk.

Similarly, we are funding to those Gencos who are having a link with railways, and they are very strong. So we have right now with our very low overhead cost and very competitive rate, spoiled for choices to pick up which asset within government I want to pick up. So going forward, since we are only lending to the entities who are in the whole of government ecosystem, we don't perceive any kind of risk so far as our lending is concerned.

Yes, it is not directly sovereign as it used to be in Indian Railways. But the kind of clientele that I mentioned to you, we have lent to an entity, which is promoted by my siblings, CONCOR and RVNL and Government of Orissa. So you can think about their solvency also. So we are cherry picking off the best of the CPSEs

, best of the government state governments where

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balance sheet and their entities are having a very robust kind of cash flow. We believe that within the whole of government approach concept, we have almost zero risk of having any NPA. And that is what is driving us to work within the government ecosystem itself.

Rishi Maheshwari: Right, sir. So sir, my fundamental question to understand that was that given that 6.5% - 7% is the cost of funds, the rates at which you are rolling out will give you a fairly thin spread in terms of going ahead. Now that would obviously mean that you've got to keep your overheads at a very, very stringent numbers.

So it's difficult to expand from that perspective, if at all, you have to unless you want to move into some of the riskier elements. Is the business model continuing in the future, the business model continuing to remain the same way that you will only disburse to such entities, which are quasi-government owners? Therefore, the risk will be extremely low and the idea will be to lower the cost of funds as much as possible?

Manoj Kumar Dubey: So you understand the business model. We started with a margin of 40 bps that we used to have with the railway as a single client. My NIM stood at 1.4% for so many years. The peers that you are talking about, they were working in the arena of 2.5% to 3% of NIM. And of course, they were having risky assets also in the kitty.

The kind of thin margin that you mentioned to us, for us getting a margin of 100 bps or 120 bps is coming out to be 3x of margins that I used to have for donkey number of years. So you may feel that 100 bps margin or 120 bps margin is a small margin compared to the peers. But for us, going for a very quality asset in the government with absolutely zero risk quotient, getting a margin from 40 bps to 120 bps.

We are very pretty happy with the kind of impact it will have a positive impact, it will have on our PAT. I think that will be a great thing for shareholders also when they see their PAT growing steadily without any risk. So the thin margin concept that you are mentioning, we are finding very happy getting a margin of 2x to 3x from what we used to get from the railways. And that is where we are differentiating ourselves as a product compared to other peers and the banks.

Rishi Maheshwari: Fair enough, sir. I completely get your line of thoughts

Manoj Kumar Dubey: Rishi, I'll add one more thing, through you to all the people who are going to read my con call. When we started venturing out outside the railways. Railways we were used to have around 40 bps. And obviously, it is a zero NPA risk kind of thing. None of the government entities have faulted any day, best of the entities including the state government in the last 70 years. But while funding to them, lending to them, we found that every private or public entity were adding premium to their lending with kind of more percentage. So the funding to government

entities also in this country used to be very high. Putting numbers, you are more aware than me. Nobody was getting a loan less than 9% in the ecosystem we found. We are very happy, as you mentioned our cost of capital 6.5% to 7%. We are very happy lending them with a margin of 100 bps to 120 bps as it's a very good margin when you're finding that the risk is nearly zero for these kinds of assets. What we are doing right now and why businesses

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are running and coming to our office without ourselves going and marketing ourselves is the fact that there is a lot of appetite in the capex for the government parlance. 70% of the India's capex is coming from the government parlance. They never had thought that somebody will be lending to them in and around 8% or 8.2% kind of thing. So we are playing

in our turf and our competitors, including the banks are coming to our turf. And in result, we believe that we are doing a good thing for the nation by bringing out quality kind of funding at a very competitive rates to the government sector also. And that is perhaps what is the need of hour .

Rishi Maheshwari: Sure. So then this is largely a volume game where you will be actually based on your growth. Therefore, the absolute number of NIM will keep on growing and risk-free approach that we will more or less see. Sir, you have already spoken about the disbursement but What about next year? How do you perceive the growth for next year?

Manoj Kumar Dubey: The kind of queries and the response we are getting Rishi . In fact, I have to double or triple the size of my BD team because we are yet to go every nook and corner of this country. We are flooded with requests from almost all states of the country. And because they now know that through all of you that we are lending to the railway ecosystem and there's hardly anybody in the government system who are not having any linkage with the railways. So looking forward I think for the next 5 years or so or maybe a decade, we will be really flooded with the kind of businesses. What we need to do is for the confidence of all my shareholders, we need to do the cherry picking for the asset quality within government also. And that is why we are putting a system in place with a very seasoned team with new professionals also. So this mix of team will have a job to see through the government proposals also as we are very, very conscious of maintaining our zero NPA with a philosophy of making 2x to 3x margin of what we used to get from the railways. I think this mixture is going to give a very good result and return for our shareholders because there won't be anything cyclical. I can only perceive with my experience and tell you that next year and year next to that, we'll be having an upward trend in terms of our asset also , in terms of our PAT also.

Rishi Maheshwari: Fair enough, sir. Thank you so much. Wish you great luck. I think with this kind of rigor and discipline, I'm sure the growth will be phenomenal. And the last question, sir, is that in this model, I do not see a risk for dilution in the business because the current equity, the current profit itself will fuel the growth. Am I right?

Manoj Kumar Dubey: You are absolutely right. After paying highest ever dividend, interim dividend of INR 1.05 paisa , we are still pretty happy with our CRAR, our Tier 1 capital. So that is the beauty Rishi that we are having with the grace and best wishes of more than 55 lakh shareholders of this company. That the ingredients that has been given to this management is top class. Based on that ingredients, what this management will deliver is a top-class result to the shareholders without having any kind of risk appetite. And the business is there. I have

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mentioned to you that 70% of the Capex, I mean, this misnomer is there that the growth is being fueled by the private sector. Capex of this country, not only in this year, looking at national infrastructure pipeline for decades and more, the capex has to come from the govt sector and we are the best suited people sitting in IRFC to cater to the requirement of the govt sector for capex and here is the business here is the growth and here is the profit without having any risky affair .

Moderator: Ladies and gentlemen, the management line has been disconnected. Please stay connected while I connect them again.

Manoj Kumar Dubey: I think we have summarized to Rishi, we can go ahead to other.

Parth Jariwala: Sure, sir. Thank you so much. All the best. Thanks.

Moderator: Thank you, sir. Our next question is from the line of Srinivasa Raghu Garimella from Travis Capital. Please go ahead.

Srinivas

a Garimella: Thank you for the opportunity. Continuing on the previous question, most of my questions have been answered, but one risk I foresee is we presently do not pay any MAT on our profits because we have got an exemption in 2020. Do you think that one of the risk where maybe it can come back in the future?

Manoj Kumar Dubey: So let my BD Head answer this question.

Sunil : As of now, around INR 3,000 crores of unabsorbed depreciation is still with me for which I can take benefit in future years. And apart from that, because of our business model, we have a project asset funding of INR 2.5 lakh crores for which a lease agreement yet to be executed. And these assets would get capitalized in coming years and against which I'll have a good amount of depreciation in my P&L in coming years.

So we don't foresee in the next 5 to 7 years, there would be any MAT liability on us. There is a good reasonable assurance for next 5 to 7 years that this liability would not come because of the business model and because of the unabsorbed depreciation level we have as of now.

Srinivasa Garimella: Okay. The second question is because now you have said we are flooded with opportunity. I just want to know with the present framework what we have, is it ever possible that we can grow our loan book by something like 20% or something like that? Is it possible?

Manoj Kumar Dubey: You're talking about AUM or year -to-year loan book growth?

Srinivasa Garimella: Year -to-year loan book growth?

Manoj Kumar Dubey: Obviously. Now you see when I was speaking in the beginning of the quarter , with all queries from TV channels, I came out with numbers, generally we should not come out with number.

We gave a number of INR 60,000 crores asset to be taken by signing agreements and disbursement of INR 30,000 crores that we wanted to disburse.

But going forward, with the kind of requests , as you rightly mentioned, we are actually flooded with the requests. We feel that looking at the prospect of the government as government has Indian Railway Finance Corporation (IRFC)

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come out with the papers about the GDP growth and everything, next 5 to 10 years, I mean, we'll have upward trajectory not only in AUM, but in the PAT also.

So these two numbers which really matter for the investors and the shareholders, this company we perceive and we feel that there is absolute clarity that assets will be growing. I'm not putting a number of CAGR. But I can assure you that the kind of queries we are getting.

And as I mentioned in the last call also that we are the single financier for the Indian Railways, and their appetite is more than INR 2.5 lakh crores every year. Right now, for the last 3 years, they are getting everything from government budgetary support. But in the government, when the budget comes, there are more than 30 ministries who are competing for the budgetary support from the government. Today, railways is getting; tomorrow, they may not get the full thing.

So what we have planned and perceived that the diversified loan book that we are creating, that will be our real cake, real cake because here, the margins and the NIM is 2x to 3x of what I'm getting from the railways. And the cherry on the cake will be the business that will be coming from the railways. The beauty of this cherry is whatever business I get, it is disbursed in the same year. And this is risk -free. So, in RBI parlance also while calculating CRAR, the railways disbursement will have zero risk.

So that will further strengthen my already industry best CRAR and business will be growing. I don't put any number on that of CAGR. But yes, I'm very confident along with the whole team that going forward, every year, our AUM should grow. Every year, every quarter, my PAT should grow. And the growth of PAT, I've already spoken in the morning on the TV channel that we have given

as a target that our PAT annually and quarterly should grow in double digit.

That is what we are striving for.

Moderator: The next question is from the line of Rama Krishna Neti from ZEN Wealth Management Services Limited. Please go ahead

Rama Krishna Neti: Hello Sir. Thank you for the opportunity , I just had a couple of questions. Now that IRFC is starting on the journey to diversify aggressively outside of the railways, I mean, to the sectors linked to the railways, do you have any caps within the non -railway segment like of the total disbursement for the AUM, like what would be the percentage caps that you would have beyond which you would not lend to this segment? When you mentioned state government and also some of the state governments where there are some fiscal health concerns. So if you can just share some light on this.

And the second point is, I'm sorry, I have missed your initial comments. I mean I just wanted to understand the current AUM breakup between railway and non -railway segment. And in the future, where do you intend to keep it?

Rama Krishna Neti: Do you have any internal caps with respect to percentage?

Manoj Kumar Dubey: Got it. So, the sweet spot for this company is there is no cap for any segments. So per se,

theoretically, I can have 100% of my AUM from the railway ecosystem on diversification. Now
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where is the limitation? Limitation comes from the RBI guidelines. Answer to your question specific is, RBI has made a mandate for everybody that 30% of my net worth for a single entity. So today, my net worth is nearly INR 55,000 crores. So you can put 30% number. So one client or one state, I cannot do more than that. So that is a cap from RBI. And for a group of the company, it is 50%. So, if you take NTPC and take all the subsidiaries together, I can fund them up to 50% of my net worth, which should be around typically INR 25,000 plus crores for one entity. I think that is a huge number.

And now that our muscle is growing every year, our net worth is growing every year in terms of more than INR 4,000 crores. So going forward, I don't find any problem. Our debt equity ratio has also cooled down to near to 7. So overall, we are sitting in a very sweet spot that is the thing that we have no exposure to anybody except railways. So next 5 years of time, we are in a very good position that anybody with a good asset is coming to us, we are there to cater to them.

And second thing, as you mentioned, the bifurcation. So right now, you can add total AUM is INR 4.6 lakh crores. Out of that disbursement has started. So slowly, but surely, the target is that in next 5 years, we should have a mix of 75% - 25%. That is 75% should be from the railways and 25% should come from the diversified thing. And let us see how things unfold in coming year.

Moderator: Thank you, Ladies and gentlemen, to ask a question, please press star and 1 on your phone.

Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Manoj Kumar Dubey: So thank you, Parth. This is a pre-Diwali con call that we are conducting. We were extremely busy for, say, last 1 week after closing the quarter 2 with the preparation of results and doing it.

As we discussed with the people who came on the con call, we are all driven by the fact that we are going in the right direction. And future ahead, we'll continue doing the good work that we're doing. And thank you to DAM for organizing this con call. Thank you so much.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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National Stock Exchange of India Limited
Listing department, Exchange Plaza,
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Mumbai - 400 051

Scrip Symbol: IRFC
BSE Limited
Listing Dept / Dept of Corporate Services,
PJ Towers, Dalal Street,
Mumbai -400 001

Sub: Transcript of the Earnings Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, as amended from time to time and other applicable Regulations, please find attached the transcript of earnings conference call held with analysts/investors on Tuesday, 20th January 2026, to discuss Una audited Financial Results for Q 3/FY 25-26 and nine months ended 31st December 2025. Please find below the link of transcript of earnings conference call held with analysts/investors on Tuesday, 20th January 2026.

This is submitted for your information and record.

Thanking You,

For Indian Railway Finance Corporation Limited

(Vijay Babulal Shirode)
Company Secretary & Compliance Officer

Enclosure: As Above

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“Indian Railway Finance Corporation Limited Q3 FY '26 Earnings Conference Call”

January 20, 2026

MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN AND
MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER ,
INDIAN RAILWAY FINANCE CORPORATION LIMITED
MR. RANDHIR SAHAY – DIRECTOR (FINANCE) AND
CHIEF FINANCIAL OFFICER , INDIAN RAILWAY
FINANCE CORPORATION LIMITED
MODERATOR : MR. MANISH AGARWALLA – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Indian Railway Finance Corporation Limited
January 20, 2026

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Moderator : Ladies and gentlemen , good day, and welcome to the Indian Railway Finance Corporation Limited Q3 FY '26 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant s' lines will remain in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Manish Agarwalla from PhillipCapital (India) Private Limited for opening remarks . Thank you, and over to you, Manish .

Manish Agarwalla: Good morning, ladies and gentlemen, and welcome to Q3 FY '26 Earnings Call of IRFC Limited. We have with us Mr. Manoj Kumar Dubey – Chairman and MD & CEO; Mr. Randhir Sahay, Director (Finance) and CFO.

Now I request Mr. Dubey to take us through highlights of Q3 performance and outlook going forward. Post which we will open the floor for Q&A. Over to you, Mr. Dubey.

Manoj Kumar Dubey: Very good morning, Mr. Manish. And good morning to all participants. Very good morning from the team of IRFC. I am accompanied with my Director (Finance) as well as my Principal HOD and HOD is here.

We are very happy to talk to you today, post our Q3 Results yesterday. Numbers must be already with you. As we started this FY three quarters back, it was a new era for IRFC being entering into a diversification mode from single client system that we had for nearly 38 years to multi - client mode in the railway ecosystem. It was a little uncharted territory. We had given ourselves a tall guidance of sanctioning assets up to INR 60,000 crores for the whole year, as well as without having any pipelines, disbursement targets of INR 30,000 crores.

We really worked hard as a team for the first half. And based on those hard work and testing ourselves into the market through open bid procedures, Quarter 3 has really been something where we got the fruits of our hard work. When we ended on 31st of December , the numbers that came out have already surpassed our guidance given for sanction of assets. Our disbursement picked up in Quarter 3 and we have almost done three -fourths of what we set for ourselves for INR 30,000 crores.

As we envisaged in the beginning that whatever assets we will be getting, the margins would be quite better than what we used to get from Indian Railways in the line of 2x to 3x. Precisely the same is happening despite having very steep competitions with lowering of repo rates from the banks also. But our inherent strength of having low overhead cost as well as our positioning in Indian Railway Finance Corporation Limited

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the borrowing market being zero NPA company, garnering cheaper rates are helping us in passing out these benefits to our customers.

The highlights of Q3 were raising our ECB loan for the first time after a break of nearly 3 years. That was a very, very attractive rate. Perhaps best in the market that anybody got in yen currency. We also tested zero coupon bonds and perhaps we are the only company in the country who successfully did it in the calendar year 2025. We got a good rate also.

Overall, the company is well positioned now with very healthy pipeline going forward , living to the expectations and the guidance that we have given that our PAT should grow every quarter. Our NIM should also grow every quarter. Our asset under management should also grow

w every

quarter. These are the three indicators of efficiency and the yield which we are focusing on. Going forward, the revenue of the company also will be looking up from next FY onward as the agreement will be signed within the railways. And the new assets that we are sanctioning, disbursement will speed up and all these will be adding to our top line also.

So, overall, here we are after the end of the three quarters on a very solid ground of our IRFC 2.0 version where we are remaining as the sole financing of arm of Indian Railways, but also, we are catering to the whole railway ecosystem at a very attractive rate. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

Mohit Jain: Sir, just wanted to have your explanation for the amount which is appearing in provision and written off as a line item there. It has increased significantly in the current quarter. What is the reason behind it? Because I guess we still don't have any NPA in our books.

Manoj Kumar Dubey: You must be aware about the RBI guidelines. From 1st October onward, whatever assets that we are entering into agreement, there has to be mandatorily some provisioning to be done. So, it is those provisions which are just simply a provision. It is not NPA. So, this is for everybody now.

Mohit Jain: I am saying, so these are standard asset provisions, basically.

Randhir Sahay: Yes. It is a Standard Asset Provisioning.

Manoj Kumar Dubey: Absolutely. Otherwise, you can add this INR 50 crore into our profit, and you can safely say that our profit is INR 1,850 and nearly 13%, not 10%, year-to-year.

Mohit Jain: Yes, got it. And sir, as regards to AUM, I got the view that this is going to increase on a quarter - on-quarter basis. Any sort of a number or any sort of a growth rate that we can look forward for, let's say, for FY '27 right now?

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Manoj Kumar Dubey: When we started the year, we were really under hard pressed conditions because for the last nearly three years there was no disbursement to the railways, which used to be our single client. Now, you see how quantum jump is taking place in AUM. So, in one quarter itself, we jumped from INR 4.6 lakh crore to INR 4.75 lakh crore.

There are two things. One, our base is very big. So, we are not a small NBFC as Assets Under Management (AUM) is already INR 4.75 lakh crore. There are not many of the NBFCs which are running this balance sheet size. So, yes, what I said that we will be growing positively for the fact that whatever reimbursements will be coming from the railways for the old loans that we have given, we will surely be disbursing more than that.

Now, there are two good things about us. We are not looking for any small ticket kind of business. So, we are strictly into B2B, and our efforts are that we should look for the clients which are having potential of raising around INR 10,000 to INR 15,000 crore from us, and one ticket is not less than INR 5,000 crore. This is the kind of B2B system we are looking forward to.

So, if, say, three or four more assets we garner in the Q4, so you can put the numbers. I mean, disbursement norm typically for a greenfield project, it takes three to four years you disburse everything. So, numbers we won't be putting, but I can tell you one ballpark figure that this company will be hovering AUM around INR 5 lakh crore, which is not a small thing and more & more assets with bigger margins will be added up.

This morni

ng at CNBC and other TVs also I spoke about next 5-year plan, 2030 plan that we have made. In this 2030 plan, we are looking forward to a mix of 60-40, 60 coming from the Indian Railways and 40% of the mix coming from the railway ecosystem, where the margins are nearly 3x of what we get from the railways.

So, better you put a number on our NIM. Better you put a number on our PAT. AUM, I can only tell you that it is going to grow, and it should be somewhere INR 5 lakh plus going ahead. This is what we envision here in the company.

Mohit Jain: And sir, sorry, on the timelines for the INR 5 lakh crores, is it like a 2030 target or in the near future only?

Manoj Kumar Dubey: We have set forth is a 5-year target where we are looking forward to 20 new entities for us, for whom we are doing cherry -picking and appraisal. These 20 entities, we intend to fund around INR 15,000 crore each. So, INR 3 lakh crore, we wish to add through 15 entities only in the next 5 years. So, here we are having AUM at INR 4.75 lakh crore. INR 3 lakh crore we want to add in next 5-year time. Through these 20 clients, it comes out to be nearly INR 8 lakh crore. So, there will be some reimbursement from the railways also. So, that is why I am not putting a specific number. What I answered to you is that we believe that going forward, AUM of this company will be INR 5 lakh crore plus.

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Mohit Jain: And sir, just one clarification on the 40%, the non-railway ecosystem that we are looking forward to. Are we facing any kind of competition because the other players, the PSU players in the space, basically, they are having a slower growth rate right now, and they are trying to become more competitive? So, are we facing any competition out there, sir, in that 40% piece?

Manoj Kumar Dubey: Mohit, we are here for competition. In fact, we are inducing competition. We are strictly not in favor of any across-the-table discussions. We are a government company. In fact, anybody who is coming to us for across-the-table lending also, we are advising them to come out with an open RFP

And yes, the answer to the question is there is a very healthy competition for us for the fact that we are looking only for pristine, best kind of assets. So, the moment you look for those kinds of assets which are A rated, AAA rated, obviously there is competition, but it suits us. It suits us on two counts. One, it endorses our view for zero NPA kind of asset. Two, we were working all the way for 40 bps margin. So, we are getting 100 bps margin, 120 bps margin despite the competitions. So, our NIM is going ahead.

So, the answer to the question on competition is, we are inducing competition in the market, and we are very happy doing it. We are getting good competition with banks also. NBFCs are by and large not very competitive with us because of the fact that our overhead cost is low and our cost of borrowing is also cheaper. But few kind of assets at times banks are really competitive with us, and we are very happy competing with both the kind of entities.

Moderator: Thank You, We take the next question from the line of Amit Agicha from H.G. Hawa & Company . Please go ahead.

Amit Agicha: Thank you for the opportunity and congratulations on the good set of numbers. Sir, what is the expected execution timeline for INR 17,000 crore exposure where IRFC has emerged as L1? And how much of this can realistically flow into FY '27 AUM?

Manoj Kumar Dubey: It is pretty much online. And agreements will be signed very quickly. There is no issue in that. All due diligence is in place. Legal things are being done.

And as I mentioned in the first question, that generally for a greenfield project, normally two to three years, we disburse everything in the agreement.

Amit Agicha: Sir, is there a long-term dividend payout policy that investors can anchor to, especially given the company's stable cash flow and nil credit costs?

Manoj Kumar Dubey: Please say it again.

Amit Agicha: Is there a long-term payout policy?

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Manoj Kumar Dubey: Dividend policy is already in place . So, if you look at our dividends in the last five years we have been very steady in giving our dividends. This year, interim dividend was quite higher than what we paid last FY, and rest be assured if the PAT is growing, so dividends should also grow. This is my understanding, but the final call is taken by the board.

Amit Agicha: Sir, the last question from my side, how does management internally benchmark the company's valuation as a sovereign entity and infrastructure NBFC or a utility-like annuity business?

Manoj Kumar Dubey: So, let us hear from our BD head.

ED (BD) : Currently, we are focusing on the good quality asset, and we are following the whole of the Government of India approach . And in the near future, we are envisaging that we would be funding only to the government entities and the entities which have a strong linkage with the government. Going forward, we will intend to fund only those infra projects which have a backward and forward linkage by following the whole of the Government of India approach.

Amit Agicha: Thank you for the detailed responses, sir. All the best for the future.

Manoj Kumar Dubey: Thanks, Amit.

Moderator: We take the next question from the line of Deep Vakil from Bandhan AMC. Please go ahead.

Deep Vakil: Sir, I have been tracking IRFC since a couple of quarters on con call. So, what I understand is that our cost of funds is the lowest in the industry, which is approximately sub 5%. And earlier, we used to make margin of 40 bps on railway projects, which is now 100 bps points on, I mean, in the diversification plan 2.0 apart from railways.

Earlier , there was no need of credit underwriting or something on those lines because it was, I mean, Indian Railways is sovereign, so there was no risk of default. But considering now we are moving into 60:40 trajectory with around 20-odd new exposures being added of around INR 15,000 crores each in next five years , so I heard that you mentioned all those entities will be linked to GOI backward or forward .

But do we have some benchmark that it will be all AAA rated? I think you gave loan to NTPC. So, still risk of NPA remains nil in this IRFC 2.0 approach as well because the competition is pretty healthy, as you mentioned. But the only benefit what we have is the lowest cost of funds.

So, can you just throw some light why we have that benefit and what is the cost of funds as of, I mean, the recent weighted average cost of borrowing?

Manoj Kumar Dubey: So, you understand the fact that you mentioned in the beginning that whatever low overhead cost that we had earlier, it was all being passed on to Indian Railways as a single client. Now that we are giving loans to the entities who are having many linkages with the railways, of course, this 70 to 80 bps points benefit that we had with lower cost of overhead, that is being Indian Railway Finance Corporation Limited
January 20, 2026

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now divided between the customer as well as ourselves. So, nearly, I believe, 40 to 50 bps is coming out of that low overhead cost to our kitty as profit.
Perhaps you wanted to know about our risk factor

that going ahead with 40% of loans. So, you see, we funded one for DFC, Dedicated Freight Rail Corridor. We funded for NTPC. All our assets are all in public domain. You can see their ratings. Rating, as you mentioned, we are obviously going for all A rated assets. We are cherry -picking even the GENCOs . We are not going for any GENCOs and TRANSCO s who are not rated A generally in the system. So, our cherry -picking in all the ecosystem that we are doing, it is up for to be seen by the investors or the potential investors.

We believe that those government entities which are having very strong balance sheets, strong cash flows, and the kind of new venture that they are going in, there is absolutely negligible chance of NPA , As per the RBI guidelines, even for entity like DFCCIL, where the payments will be coming directly from GOI to us, still provisioning norms are there for capital adequacy as well as for the assets.

But our capital adequacy or CRAR today also is nearly 160% against the norm of required number of nearly 25%. So, we have a lot of legroom still to go for these kind of assets , As you said, provisioning has to be done, and it is being done by everybody in the line of RBI guidelines. So, those provisions are just a provision. They are not any actual cash hit on the balance sheet. So, yes, we are entering into the ecosystem other than railways, but our appraisal team is very, very particular about the fact that what kind of assets we are cherry -picking. And that will remain our mainstay. And we believe that by having this kind of scenario within the whole of government approach, we will be able to maintain our pristine zero NPA system going ahead also.

Deep Vakil: And what is the cost of funds, weighted average cost of funds, as on date?

Manoj Kumar Dubey: Cost of fund is apprx 7%. So, we can't give you the numbers , but if you look at our numbers, we raised our deep discount zero coupon bond at 6.80% for 10-year bullet payment. We raised 5-year bond sometime 6 months back at 6.5%. We raised our ECB loans in the Japanese yen at a very, very attractive rate. And even if we add a 5-year hedging cost on that, it is coming somewhere around 6.2% to 6.3%. So, if you add all together with the repo rate coming down, our RTL also is quite attractive nowadays. So, it keeps varying every year depending upon the mix and the kind of rates that is being offered in the market.

But overall, as you rightly mentioned and you are tracking us, that we are nearly 20 to 30 bps cheaper than anybody in the ecosystem as our peers. And overall cost is always remaining less than 7%. This is what now at times it may be quite attractive even to 6.5% -6.6% level. If you ask me the target, we are looking forward to a borrowing mix which is cheaper than the G-Sec rate. This is what at IRFC we are aiming for. I hope I answered your question.

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Deep Vakil: Yes, sir, last question broadly. It's all floating rate-linked, right? External benchmark or MCLR ? I mean, eventually ...

Manoj Kumar Dubey: Not necessarily. We have got all kind of mix. bond is a fixed rate. So, if you are buying any 5-year, 10-year bond or 15-year bond, rates are fixed. Banks, of course, it is linked to either T-Bill or repo rate, whatever you have. In ECB market, it is linked to the currency fluctuation mainly . And of course, the hedging cost if you are going to hedge.

Deep Vakil: But still, after adding 100 to 120 bps to this, still, our rates are still competitive as compared to competition rate, which is primarily banks.

Manoj Kumar Dubey: So, that is why we are winning the bids. But we ar

e losing few also. It is not that we are winning everything we are bidding. That is the best part. And one of the good things that we take out of participating into RFP, whatever asset we have participated, participations were as large as 7 to even 15 participants from the financial sector. That is a reinforcement of the fact that we are entering into the area where 10 to 15 companies are doing their due diligence, and they are

finding the assets as pristine. So, whether we win the bid or we lose the bid, we are clear about one thing, that the jury is out on that asset, that it is a good quality asset. And that is something which is very, very important for IRFC.

Deep Vakil: Sir, one last thing. As you mentioned that 40% asset will be majorly A-rated, so I just want to understand, is it only A, AA, or AAA -rated, or we have some benchmark that we will cater majorly to AAA?

Manoj Kumar Dubey: Let us not go into those details. The overall thing, as an investor, you can know that we are going for A rated. Rest, board has its own powers. They look at every asset in a different manner. And finally, everything is sanctioned by the board. And board of IRFC is very, very particular about ensuring that the asset quality should be very good.

Moderator: We take the next question from the line of Vikas from Focus Capital. Please go ahead.

Vikas: Hearty congratulations to you on this fantastic performance last quarter. Sir, just one question in your answer to the previous participant, you said we don't win all the bids. Some of the bids, we don't win. So, what is the reason for us to not win, given that we would be among the lowest - priced competitors?

Randhir Sahay: It is a competitive bid. Every company gives their bid, and we also gave our bid, which is the best suited to us. So, in the market, you do not know which company will give what rate. So, it is just a healthy competition, nothing else.

Manoj Kumar Dubey: So, to add to my Director (Finance), banks today with deep cutting repo rates for a few of the assets where they don't have exposures, at times, one of the banks gets very aggressive in quoting. So, that's fair enough. So, that is why we are very open to talk about it, that it is not Indian Railway Finance Corporation Limited

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that every bid, despite having this strength of low overhead cost and low cost of earning, it is not that every bid we are winning. And that is very good about it. There are more than 10 banks that are participating. So, one of the banks at one time, they become very aggressive for one of the assets, and they are winning it. But yes, our strike rate is more than 60% in whatever bids we have participated.

Vikas: And one request, sir. If you could just earlier, we used to have, share the investor presentation. If you could just share the same thing and also give us a sense of how your liability mix is and some of the questions that the earlier participants also asked, like cost of borrowing, some of the, what do you say, your liability mix and so on. It would be very helpful, sir.

Manoj Kumar Dubey: Noted.

Moderator: We take the next question from the line of Gaurav Bansal from PVC Consultancy. Please go ahead.

Gaurav Bansal: My question is that there has been a dip in NIM and a substantial increase in the lease income. Any particular reason for that?

Manoj Kumar Dubey: Did you find dip in NIM vis-à-vis last quarter or general corresponding year to year?

Gaurav Bansal: Yes, quarter -to-quarter, .

Manoj Kumar Dubey: No This disbursement of a larger amount took place right at the fag-end of Q3. But if you compare with last year, NIM of Q3, that was 1.4, and we have landed at

1.51. So, just here and

there in a quarter -to-quarter, you may not have the right comparison. But going forward, last year in total FY, we clocked around 1.4, but this year we will be clocking more than 1.5. So, that dip is mainly because of the fact that disbursement took place only in the fag-end of Q3.

Gaurav Bansal: I get it. And how about the quantum jump in the lease income? Quarter -to-quarter again.

Manoj Kumar Dubey: Quantum jump in lease income?

Gaurav Bansal: Yes. So, there is a jump here in the lease income.

Manoj Kumar Dubey: Let us hear from our accounts head. He will be talking about it.

SGM (IV) : Yes. Basically, the lease income operates based on the lease agreement what we entered with the Ministry of Railways. So, in last year, we didn't execute any lease agreement with the Ministry of Railways. So, it got deferred. So, in the current year, we are going to execute the lease agreement what was due last year as well as in the current year. So, the impact of those lease income will accrue in the future periods. That is why there is a minor dip in the lease income in the current period as compared to the previous period.

Indian Railway Finance Corporation Limited

January 20, 2026

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Gaurav Bansal: And is there any plans for any buyback? I mean, looking at the share price dipping, and is the company planning to buy back to shore up the prices?

Manoj Kumar Dubey: We are the Government company. We don't decide for buyback or selling of the shares. It is the domain of Department of Ministry of Finance, DIPAM. So, they are the real owners sitting on 86% of shares. If they take a call, they will be telling the market about that.

Gaurav Bansal: I get it.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to the management for their closing comments.

Manoj Kumar Dubey: Thank you, Manish. We had a good results in Quarter 3, and we believe that going forward also, the stellar show in terms of the numbers will continue. And we are sitting in a pretty good condition now, having a good pipeline with us. Yield also is looking up. So, going forward, the diversification plans that we have launched in the beginning of the FY, now is the time to consolidate on that. And going forward, we believe that all the kind of guidance s that we have given , we will continue to achieve those things. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your line.

Call: May 2026

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INDIAN RAILWAY FINANCE CORPORATION LTD.

(A Government of India Enterprise) (CIN: L65910DL1986G01026363)

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No: IRFC/SE/2026-27/14 21st May 2026

National Stock Exchange of India Limited BSE Limited

Listing department, Exchange Plaza, Listing Dept / Dept of Corporate Services,

Bandra-Kurla Complex, Bandra (E) P J Towers, Dalal Street,

Mumbai-400 051 Mumbai -400 001

Scrip Symbol: IRFC Scrip Code: 543257

Sub: Transcript of the Earnings Conference Call

Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements)

Regulations, 2015, as amended from time to time and other applicable Regulations, please find

attached the transcript of earnings conference call held with analysts/investors on Friday, 15th May

2026, to discuss Audited Financial Results for Q4/FY 25-26 and Year ended 31st March 2026. Please

find below the link of transcript of earnings conference call held with analysts/investors on Friday,

15th May 2026.

[https://irfc.co.in/sites/default/files/inline-](https://irfc.co.in/sites/default/files/inline-files/Investor%20call%20Transcript%2015th%20May%202026.Ddf)

[files/Investor%20call%20Transcript%2015th%20May%202026.Ddf](https://irfc.co.in/sites/default/files/inline-files/Investor%20call%20Transcript%2015th%20May%202026.Ddf)

This is submitted for your information and record.

Thanking You,

For Indian Railway Finance Corporation Limited

(Vijay Babulal Shirode)

Company Secretary & Compliance Officer

Enclosure: As Above

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"Indian Railway Finance Corporation Limited (IRFC)

Q4 & FY25-26 Earnings Conference Call"

May 15, 2026

MANAGEMENT : MR. MANOJ KUMAR DUBEY – CHAIRMAN AND
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER

MR. RANDHIR SAHAY – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER

MODERATOR : MR. MANISH AGARWALLA – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

Indian Railway Finance Corporation (IRFC)

May 15, 2026

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Railway Finance Corporation

Limited Q4 and FY26 Earnings Call hosted by PhillipCapital India Private Limited. As a

reminder, all participant lines will be in the listen -only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded .

I now hand the conference over to Mr. Manish Agarwalla from PhillipCapital India Private

Limited. Please go ahead.

Manish Agarwalla : Yes. Good morning, and welcome to Q4 and Full Year FY25-26 Earnings Call of Indian Railway

Finance Corporation Limited . We have with us. Manoj Kumar Dubey, Chairman and MD and CEO accompanied by Shri Randhir Sahay, Director Finance and CFO; and other senior management from the team. Now I request Mr. Dubey to share his thoughts on the quarter and financial year gone by and provide us with an outlook going forward. Over to you, sir.

Manoj Kumar Dubey : Good morning, Manish, and good morning to everyone who is joining the con call. Good morning from the whole team of IRFC. It's a very auspicious and happy day for us. We started on our new journey of diversification on 1st April , 2025 , which we typically call IRFC 2.0 . We had been conferred Navratna status. And at the same time, we had promised to the investors and our shareholders that we are embarking on a new journey of diversification, which is going to take company on a different trajectory of growth. Every quarter, we promised something and delivered , and I'm very happy to share today that we closed our financial year with strong numbers which are published and with all of you. .

I'm very happy to share that we promised with a guidance that would be sanctioning more than INR60,000 crores of assets, and we'll be disbursing nearly INR30,000 crores over the year. So when we started FY26, there was zero pipeline. The challenge of the team of IRFC was to create a pipeline as well as disburse it. So typically, against what we gave the guidance of INR60,000 crores, we crossed the mark or we reached the mark of nearly INR74,000 crores for the year in terms of sanction of assets. And against the guidance of INR30,000 crores for disbursement, we could do around INR35,000 crores.

That is heartening that as a management, what we spoke, what we promised, what we gave as a guidance, we could surpass that. Now when we are embarking on next FY of this new Journey 2.0, we are obviously a little relaxed in a manner that we are confident that what we propose to do for the growth of the company, we are more confident to it.

We are not relaxed for the fact that growth will come on its own . We have to work for that. Numbers, as you see, overall number for the year , all the parameters have shown its highest in the history of the company, be it the revenue, it is highest for the company in all the years together. PAT, again, it is highest. We have crossed the magic figure of PAT of INR7,000 crores this year. Our net worth is consistently growing from INR52,000 -odd crores, now it is INR56,000 -odd crores plus.

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The biggest indicator is the net interest margin. And we feel that we are at the sweet spot for the fact that all these years, we worked on a flat NIM because the margins from Indian Railways was fixed. This is the first year for IRFC when it tasted the success of getting higher margins despite chasing the best quality assets through RFPs and competition.

Despite the fact that we competed and won the bids, my margins are quite higher than what we used to get from the Railways. And that is having a ver

y positive impact on my NIM. Going forward, to summarize all the indicators, that is top line, bottom line, net worth, my net interest margin, my EPS, we have given a target to ourselves that in the FY27 and going forward, we should grow in double digit. In fact, that was a target that we gave to us for the profit last year. And end of the year, we ended up around 8%. Quarter 4 was a little flat or subdued from the fact that there were some provisions to be made because for the railway asset, there was no requirement of provisioning because it was sovereign asset.

But when we are funding to even CPSEs or the state government in the ecosystem in whole of government approach , still as per RBI guidelines, provisions are to be made. There are more expenditure in CSR in the last quarter. It happens typically. So taken all together, Q4 PAT is flat, but revenue has shown the green shoots and a very high uptake of 9%, which is matching to our aspirations . Going forward our top line also in FY27 should grow handsomely, maybe touching more than 10% also, and this will start showing right from Q1.

On these notes, we are not putting any numbers as a guidance for FY27. What we have decided that whatever we achieved last year, which was around INR75,000 crores of sanction on assets and nearly INR35,000 crores of disbursement, that should be the benchmark going ahead. And management is very confident that going ahead, there has to be things going positive on these lines. We'll be surpassing these numbers in this current year also. Quarter -after-quarter, it will unfold how the story is going to pick up the strength.

The last comment is on assets under management, which is the key indicator for the kind of business -- sustained business that our company is doing. You see for the last 3 years, the assets under management for the company was flattish , hovering around INR4.6 lakh crores. This year, as you see on a net basis, when I talk net basis, then it takes care of all the repayment that came from the Indian Railways towards the older loans. On net basis, on the end of the year, the assets under management has grown to INR4.85 lakh crores.

So going forward, we expect that in the year FY27, the magic figure of INR5 lakh crores for

AUM, we should touch sometime in H1, maybe early to that, let us see. Overall, despite the geopolitical situation prevailing all over the world, we feel that the capex story of India is fully intact. The dreams of Honorable Prime Minister for Viksit Bharat is right in the place. And complementing that next 5 to 10 years perspective for Indian Railway Finance Corporation Ltd when we are targeting whole of government approach for capex financing, we are on the right track, and we'll be having consistent growth. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nilesh Jethani from BOI Mutual Funds.

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Nilesh Jethani : First of all, congratulations to the team, IRFC , for a great set of numbers. My first question was on the sanction numbers at the end of FY26. What is that? And going ahead, what does the pipeline look like for the sanctioned numbers? And second question, a follow -up to that is on the current sanction numbers, what can be the expected disbursements in your prima facie expectations for FY27?

Manoj Kumar Dubey : Thank you, Nilesh. So as the number goes, we started with zero pipeline or, say, a very small pipeline of INR3,500 crores when we did only one deal before the FY started. This year, we sanctioned nearly INR74,000 crores of assets in FY26. Our disbursement stands at nearly INR35,000 crores. It has a few marquee deals of refinances.

One very important deal that we did with the Dedicated Freight Rail Corridor that is our sibling company, where we refinanced a loan of Worl

d Bank of nearly INR10,000 crores. Second

marquee deal was with a joint venture project promoted by our Maharatna siblings NTPC, IOCL and Coal India, that is Hindustan Urvarak & Rasayan Limited that we did in Q4. That was more than INR12,000 crore s refinancing deal that we did.

Apart from that, we did a few deals in GenCo side . NTPC also we did and with their subsidiaries directly on the NTPC balance sheet also. Taking all together, we crossed the mark of INR35,000 crore s disbursement. Going ahead, this year, as I said in my opening remarks, as we have tasted the success of diversification, apart from the railway business, if any, which is coming from them, we expect that in the FY27, our sanctions should be more than INR75,000 crores.

Now, how high it goes, we'll review every quarter. But we are sure that we'll be crossing that mark of INR75,000 crores that we did in a very first year of diversification. Similarly, on disbursement front, last year was a tight year for the fact that there was no pipeline. Now that we have a pipeline and we are expecting good business starting from Q1. We believe that the mark of INR35,000 crores will be again breached.

The important and interesting thing that I keep on telling every quarter is that for this company, which was doing business only with single client Indian Railways where margins were fixed.

Those margins used to be 35 bps for projects and 40 bps for rolling stocks. Now, when we are competing and doing business for the very, very attractive and good quality assets in government system itself, we are able to garner a margin of more than 100 bps.

So what will happen that this INR35,000 crore s odd that we are doing business, it is akin to nearly INR1 lakh crore s that we used to do with Indian Railways in terms of yield. That is a sweet spot for IRFC. And going forward, as you see, all our financial parlance, everybody's NIM is under pressure. While IRFC NIM quarter after quarter e showing better NIM due to low overheads and Nil NPA ..

Nilesh Jethani : Got it, sir. That was very helpful. Second question was on this incremental NIM. So while you rightly pointed out that the NIMs are way higher in the new business, what we are doing erstwhile Railway specific business. Just wanted to understand over here , today if we are giving x rate to the prospective or the potential borrower, typically, what rates are we undercutting, what yield was being offered by someone else? And what are we offering on the yields per se?

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Manoj Kumar Dubey : You see in the market, we have all kind of assets. There are risky assets where you can charge more. There are pristine assets as typically you say A class assets when the assets are rated.

Obviously, when it is rated, when it is promoted by Maharatna with very strong balance sheet, if an asset is renewable asset. So every class of assets is attracting a different kind of competition. We are always looking for the best class of assets because we are one of the rare companies not only in India, but in the world for the size of the balance sheet of more than INR5 lakh crores, we are zero NPA company. And typically, every forum, I say that zero NPA is not a status symbol for this company but it is a business proposition.

Why it is a business proposition? Because of zero NPA, I'm attracting cheaper borrowing from the market than my peers, which helps me in offering better rates. And for the fact that it attracts my investors also because everybody likes to have a company in their kitty who are having the best class assets. So we are not participating into high -risk, high -reward assets. We are participating into assets which are highly rated A, A+, AA, AAA also. So that is what I mentioned to you.

Typically here, the margins are in tune of 100 bps to 120 bps, not more than that. And in this bracket

, we are competing well. We are competing not only with NBFCs, we are competing with all the banks also. So typically, for these class of assets, nowadays, banks are also coming for as a long tenure of 10 years. So yes, it's a crowded place. But the happy thing is that despite being the crowded place for the best class assets, IRFC is winning more than 60% of the bids. So going forward, our margins, we are looking for the margin in tune of 100 bps to 120 bps typically on an average.

Nilesh Jethani : Got it, sir. And one last question from my side. So basically, the assumption is very rightly mentioned that 100 to 150 bps of differential margins are there. But the erstwhile business of railways, we got certain benefits of tax, etc, also. So not going into detail about how the ROA tree would look like for the new business and the old business. But adjusting for the tax benefits and the provisioning requirement, what will be ROA? .

At ROA level, say, today at company level, what I can see from presentation, we are at approximately 1.39%, where I believe INR35,000 crores is from the new business and the balance INR430,000 crores or INR450,000 crores from the erstwhile business. But just a broad difference in the ROA profile of the new lending versus the erstwhile lending. Any differential, if you can help me on the ROA, that would be very helpful.

Manoj Kumar Dubey: So I'll tell you the general thing. You rightly said so. So today, say, my total AUM is INR4.85 lakh crore and out of this the new business is typically INR35,000 crores. The percentage comes out to be nearly 5%. We have given targets to ourselves which we've talked about this company and feels that going forward, our asset quality should be 60% -40%. So 60% would typically be from the Indian Railways, which is cost-plus model .

And 40% we are looking forward to earning from the diversified field. So when you take two together, you will put the numbers. I mean, at 5%, we stand at 1.39%. This has come out from 1.34%. Going forward, as I said, you will be seeing a consistent improvement in ROA. Now Indian Railway Finance Corporation (IRFC)

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where would it land, that is a calculation that you can do. It's very simple to do based on our 5% of diversified portfolio. If we are at 30%, you can reach to a conclusion what is going to be the ROA going forward, say, in next 2 to 3 years.

Nilesh Jethani : Okay. But any sense on what kind of ROA I understand because this mix would include a lot of calculation which on the tax benefit once is getting and provision requirements are slightly lower ?

Manoj Kumar Dubey: Nilesh, on tax, we have enough depreciation kind of thing in our kitty. So this company will remain tax-free with the kind of already accumulated depreciation that we have for next 5 to 7 years. And rest be assured, company will be getting more and more leasing business for rolling stocks in the future, not only within Indian Railways, we are going to do it for metros also for rapid rail also.

So we are very comfortable that for quite a longer period right now, it is quite visible that this company's PBT and PAT will be same. And we'll be getting the benefit of the tax that we are getting out of depreciation. So there is no concern right now for next 5 to 7 years on that account.

Nilesh Jethani : So if I just do the rough calculation where if NIMs when margins are 100 bps, so the 2.25% to 2.5% is the NIM and typically, operating costs are 0.25%. So NIM runs to 2.25% where provisioning, assuming standard asset is 0.4% and under construction is 1%. So again, provisioning number of 0.5%. So since no tax required for next 5, 4 years, so ROA would be 2% for the new business. Is it right to assume?

Manoj Kumar Dubey: I'm happy to hear from you. So this is how you will help me out. So your numbers I'm putting on the paper, and I'll be validating it and coming back to you

in next quarter. So precisely, this

is a benefit that management gets by interaction with you people in the conference call. Your numbers must be perfectly fine because you are good at it. So I'm not doubting your numbers. I think you are doing the right calculations.

But this is not coming from our side because this is you who have to do the calculation. I can give you the indicators. And you have taken all the indicators in the right manner that I can assure you.

Moderator: The next question is from the line of Mohit Jain from Tara Capital Partners.

Mohit Jain : Sir, a couple of things. First on the sanction disbursement that you make to this fertilizer plant.

Our MoA is to disburse it to the railways and any other company which are in the same ecosystem. So this disbursement into fertilizer sector, how is it correlated to our core sector, sir?

Just trying to understand this?

Manoj Kumar Dubey : Yes, Mohit. So you must be knowing or if you're not knowing, let me reiterate. Our mandate says that anything having a backward or forward linkage with the railways, we can fund, meaning that by any entity which is bringing in business to Indian railways, we can fund. So typically, the high production fertilizer companies, they 're all linked to the railways.

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There is railway siding there and all evacuation of fertilizers are taking place through the railways, Raw material for that fertilizer companies like ammonium nitrate is handled by the railways itself. So they all are having railway sidings within their campus and all evacuation of the finished good and the raw material going to their factory through the railways. So they are coming under the ambit of backward and forward linkages with the railways, and that is how we are funding them.

And that is Mohit the sweet spot for IRFC because the moment you talk about backward or forward linkages, there is hardly anything left in infrastructure, which is not having a backward or forward linkage with the railways.

Mohit Jain : Got it. So basically, any entity which is having linkages become sort of our target customer?

Manoj Kumar Dubey : Correct. Absolutely. And that is how we did funding to 2 of the mega fertilizer companies of the country, one which is already under production that you mentioned, HURL, which is promoted by our Maharatna giants like NTPC and IOCL. And the other one also we have funded in Talcher, which is under construction.

That also is promoted by another Maharatna giants like GAIL and Coal India and Rashtriya Chemicals, which is Navratna. So yes, any evacuation of fertilizer will take place by the railways and any raw material going to them is also through the railways. So they are very valued customers, and we are very happy to align with them and fund them at a very attractive rates.

Mohit Jain : Got it. Sir, the second thing is regarding that mix, we are targeting to have a 60 -40 mix going forward in 3, 4 years. 60% is going to be railway and 40% is going to be non -railway, which is at 5% right now. Sir, in that situation, even if I'm assuming a 5 % AUM growth, we will be needing almost like INR 1 lakh crores of disbursement every year so that we have a mix of 60 - 40 by let's say, 3, 4 years. How do we look at this number, sir? Is it possible to have such a high disbursement in the non -railway sector?

Manoj Kumar Dubey : No, no. You are missing a point. So every year, there is a repayment of around INR20,000 -plus crores from the railways. So we have to consider this when I'm saying that I'll be maintaining my AUM or growing it. So yes, INR 40,000 crores is the base that I've talked about. Let us see how it grows.

Yes company aspires to have a kind of 30% to 40% mix from the non -railway business. And you see in the first year, wherever we participated without the pipeline, we were able to disburse

INR35,000 crores.

Now with the kind of rates that we are offering and because of our low borrowing cost, r zero NPA status as well as because of very low overhead cost, we are able to fund at a very attractive rate to high -quality assets.

Today, I'm not required to market myself. The business is coming to me. And we are encouraging good quality assets to go for RFP. And we are participating to RFP. And the sweet spot is that I'm giving you a typical example. There is already a RFP in public domain. NTPC and UP government is coming out for as big a tender as INR28,000 crores to INR29,000 crores.

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Now we are also participating. It will be a very cut throat competition because it's a very good asset. But potential for IRFC to grab nearly INR 16,000 crores because that is our limit. We do not have any exposure to many entities because we earlier did only with the Indian railways. So for the fact that our net worth is quite high, it is as high as INR 56,000 crores. So as per RBI guidelines, we can pick up around INR16,000 crores to INR17,000 crores of asset in one go. If it is a very good asset and we feel like. So these kinds of businesses are on the plate. So going forward, it's not that we said that we'll be 40% in 3 years' time, but yes we aspire to.

And since we did very good business in the very first year, we feel that the kind of capex

requirement is there in the government parlance all over the country going forward because NIP, you must have heard about national infrastructure pipeline. So the INR20 lakh crores is a projection on more than that for every year to be consumed by the government entities and the private entities.

So business is there in the plan. We feel that we will get a good share. And yes, going forward in 3 years or 4 years or 5 years, obviously, when we are doing more and more of diversified business, then the ratio will be somewhere nearly 40% to 60%. This is what we are trying to tell the market.

Mohit Jain : And sir the repayment rate INR10,000 crores per year or INR20,000 crores per year from the existing railway contract?

Manoj Kumar Dubey: No. It varies every year, but the repayment going forward will be around INR 20,000 crores now.

Mohit Jain : INR20,000 crores. So in that case, how should we look at the AUM growth number? What should we expect as the AUM growth for the next couple of years?

Manoj Kumar Dubey : So we have given as the target that let us cross INR 5 lakh crores mark in FY 27 and maintain it steady. We are not putting any numbers on that. But one thing we are assuring that once we cross INR5 lakh crores mark, you won't find any dent in that. It will be growing. How much it will be growing, that is a different issue.

But the better thing is that we will be replacing the lower -margin business of Indian Railways with the higher -margin business of diversification. So even apple -to-apple, if I say, replacing INR30,000 crores from the old business and adding INR30,000 crores from the new business, my NIM will be at least having 2x more than what I used to get from the old business.

So in that case, even if my AUM remains steady somewhere more than INR5 lakh crores and I'm replacing low -margin business by high -margin business, my NIM will be growing, my PAT will be growing, my EPS will be growing. That is a clear message that we want to give to our investors.

Mohit Jain : Got it, sir. What is the NIM differential between two businesses, just to reconfirm, is it like 100 basis points between the new and the old one?

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Manoj Kumar Dubey : Yes. So 40 bps we used to get from the railways, but what we expect from the new business is nearly somewhere between 100 to 120 bps. And as you see, what we have already delivered, we have delivered

from average NIM of 1.42% to 1.50% for this FY, which is nearly 6% up. So next year we want to see better margins because we will be getting benefit of what we have added in last year and what we'll add this year. So we are giving us a target that my NIM for FY27 should grow minimum 10%.

Mohit Jain : In the sense like from 1.5%, we should be expect it to rise to rightfully for 1.6%?

Manoj Kumar Dubey : 1.65% end of the year on my total assets.

Mohit Jain : Got it, sir. And sir, any guidance you would like to give for the AUM growth. I know you said INR5 lakh crores for AUM, but that is only 3% that sounds to be too conservative?

Manoj Kumar Dubey : Mohit I have given very tough guidance for you, which is very tough on my team. When I say that we wish to grow our top line by double digit. We wish to grow our bottom line by double digit. We wish to grow our EPS by double digit. We wish to grow our NIM by double digit. I mean you take all four together, you can see without growth in AUM, all these things are not possible.

Mohit Jain : Got it. And sir, just to clarify one thing ?

Manoj Kumar Dubey : For my team, I always keep the target very simple. So once you put this number that you should grow every indicator by 10%, they know they have to do the calculation how much AUM should grow.

Mohit Jain : Got it and just one clarification on previous participant's question, for the tax you are not paying for next 5, 6 years because of the accumulated depreciation we are having, it will be a tax free indices even for the non -railway business ?

Manoj Kumar Dubey : Yes. Till the time we are again getting lease financing. So if we get again the lease financing of the rolling assets, accrual will start again. But as of now, whatever we have in the kitty, that is sufficient for next 5 years.

Mohit Jain: Got it, sir. Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil: Good morning to the team. Beyond the numbers which you have given in very much detail, I just want to understand your perspective on how IRFC is preparing to capture future opportunities in railway infrastructure financing through addressing challenges such as rising capital requirements, interest rate volatility and the regulatory oversight. What strategic levers do you see most important for sustaining growth and supporting the company in the coming

quarters? That's my first question. I'll ask the second question after this. Thank you.

Manoj Kumar Dubey : So you are asking a very complex question, but let my Business Development Head answer this question.

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ED (BD) : As our CMD sir has told, you must see our previous progress. In last 1.5 years, we have covered our major milestones. And in last 1 year, we have sanctioned more than INR74,000 crores.

Earlier, we didn't have that the pipeline. But now as our leader has told that we are confident and we are getting good inquiries from the entire ecosystem.

And going forward, there would be a good capital investment in many sectors, like there would be a good investment in the power sector. There are many capacities are coming up in the thermal sector. There would be a good amount of investment in the railway sector as well as we are also hearing in the news that there would be a new corridor s that would require INR2.5 lakh crores. There would be 7 high -speed rail corridors. They would require another INR16 lakh crore s kind of investment. There would be a good amount of investment in coming years in renewable sector, in road sectors. There would be a good investment in the port sector. So we are confident that there is a good amount of inquiries we are getting. And we are very hopeful that we will surpass this target at the end of FY27.

Having said

that, regarding the regulatory oversight because as of now, my net worth stands at INR56,000 crores, and we have just disbursed around INR35,000 crores and sanctions only INR75,000 crores across various sectors, across various entities, my entire exposure norms is open. So that gives me a good cushion that I may have a good exposure in coming years over the pristine asset. So that would give me a good comfort.

And pricing, we will be aligned with the market. Yes, there is a hardening in the interest rate in the market, but ecosystem is taking note this. And based on that, we also revise our lending rate based on the market so that we will remain competitive and we should be getting the adequate margin to support our top line and bottom line.

Sucrit D Patil: Thank you, thank you. My final question, again, a forward -looking one. Looking ahead, how do you see IRFC funding strategy evolving to meet the growing needs of railways? What measures are being taken to strengthen liquidity, diversify funding sources and align capital structure with long-term expansion plan? Thank you.

Manoj Kumar Dubey : So Sucrit, yes, we remain the sole financing arm for Ministry of Railways and Indian Railways.

Having said so, if there is any requirement of extra budgetary resources over and above what Indian Railways are getting from budgetary support, IRFC will be the first financing arm where they will come.

Now we all know that the kind of expansion that Indian Railways is having. Capex requirement that is now hovering around INR2.6 lakh crores for them for the last 3 years, this is going to continue for 5 to 10 years. So if there is any redistribution going forward from this FY or next FY in the budget for social sector and there is pressure not to meet all the requirements of Indian Railways or Ministry of Railways through GBS, we will obviously be there.

Second thing, on my ED-BD mentioned to you, if you recall, last time when dedicated freight corridor come up, the funding came from bilaterals and multilaterals. One was funded by JICA, the other was funded by World Bank. Similarly, high -speed rail corridor, the one that is already being commissioned, it is funded by JICA.

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Now there are 7 high -speed rail corridors that has been announced, and there is one dedicated rail corridor in the railway ecosystem from Dankuni to Surat has been announced. Total requirement is huge. IRFC prior to last FY had never ventured out to any of the customers even with siblings in the railway ecosystem.

Now that we have already refinanced one of the World Bank loans from dedicated rail corridor for more than INR10,000 crores. Going forward, the requirement for greenfield lines in high -speed as well as DFC is our first business. We will be having our first right on them. Now how it will be model, it is to be seen. Discussions are already on.

But rest be assured that in the huge funding requirement that these 2 things in the railway ecosystem is going to take place, majority of funding has to come through IRFC. And we are gearing for that. We are planning for that. The moment things will go on, you will be hearing how we are going to fund them.

Second, Yes, there are many SPVs are also coming. Earlier, we never used to fund them. We

have now started funding them also because their business model is dependent upon railways and it is vetted by Ministry of Railways. So we have got good comfort and cushion to take care of them also.

Getting together, as you're rightly indicating to us, there is huge business opportunity in the railway ecosystem itself, but we are not limiting ourselves to them. The allied business coming from ports as my ED -BD mentioned that from the port, metro railway, you will be hearing very soon, maybe in the quarter itself that we are going in a very big way to take them also on our wings

, and we'll be one of the biggest players.

In fact, the lone domestic player per se, apart from the multilaterals who will be arranging funds for metro railways, which is a very, very big business entity in the country for the fact that almost every state is aspiring to have metro railways. We are already in talk with one of the states for their funding.

So overall, yes, in the total infrastructure scenario, having Indian Railways or railway at the center, there is huge business on the platform and there is enough requirement for IRFC to ensure that liquidity remains there. We are having very good standing in overseas market also. In fact, you may be aware that we did back-to-back two ECB loans of \$300 million worth of yen. Then we did successfully for \$400 million worth of yen.

Already, we have opened one bid of \$1.1 billion worth of yen. So that speaks volumes about appetite as well as the preference of the foreign bankers to lend to India because they believe in growth story that India is unfolding. In fact, we had a very extensive road shows also. You may be aware if you're following us. A big team from our side went to Japan, a team went to Singapore, a team went to Taiwan and Hong Kong.

We have already sensitized all the foreign banks, typically more on yen side that there is a huge requirement of consumption of ECB loans, maybe yen as a priority right now because right now, dollar is not a very preferred currency. But going forward, we're looking for the bond market once the SOFR rate and things go a little slower, we will be looking for that also.

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ECB contribution, we are looking forward to 30% to 35% in total kitty. We are focusing heavily on the infrastructure dependent long-term capital gain bonds that government have launched 54EC. Earlier, we used to be very casual about that, but now we are focusing on it.

My market share has gone up to 28% last year. This year, this will go up more. It is coming at a very cheap rate of 5.25%. We were the first company last year who successfully did zero coupon bond. It's a bullet payment after 10 years. And HNI showed confidence in IRFC and it was mopped at a very attractive rate.

Going forward, we'll be mopping up that also. Yes, domestic bond rates right now is hard. It is hard for everybody, not only for us. But at the same time, RTL still is available at cheaper rate, having a very moderate repo rate. So, all together, last year also, we strive to have our total borrowing cost less than G-Sec rate, and that is the target this year also. And that is where the sweet spot lies for IRFC.

And as I mentioned every time that zero NPA status is helping us in attracting good lenders to us, and it is a business proposition, and we believe that cherry picking the good quality of assets will remain so despite the fact that we are hovering out of Indian Railways and going to the whole of government approach.

But zero NPA will remain there, and we feel that we continue to garner best of the borrowing rates in domestic as well as ECB market. I think that comprehensive answer gives you the confidence that even INR1 lakh crore disbursement is required from our side consistently every year. We have done in the past, and we are competing to do in the future also.

Moderator: The next question is from the line of Naman Kumar an Individual Investor.

Naman Kumar: Quick question with regard to the results. So, if you see the PAT from Q3 to Q4 because IRFC did a business where AUM grows each quarter. So, if you see last quarter, December '25, PAT was around INR1,800 crores while this quarter Q4 it's INR1,684 crores, so a drop of around INR100 crores and plus if you see include the other comprehensive income it has declined from INR1,800 crores to mostly INR1,500 crores approx. So in PAT there is a reduction of INR 100 crores and in OCI

there is an impact of INR 200 crores. So can you please explain that report is causing that?

Manoj Kumar Dubey : So Naman, not much to worry. There are a few issues which were new to us for the fact that, earlier we never had the chance to do provisions because for lending to Indian Railways, it was all zero provisioning. But as per RBI norms, when we fund even to the CPSE or State Government, the provisioning, we need to make. Are there other issues? Let my accounts head.

Mr. Ajay answer your questions and your concerns.

Ajay : Yes. If you just look total revenue portion, there is a decline in the other income also. We got a refund of income tax, and there was some interest portion in that in the quarter , Q3. Whereas in this quarter, there's no such item. And on the other side, there are some other expenses like CSR expense, for which we have made some additional provision in the current quarter. And regarding the OCI, this is whatever is there in the mark -to-market. We have, some of our borrowings in the foreign currency, which are on our balance sheet, those all things are hedged

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actually. And whatever movement in the market of those currencies we need to make a provision for that through OCI. So this is regarding the total comprehensive income.

Naman Kumar: Yes, sure. And then with OCI, I believe for the exposure to Indian Railways, at least all the fair value on foreign currency borrowing or cost of hedging should be passed on to the Indian Railways.

Manoj Kumar Dubey : Absolutely. You have right understanding.

Naman Kumar: So why is it coming in the financials? Will it be recovered in next quarter? Like will we see a reversal in next quarter? Or how will it go? Because currently, it seems like it's impacting the IRFC financial.

Ajay : whatever is there for the ministries that is part in the ministries account actually. Whatever is there in OCI, it is only our portion and there are some other items like for the staff benefit cost that would be coming and then we have made an investment with the Ircon . So there is a movement of that investment also. So that is also coming in that OCI portion .

Naman Kumar: The majority of the portion is fair value change in foreign currency borrowing as per the Q4 results. So that's where I'm trying to understand, will it be passed to Indian Railways next quarter? Or maybe it is just because of exposure to non -railway s financing, which we have done? In that case, we won't be passing.

ED (BD) we have 2 kinds of ECB exposure. One we do for the MOR business. And other whatever lending we have done so far , other than the conventional non -MOR business, that rest in my balance sheet. And for that, we have taken the full hedge. And these are the MTM valuation for that. And based on the Ind AS 109, we have accounted on the basis of cash flow hedge.

And whenever these exchange will flow to me on actual basis, accordingly, these will get reversed. So this is a temporary posting , ultimately, it will get reversed and will be reclassified through the P&L. These are the temporary items for the non MoR exposure, which I have in my own balance sheet. This will not be passed on to the MOR. I hope you got it.

Naman Kumar: Okay, got it. Yes, this was helpful. Just one additional clarification with regard to exposure to non-railways, like CPSE and all those things. So if we have some foreign currency borrowing pertaining to loans given to them. So in that case, what happens with the currency risk? Is it borne by us, IRFC is there an agreement with them that we pass on that cost as well to the CPSEs?

Manoj Kumar Dubey So Naman, typically for any non -railway business, we are quoting a rate. And if you are putting ECB mix into it, the risk lies with us. And as my EDBD told you, what we are doing as a very responsible and safe company th

at we are hedging it right away, And my hedging limits are quite conservative in terms of Yen as well as in terms of Dollars.

So whatever we have raised right now , we have already hedged it with a very secure kind of ranges. Number one. Number two, we are also creating a kind of cost -plus model for metro railways.

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You'll be hearing it very soon, where risk will be passed on to them. So typically, now, Naman, Indian Railway Finance Corporation have two models. One, you can have a cost -plus model also. We are ready to do that business we have been doing that for long for Indian Railways. Other model is when they are participating in this open bid where they want somebody to quote with all the risk together, we are doing that also. So going forward, we'll have two kinds of things. But yes, what we have decided right now that whatever ECB we are raising for non - railway assets where risk is lying on us, we should be immediately hedge fully for it. For your kind information, good thing is that what we raise ECB for non -railway consumption, the overall cost including hedging cost taken together, the rates are coming somewhere below 6%, which is very attractive for us.

Naman Kumar: Okay. Got it. This was really helpful. And my second question is with respect to the exposure

which we are now having other than Ministry of Railways, right? So, we may have some exposure to state government also.

So, what kind of safeguard we are having in place so that we continue to be zero NPA company in the future? Because like there can be a risk of default. At Ministry of Railways, there is no risk of default. For others, there may be. So, what kind of safeguard or guardrails we have?

Manoj Kumar Dubey : Yes, you are very right. And the guardrails and the kind of security that we are looking forward is first, in the CPSEs, which are Navratnas and Maharatnas – as our clients, I can name you and you can get the feeling who are our clients. Our clients are NTPC or their subsidiaries. Our client is GAIL, our client is Coal India Limited or its subsidiary, our client is IOCL or its subsidiary.

So, meaning thereby we have done DFCCIL, which is a sibling, then we have lent to an SPV, which is promoted by my siblings like CONCOR and RVNL. So, all these names, if you are following them, you'll be very well aware that all are having very strong balance sheet, consistently profit-making giants in the CPSE parlance. So, it is a cherry pick among the CPSEs also. Similarly, when you are going to state governments, mainly into the power value chain, so we are completely avoiding any kind of business with DISCOMS.

That is not our business because we are not having any kind of experience or exposure on them. There are other siblings in the NBFC parlance who have got the experience and exposure, and they will keep on doing it. We are limiting ourselves to GenCos and TransCos. Amongst that also, we are cherry-picking those assets which are having very strong balance sheet, having cost-plus model, PPA arrangement in place.

Giving you a flavor, we have not gone to any of the states which are high-consuming states in southern part with due regards to them. We have a right to choose the kind of states where we wish to do the business. We have done the business with MAHAGENCO. They are the number one state government in terms of having the assets, and they're doing very well. Their balance sheet is good. Their rating is good. Similarly, we have done to Chhattisgarh, we have done to Haryana.

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We are planning to do one where there is a 50-50 JV with NTPC and UP Government. So, you can see the kind of cherry picking of quality in the states we are doing. Yes, I mean, there's a balance sheet and there is a risk, but then we have to see to

it that what kind of assets we are

picking up. These assets are having backing of state governments with a very strong way.

They have tied up things there nowadays in the value chain, the payment of GenCos and TransCos are almost as sure. And that is why we are typically not going or touching anything in DisComs because there, the chemistry is all different. So, answer to your question is we are taking all due care to ensure that even in the government parlance, whatever asset we are cherry picking is as safe as it could be.

And as I always said, you must have heard in the beginning also, zero NPA for IRFC is not a status but it is a business proposition. If I remain zero NPA, I will be garnering lower cost of borrowing that we are doing in domestic and international market. So, rest assured that the management and the appraisal team is taking care of it.

Naman Kumar: Okay. This is very helpful. That's all from my side.

Manoj Kumar Dubey : Thank you.

Moderator : As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Kumar Dubey : Thank you, Manish. We are very happy to close on a happy note in terms of numbers. As you know, a listed company has got a very onerous task to come back every quarter, get its report to everybody. So, it's already mid of May. Q1 half of the Q1 has already gone. So very soon, we'll be meeting again to our investors.

And the good thing is that we have already embarked on the new journey of diversification, which is really giving us confidence having done well in the last FY. And we believe that going forward, every quarter in FY27, we'll be coming out with very good numbers as the Street expects us to do. Let us see that the good work that has been done by team IRFC continues to enthrall and satisfy the investors who are very dear to us. Thank you.

Manish Agarwalla : Thank you, sir and all the best.

Moderator: On behalf of PhillipCapital India Private Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.